

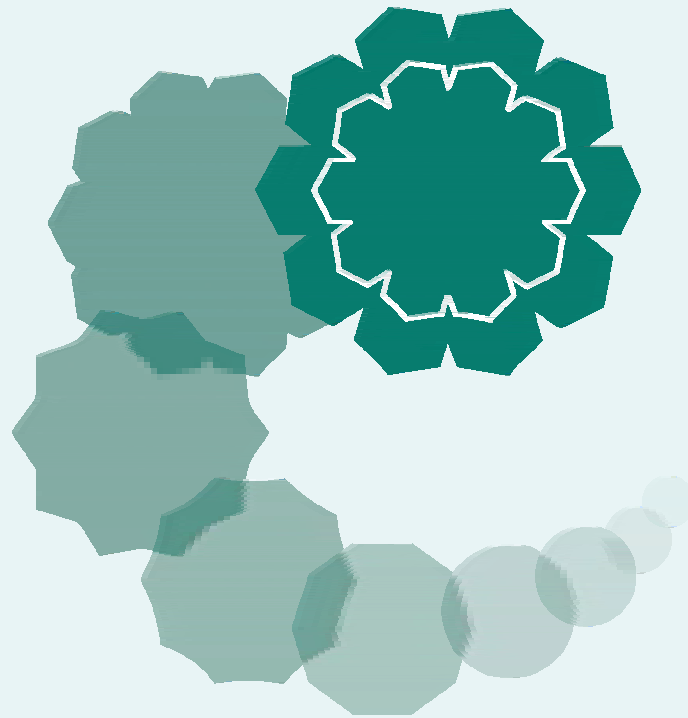


The Evolving 'Shape' of Our Enterprise



*The Takaful concept is about purity,
fairness and mutual trust.
It is a commitment, to provide financial
security through solidarity*





The Evolving 'Shape' of Our Enterprise

The Amāna 'mindset' towards insurance has always seen us go the extra mile in search of an ever more comprehensive and supportive proposition to our customer. It has always been about evolving with empathy. In this journey, we've never been satisfied to accept the status quo. Our search for new ways of delighting our customer has yielded a suite of value adding features that take our product portfolio beyond the norm, towards a 'new' world of insurance.

The Amāna proposition truly reflects empathy in evolving the contours of enterprise.

OUR VISION

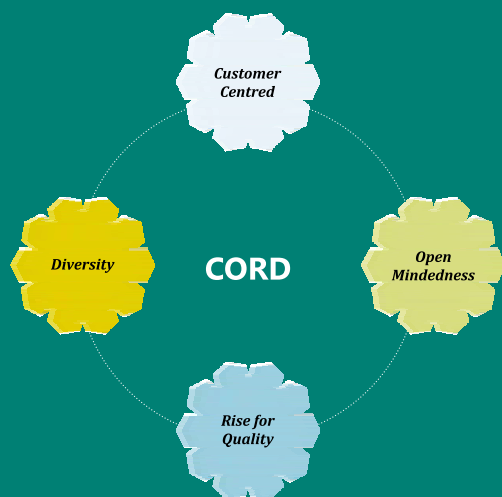
“To be a world-class Takaful service provider”

We will benchmark our delivery of value to that of world-class service providers in terms of product and services, whilst upholding the principles of Takaful. Our delivery will reach all our stakeholders including customers, shareholders, suppliers, regulators, our staff and the community at large.

OUR MISSION

“Providing total Takaful solutions within the guidelines of Shari’ah and serving all in an admirable manner.”

OUR VALUES



CORD

- C – *Customer Centered*: Working always with the customer-first every-time mind-set.
- O – *Open Mindedness*: Looking for better solutions. Demonstrating positive emotions and behaviours.
- R – *Rise for Quality*: Our work is a reflection of who we are. We value ourselves high and therefore our work. Strive to meet and exceed customer expectations.
- D – *Diversity*: Diversity in everything we do. Embrace our people’s visible and invisible differences, be it age, gender, ethnicity, nationality, religion.

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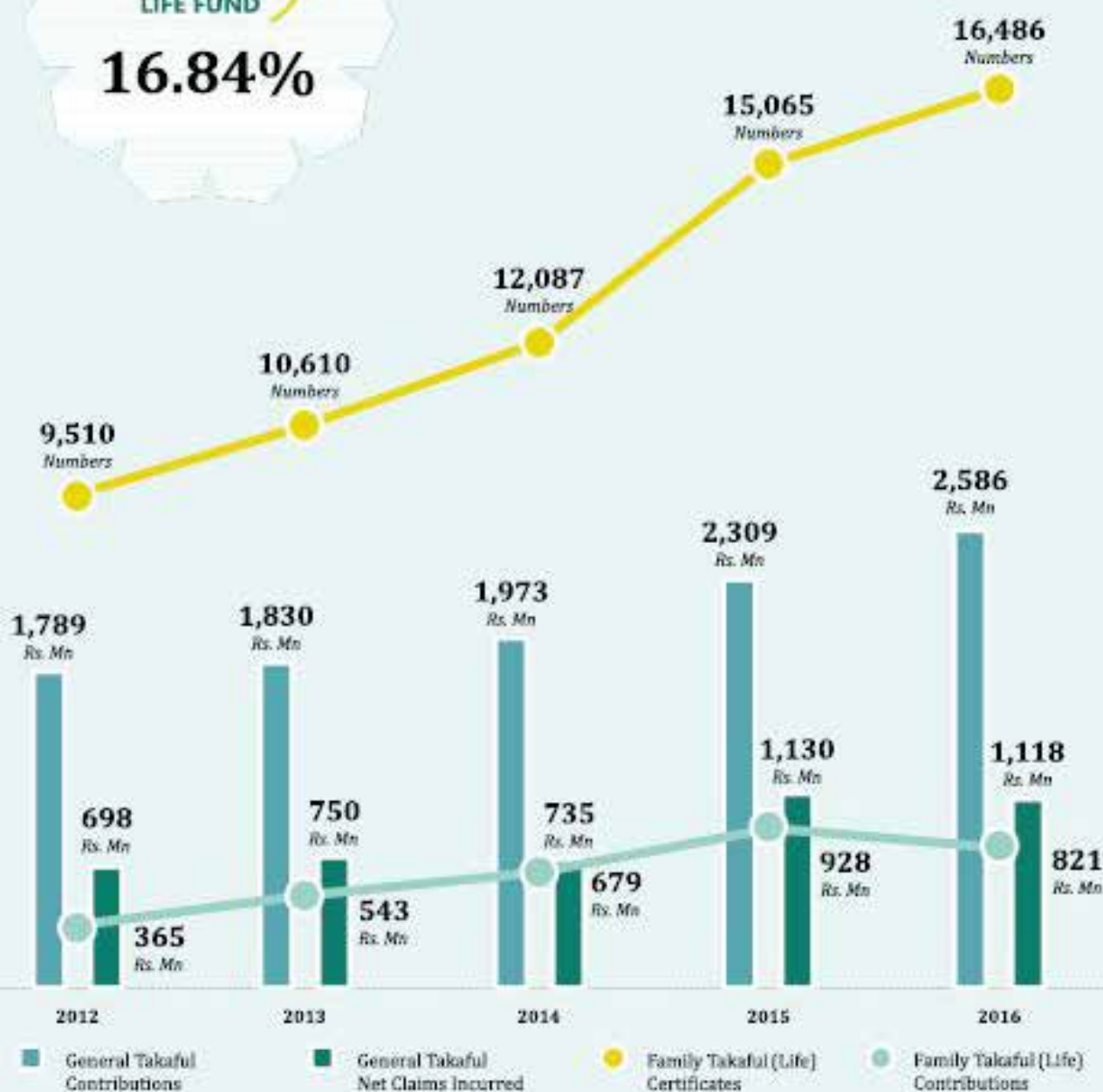
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4 / FINANCIAL HIGHLIGHTS

ANNUAL REPORT 2016 / AMĀNA TAKAFUL PLC

	2016 Rs. Mn	2015 Rs. Mn	Change (%)
Group			
Total Gross Written Premium	3,407	3,238	5.23
Profit/(Loss) After Tax	(146)	(281)	-47.89
Earnings/(Loss) per Share (Rs.)	(0.09)	(0.18)	-51.40
Total Assets	5,518	4,746	16.26
Net Assets Value per Share (Rs.)	0.77	0.87	-11.88
Return on Equity	(0.09)	(0.19)	
General Takaful			
Gross Written Premium	2,586	2,309	11.99
Net Earned Premium	1,743	1,603	8.70
Life (Family) Takaful			
Gross Written Premium	821	928	-11.59
Life (Family Takaful) Fund – Family Takaful	560	575	-2.57
– Unit Linked	1,504	1,192	26.21
Total Life (Family Takaful) Fund	2,064	1,767	16.84
Company			
Profit/(Loss) After Tax	(139)	265	-152.46
Earnings/(Loss) per Share (Rs.)	(0.08)	0.17	-148.93
Net Assets Value per Share (Rs.)	0.98	1.13	-13.48
Return on Equity	(0.08)	0.16	
No. of Employees	243	258	-5.81
No. of Branches/Distribution Centres	30	28	7.14
General Takaful			
Gross Written Premium	1,618	1,547	4.57
Net Earned Premium	1,285	1,237	3.86



In order to maintain regulatory compliance, Amāna Takaful PLC (ATPLC) successfully raised Rs. 210 Mn through a Rights Issue in June 2016.



I wish to welcome you all to the Annual General Meeting of Amāna Takaful PLC.

In presenting this Annual Report and the Consolidated Financial Statements for 2016, I also wish to inform our Shareholders that each of the subsidiaries, namely; Amāna Takaful Life PLC and Amāna Takaful (Maldives) PLC, will also publish their individual company reports. As of August 2016, the Family Takaful (Life) business was duly listed on the Colombo Stock Exchange (CSE).

In order to maintain Regulatory Compliance, Amāna Takaful PLC (ATPLC) successfully raised Rs. 210 Mn through a Rights Issue in June 2016. I am pleased to report, that ATPLC met the Regulatory Capital requirements through a Rights Issue and enlisted Amāna Takaful Life PLC (ATLPLC) on the Colombo Stock Exchange with an Initial Public Offering (IPO) by offer for sale as set out in our undertaking in the Annual Report of 2015. A sum of Rs. 75 Mn was garnered at the IPO.

BUSINESS RESULTS

The Group's Gross Written Premium (GWP) grew by 5.2% to Rs. 3.4 Bn over the previous year. Individually, ATPLC grew by 4.6%, while Amāna Takaful (Maldives) PLC (ATM) recorded a growth of 27%. The re-positioned Amāna Takaful Life business dipped by 11.6% over the previous year.

Amāna Takaful (Maldives) PLC recorded a profit of Rs. 14.5 Mn, whilst Amāna Takaful Life posts a profit of Rs. 35.7 Mn. The Group recorded a negative overall result of Rs. 146.1 Mn. This compares with a Group loss of Rs. 280.5 Mn a year earlier.

The General Insurance Industry continued its growth momentum of 14%, powered by the Motor Class which took a 65% share. ATPLC's growth of 4.6%, read in the context of our Strategic Plan, aimed to balance our portfolio and cut-out the losses in Motor completely, by 2017. Upward rate revisions and selective underwriting contributed significantly to better manage our Motor portfolio, cutting the losses by half. ATPLC's cost base improved significantly to hold expenses

5.2% GWP growth YoY

The Group's Gross Written Premium (GWP) grew by 5.2% to Rs. 3.4 Bn over the previous year.

at the same level of 2015. I wish to report that ATPLC disbursed claims on-time and in-full, amounting to Rs. 221 Mn following the catastrophic floods in May 2016. In the same vein, our retakaful costs increased significantly, contributing adversely to our overall results.

With the emphasis in strategy to focus more on a Protection-based portfolio, which resulted in a decline in GWP vs 2015, ATLPLCs business was resilient enough to double the previous year's profit out-turn.

Amāna Takaful (Maldives) PLC grew its market share on the back of a 27% growth of its GWP in 2016, whilst maintaining its profit, despite intense price competition, which brought pressure on margins. The Company continued to share surplus with its clientele for the 4th successive year.

The Group's investment income grew by 66% to Rs. 307.8 Mn in this Reporting year.

INSURANCE LANDSCAPE AND OUTLOOK

I reiterate my comments in the review of 2015, in respect of pricing and unwieldy credit in respect of the Motor business. In a market where over two-thirds of the revenue is derived from Motor, soaring claims cost at the current premium levels, is untenable. The import tax revisions and other measures on leasing will impact considerably on new registrations, where cost of spares are bound to escalate particularly on the registered segment. The industry loss ratios bear ample testimony to the state of play. Insurance penetration will continue to be stagnant, if pricing is not addressed.

We remain cautiously optimistic of the opportunities that arise from the Government's multi-faceted Social upliftment and development programmes to take advantage of the business potential that it presents. In this regard, the necessary technological, branch infrastructure and skills development together with innovative product

offerings, have had disproportionate resource allocations. A level playing field, without exception, is a *sine quo non*.

ACKNOWLEDGEMENTS

I place on record my appreciation for the ready response, understanding and advice of the Insurance Board of Sri Lanka in all our engagements.

Two new Directors, namely Rizwan Nayeem and Hassan Kassim took their seats on the Board of ATPLC in 2016, in addition to Ammar Kassim's appointment to the Board of ATLPLC. These appointments were duly approved by the Insurance Board of Sri Lanka. I thank all my colleagues on the Board for their diligence, advice and uncompromising efforts to hold aloft the standards of governance.

I also wish to welcome Gehan Rajapakse who took office as CEO of ATLPLC in September 2016, succeeding Reyaz Jeffrey, who migrated. I wish them well.

It's been a challenging year with Group restructure, the new RBC regime, the business climate, repositioning our portfolio in addition to a catastrophic flood. The Board and I, are conscious of the efforts of the Group's Staff, and thank them for their support. Equally, we look forward to an exemplary performance, with confidence, in all aspects of the business in 2017.



Tyeab Akbarally
Chairman

12th April 2017

As we enter the final phase of the three-year plan in 2017, I wish to report that the Company has made vast strides in productivity and the cost base, re-balanced our portfolio, defended its market share and continued to hold aloft the concept of Takaful in a fiercely competitive market.



Peace be Upon You All.

Upfront, I would like to pay tribute to all our stakeholders for their continued loyalty, valued patronage and ready referrals, enabling the Company to expand the concept of Takaful throughout Sri Lanka. In doing so, your demands on speed and efficiency through tailor-made solutions and range of branded products together with an exemplary claims record, has been the guiding force that every Amanite steadfastly strives to deliver.

As we enter the final phase of the three-year plan in 2017, I wish to report that the Company has made vast strides in productivity and the cost base, re-balanced our portfolio, defended its market share and continued to hold aloft the concept of Takaful in a fiercely competitive market. Bearing in mind the one-off gain in 2015, on account of the share transfer of Amāna Takaful (Maldives) PLC (through Amāna Global), which wiped out the losses, the under-lying business results in 2016 reflect a loss of Rs. 139 Mn in comparison to Rs. 322 Mn in 2015.

Entirely attributable to the Motor Class, this loss has been significantly reduced in 2016 and now poised for a turn-around in 2017.

Gross Written Premium (GWP) grew by 4.6% to Rs. 1.62 Bn. Gross Claims in total accounted for Rs. 1.2 Bn, which includes Rs. 221 Mn on account of the catastrophic flood in May. Of the Rs. 979 Mn non-flood claims, Motor alone took Rs. 766 Mn. Read in the context of the previous year, and a YoY flat motor GWP, claims paid on Motor is an improvement of Rs. 56 Mn over 2015. Despite the heavy claims payout during 2016, from the normal business compounded by the catastrophic flood, it is noteworthy that of 12 companies, accounting for approximately 75% of the market, ATPLC has taken the top slot in respect of the speed of recognition of and settlement of Motor claims. (Source: Independent Actuary: NMG Consulting).

Retakaful premiums grew by 48%. Underwriting Results are reported at Rs. 326 Mn.

Despite the heavy claims payout during 2016, from the normal business compounded by the catastrophic flood, it is noteworthy that of 12 companies, accounting for circa 75% of the market, ATPLC has taken the top slot in respect of the speed of recognition of and settlement of Motor claims.

Industry growth of 14% or Rs. 9.2 Bn was fuelled by Motor Class which took a 70% share of the increase. Amāna Takaful chose to play cautiously in the Motor segment, given the high industry loss ratios and accelerate its focus on the non-motor segment, which paid off well with above-industry growth performance in all such classes. The remedial measures to price-up and re-structure the products on the motor sub-classes and manage claims prudently, resulted in our loss ratios improving markedly.

New tax measures and revised leasing arrangements announced by Government, are bound to impact significantly on new registrations and the motor insurance market, potentially, taking a toll on GWP. I re-iterate that the Regulator and Industry players reach agreement on a motor tariff and a cash-before-cover policy to sustain industry growth and penetration.

New product offerings and enhancements in all classes have borne quick wins, with all of our growth being realised through

them. The wide spectrum of Micro products have been able to enlist over 13,000 new clients in hitherto untapped markets, with potential for expansion. At the tail end of 2016, following extensive research, we launched two ground breaking offers, the combination of which is unmatched at an affordable price, addressing the pressing needs of the three wheeler and the motor bicycle fraternity. Further, our strategic tie-up with Singer Sri Lanka – Sri Lanka's most trusted brand, thereby bringing added value to their customers, provides a new fillip to business growth.

Multi skilling opportunities and non-value added services continue to be addressed and have resulted in staff rationalisation by 8%. Our cost base has remained flat in 2016 with bigger savings envisaged in 2017. Key positions in Underwriting, Sales and Claims have been resourced with vibrant entrants of sound Industry background and experience. Across the Company, skills development and motivational programmes continue unabated.

In the first full year of the Risk-Based Capital regime, the Company garnered the necessary capital requirements through a Rights Issue and thereafter, consistently achieved the regulatory requirements.

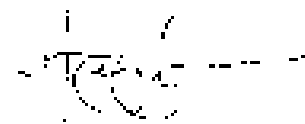
Following a stringent audit process, our Company has been re-certified with the ISO 2000 recognition for the next three years. ATPLC is the only entity in the Insurance fraternity to achieve such certification. Additionally, we were adjudged winners for the Most Outstanding Communication Campaign at the Industry Awards.

In concluding, I wish to express my grateful thanks to the Chairman and the Board for their advice, guidance and encouragement in the discharge of my duties.

The support and ready engagement of the Shari'ah Advisory Council in hastening the response to new product development, among others, is well noted. I thank them too.

The commitment and response of the retakaful partners has been readily forthcoming. We thank them profusely.

To the entire team of Amanites, I wish to express my appreciation for their relentless pursuit of our stated goals in a very trying market. I make bold to say, that together we shall emerge with renewed vigour and vitality, to deliver admirably, in all aspects of the business, in 2017.



M.F. Ghaffoor
Chief Executive Officer

12th April 2017



Tyeab Akbarally

*Chairman – Non-Executive
(ATPLC and ATLPLC)*

Tyeab Akbarally is the Chairman of the Company. He has been appointed to the Board since its inception. He is also a Director of Akbar Brothers (Pvt) Ltd., the largest tea exporter in the country. Tyeab's business interests extend to many sectors of the economy, including Tea Trade, Pharmaceutical Trade, Hydropower and Commodity Trading. He is also on the Boards of Amāna Bank PLC and several companies in the Akbar Brothers Group.

Osman Kassim

Non-Executive Director (ATPLC)

Osman Kassim, the visionary and one of the main promoters of Amāna Group of Companies, is the Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing the non-interest based concept of finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later transferred to Amāna Bank PLC in 2011.

With over 40 years of senior management experience, Kassim was also the founder Chairman of the Expolanka Group of Companies, diversified engaged business activities ranging from exports, imports, garments, waste management, entrepot trading, airline agencies, freight forwarding, tours and travel, aviation etc. He currently sits on the Board of Expolanka as a Non-Executive Director.

He is also the Chairman of Asia Pacific Institute of Information Technology (APIIT) Sri Lanka, set up in collaboration with APIIT Malaysia and the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid. He is also a Director of Aberdeen Holdings (Pvt) Ltd.

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.

Mohamed Haniffa Mohamed Rafiq

*Independent Non-Executive Director
(ATPLC and ATLPLC)*

M.H.M. Rafiq has been on the Board since its inception. He has been involved in the insurance industry for over four decades. His interests are extremely diverse and include Education, Healthcare and Real Estate. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in Amāna Takaful PLC.



Dato' Mohd Fadzli Yusof

*Independent Non-Executive Director
(ATPLC and ATLPLC)*

Dato' Mohd Fadzli Yusof was appointed to the Board on 10th February 1999. He was the founder Chief Executive Officer of Syarikat Takaful Malaysia Berhad, the first Takaful Operator in Malaysia as well as in Asia, since its incorporation in 1984 until his retirement in 2005. He obtained the professional Diploma in Communication, Advertising and Marketing (CAM) from the CAM Foundation in the United Kingdom in 1976. He started his career in broadcasting, including six years with the BBC External Service in London. Currently he is an independent member of the Board of Sri Lanka and Hei Tech Padu Berhad, Malaysia. He is also a member of the Board of Motor Research Consortium Data Sdn. Bhd, a subsidiary of Hei Tech Padu Berhad.

He has also been appointed as a member of the Board of State Economic Development Corporation of Kelantan, Malaysia. On the academic front he serves as the Fellow, University Islam Malaysia. He is also a member of the Board of Trustees Sultan Mizan Royal Foundation an NGO institution.

Dr. Aboobacker Admani Mohamed Haroon

Non-Executive Director (ATPLC)

Dr. A.A.M. Haroon was appointed as a Director on 21st September 2000. He is a Medical Practitioner by profession. He also holds the Chairmanship of several private companies, encompassing different industries including Garments, Healthcare and Clinical Diagnostics.

Muhammad Ehsan Zaheed

Non-Executive Director (ATPLC)

Ehsan Zaheed was appointed as the Director/CEO of Amāna Takaful on 1st October 2003. He is a Fellow Member of The Institute of Chartered Accountants of Sri Lanka and a member of the Institute of Public Accountants of Australia. He completed his Articles at Messrs Ernst & Young, Chartered Accountants. Having worked with several leading private sector financial institutions, he has immense exposure in Sri Lanka and overseas.

**Aboo Sally Mohamed Muzzammil**

*Independent Non-Executive Director
(ATPLC)*

A.S.M. Muzzammil was appointed to the Board in April 2010.

He is the Chairman/Managing Director, Ceylon Foods (Pvt) Ltd. He has served for over 40 years in senior management positions in commerce and industry. He holds an MA in Business Analysis from Lancaster University, UK and the J Dip MA, UK. He is a Fellow of the CIMA (UK) and ACCA (UK). Muzzammil served as the President of CIMA Sri Lanka Division, Exporters Association of Sri Lanka and the Seafood Exporters Association of Sri Lanka. He has been a member, of the Councils of the Moratuwa University, SLIATE, SLSI and the ITI and was a member of the Joint Business Forum and various Chambers of Commerce and Industry. He has been a Vice-President and Treasurer of the OPA and also serves in several business, educational, social and religious organisations.

Dr. Ifthikarudeen Ahamed Ismail

*Independent Non-Executive Director
(ATPLC and ATLPLC)*

Dr. Ifthikarudeen Ahamed Ismail was appointed to the Board of Amāna Takaful PLC in June 2012. He also serves as Chairman of Amāna Holdings (Pvt) Ltd. and as a Director of Asia Siyaka Commodities PLC.

He holds a BSc (Hons.) Degree from the University of Ceylon and a PhD from the University of St. Andrews UK. He has attended the Advanced Management Programme at the Harvard Business School and has participated in a variety of senior functional and general management training courses, mainly in Europe. He is a Fellow of the Institute of Management of Sri Lanka.

Whilst he was Vice-Chairman of Unilever, he served in various capacities in state institutions; among them as a Director of the National Apprentice Board, a member of the Advisory Committee of the Ministry of Foreign Affairs, the Research Planning Council of the CISIR, the Tertiary Vocational Education Commission and the Council of the Open University.

He has served as Principal of Zahira College, Colombo, CEO and Director of APIIT Lanka and as Chairman of the Board of the Sri Lanka Business Development Centre, Council Member of the Employers' Federation, Chairman of the Board of Governors of the Symphony Orchestra, Chairman of the Colombo District Scouts Association and Patron of the Photographic Society of Sri Lanka.

Radhakrishnan Gopinath

*Independent Non-Executive Director
(ATPLC and ATLPLC)*

Radhakrishnan Gopinath was appointed to the Board on 6th June 2012. He was formerly the Chief Executive Officer and the Managing Director of Life Insurance Corporation Lanka (LIC Lanka), having previously held several top positions at LIC India. Gopinath was also a Director at Al Nabooda Insurance Brokers LLC Dubai. He has also served as a Vice-President of the Insurance Association of Sri Lanka and was an Executive Committee member of the Ceylon Chamber of Commerce in the Insurance Sub-Committee.

Gopinath is a member of Chartered Insurance Institute (CII), UK and also a member of The Personal Finance Society and Society of Mortgage Professionals (PFS) London, UK. He is also a member of Indian Management Association and also is the Alumnus of Madras Christian College, India. He holds a Bachelor of Science (Mathematics) and a Postgraduate Diploma in Business Management.

His passion in training, coaching and mentoring along with his extensive experience in insurance led him to establish GOPAST Centre for Learning (Pvt) Ltd., a company dedicated towards building human potential, where he holds the position of Chief Executive Officer/Managing Director.



Mohamed Rizwan Mohamed Nayeem

Independent Non-Executive Director (ATPLC)

Rizwan Nayeem was appointed to the Board on 7th March 2016. He is currently an Executive Director at the Nortonbridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance and management consultancy in Sri Lanka, Middle East and United Kingdom. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including the Nortonbridge Capital and Orofini Jewellery.

Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).

Mohamed Hassan Sattar Kassim

Non-Executive Director (ATPLC)

Hassan Kassim was appointed to the Board on 7th March 2016. He is the founder and CEO of Expolanka Commodities DMCC Dubai. He has also served as Head of International Trading at Expolanka Commodities (Pvt) Ltd. and Head of Corporate Communications and CSR at Expolanka Holdings PLC.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Mr. Hassan Kassim serves as a member of the Board of Directors of EZ Warehousing (Pvt) Ltd., Lanka Commodity Holdings (Pvt) Ltd., Norfolks Foods (Pvt) Ltd. and Beta Ventures.

GENERAL MANAGEMENT COMMITTEE (GMC)



M. Fazal Ghaffoor
Chief Executive Officer

Gehan Rajapakse
Chief Executive Officer – ATLPLC

Zaid Ibnu Aboobucker
General Manager – Operations and Medical



Adel Hashim
*General Manager – Sales & Marketing
(Retired w.e.f. 30th September 2016)*

Rinaz Niyas
*Head of Finance & Administration
(Shared Services)*

M. Farhan Jabir
*Head of Human Resources
(Shared Services)*



M.S.M. Iqbal
*Head of Information Technology
(Shared Services)*

A.H.M. Dilshad
*Head of Compliance & Corporate Risk
(Shared Services)*

BUSINESS OPERATIONS MANAGEMENT (BOM) AND OTHER CORPORATE MANAGEMENT



Rizvan Ahamed
Assistant General Manager –
Retakaful/General Underwriting



Nalin Sakalasooriya
Assistant General Manager – Motor Claims



Shamaill Annam
Assistant General Manager – Business
Development (Corporate)



Shahul Hameed Farook
Senior Manager –
Branch Sales & Operations



M.G.M. Ansari
Senior Manager – Business Development



A.L.M. Inamulla
Senior Manager – Internal Audit
(Resigned w.e.f. 31st December 2016)



Roshan Ranasinghe
Senior Manager – Portfolio Management



Dr. Yusry Mohideen
Manager – Medical Takaful



Thilak Nishantha
Manager – Human Resources
(Shared Services)



Sumedha Mirihana

*Manager – Marketing Activations
(Shared Services)*

Rushdi Zarook

Manager – Legal (Shared Services)

Shaheer Rasooldeen

*Manager – Relationship Management Unit
(Shared Services)*



Ahmed Ajfar

*Manager – Information Technology
(Shared Services)*

M.H. Mohamed Aslam

*Secretary to the Board
(Shared Services)*

Omar Mustafa

*Channel Sales Manager
(Leasing & Financial Services)*



Tasleen Ammon

Channel Sales Manager (Corporate)

U.G. Janaka Wijayakumara

*Senior Regional Manager –
Southern & Sabaragamuwa*

M.F.M. Hismy

*Business Development Manager –
North & Northwest*



M.N. Ashique Mohammad
Regional Manager – Central



M. Jibrath
Regional Manager – East



M.G. Udaya Pushpa Kumara
Manager – Underwriting



Channa Rajith Abeywickrema
Manager – Underwriting



M.A.M. Jawfer-Us Sadik
Manager – Retakaful



A. Sanjeewa Kaluarachchi
Manager – General Takaful

AMĀNA TAKAFUL LIFE PLC



N. Shahnaz Deen
Specified Officer



Shaul Hameed Asif
*Assistant General Manager –
Sales & Distribution*



Nimalika Sooriyaarachchi
*Assistant General Manager –
Family Underwriting*



M.K. Mohamed Althaf
*Manager – Business Development
(Prosper)*



M.R. Shakir Mohamed
Senior Regional Manager – Western



M. Sathik Niyas
Senior Regional Manager – East & North



M. Hazari Farouk
Regional Manager – Central



W. Sawan Rodrigo
*Manager – Agency Development/
Sales Administration*



R. Priyanthi Newmen
Manager – Group Life



Sabeeh Feisal
Manager – Family Underwriting

An Evolving Intelligence

Through the constant development and advancement of our knowledge and intelligence level, VTE becomes a thinking organization that plays an essential role in society, united in imagining and influencing our systems and procedures. In this light, we do believe in being a real game changer particularly in the area of negotiating and satisfying our clients' requirements.



THE COMPANY

Amāna Takaful PLC (ATPLC) commenced operations in 1999. In 2006, the Company was listed in the Colombo Stock Exchange. The staff strength includes 243 full-time employees with presence in 28 locations across the island.

The General and Family Takaful Companies completed its 2nd year of operation after the segregation, with the shared services in HR, Finance, Marketing, IT and Compliance being provided by ATPLC.

GROUP OVERVIEW

As at 31st December 2016, comprised the following companies including Amāna Takaful entities.

Amāna Takaful PLC (ATPLC)

Having commenced operations in 1999 as a Composite Insurer, Amāna Takaful completed 18 years of operations in 2016, with presence in 30 locations across Sri Lanka, covering eight

provinces, with the exception of Uva. The Company operated as a Composite Insurer until 31st December 2014.

On segregation from 1st January 2015, the Life segment was spun off as a fully-owned Subsidiary of ATPLC, who retained the General Takaful (Insurance) Business and provides the shared services as permitted by IBSL. ATPLC presently employs 243 full-time employees, of which 71 employees provide shared services for both business segments.

Amāna Takaful Life PLC (ATLPLC)

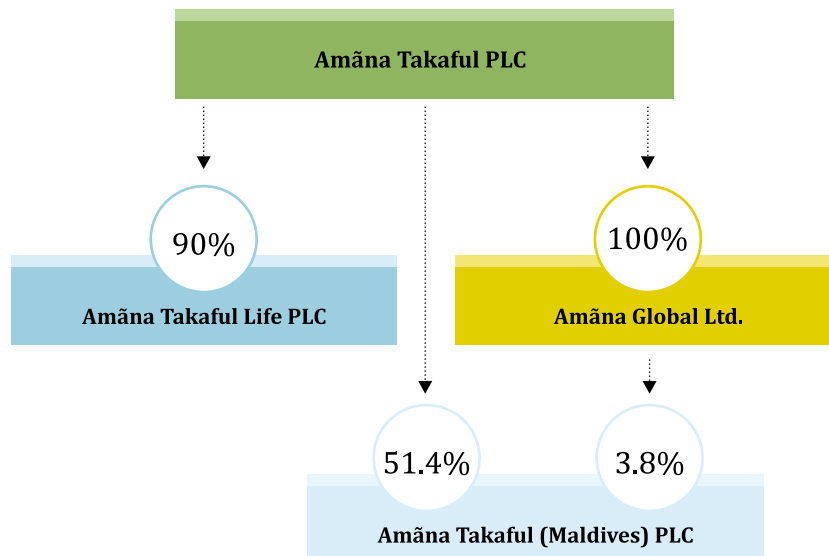
Amāna Takaful Life PLC came into operation from 1st January 2015 and provides Family Takaful (long-term insurance) solutions. The Family Takaful operations commenced in 1999 under Amāna Takaful PLC as a composite business. The Company has a range of unique Endowment; Wealth Management products and standard Mortgage and Group Life solutions under guidelines of Shari'ah.

Amāna Takaful (Maldives) PLC (ATM)

Amāna Takaful (Maldives) PLC, is a General Takaful (Insurance) Company, providing Takaful Solutions in the Republic of Maldives. It was founded in 2005 and is based in Malé, Maldives. Its product range includes personal accident, health, travel, marine, hull, hotel, fire, protection and indemnity, motor, business, home, contractors' all risks, fidelity, public liability, money-in-transit, burglary, erection all risks and business interruption.

The ownership of ATM was transferred from AGL to ATPLC as part of the ongoing group restructure.

Amāna Takaful (Maldives) PLC is listed in the Maldives Stock Exchange. It enjoys a 15% market share.



Amāna Global Ltd. (AGL)

Amāna Global Ltd., is an Investment Advisory that plays the dual role as marketer of the Group and its offerings. It has built its brand locally and overseas over several years. It is also registered under the Board of Investments (BOI) Sri Lanka.

STRATEGIC PERFORMANCE

ATPLC has grown its Gross Written Premium (GWP) by 4.57% to Rs. 1.62 Bn over the previous year, maintaining its market share. The Company focused on the Non-Motor segment in line with the strategic plan and recorded a growth of 24.29%. In contrast the industry grew its motor portfolio by 15%, whilst growing the Non-Motor segment by 11.4% during the same period.

ATPLC, the Parent Company of the Group, recorded a loss of Rs. 139.2 Mn for the year ended 2016 in comparison to Rs. 265.3 Mn profit in the previous year. The last year's profits included a one-time gain of Rs. 587.2 Mn from the transfer of the Subsidiary ATM from Amāna Global Ltd. to ATPLC.

GWP of ATPLC has declined by 11.6% to Rs. 820.7 Mn and the market share fell from 1.6% in 2015 to 1.3% in 2016. The Life Fund grew by 17% to Rs. 2 Bn in December 2016.

Porter's 5 Force Analysis

Forces	Details	Life	General
Threat of Potential Entrants	Threat of Entry is based on market entry barriers. Barriers range from legislative requirements, minimum capital requirements to a variety of regulatory requirements that need to be fulfilled in order to commence business.	• Entry barrier of Rs. 500 Mn capital for registration. • Increased focus on life insurance in line with increased disposable income in the economy. • More major players focusing on Life Insurance. • Increasing ageing population.	• Entry barrier of Rs. 500 Mn capital for registration. • Price undercutting leading to losses for general insurance players.
Threat of Substitute Products	Alternative products to Life Insurance products E.g.- Pension products, savings schemes etc.	• Increased interest rates in the economy leads to more competition from the economy.	• No Substitute Product for insurance as third party insurance is mandatory. • No Substitutes for general insurance products.
Bargaining Power of Suppliers	Suppliers in terms of insurance are the Reinsurance Partners. Further Labour/Talent supply is a key area in terms of supply in the insurance industry.	• Inability to attract major Reinsurers at competitive rates due to the low volumes in the market.	• Reinsurance plays a key role in the General Business. • Reluctance of foreign Reinsurers to enter the Sri Lankan market as a result of the lower margins as well as the low quantum of business from Non-Motor has resulted in smaller companies in the industry not been able to fully compete in the Non-Motor segment of the industry.
Rivalry among Competitors	With the number of players in the insurance industry rising up to 28 players, the local insurance industry is experiencing over supply.	• Rivalry amongst insurance companies with a variety of differentiated covers. • High exit cost. • Good margins	• Low margins. • Low differentiation of products amongst competitors.

BUSINESS ENVIRONMENT

The Sri Lankan economy recorded a growth of 4% in the first three quarters of 2016, compared to a 5.6% growth rate recorded in the previous year. The growth rates in the three major sectors of the economy – Agriculture, Industry and Services, stood at -2.5%, 5.7% and 4.8%, respectively, for the first three quarters of 2016. The downfall was experienced in leading economies due to many significant impacts in the political and socioeconomic conditions, leading to the downward revision of the projected global economic growth in 2016 to 3.1%. Moreover, on an attempt to maintain the growth momentum of the domestic economy, the Government tried to inject FDIs into the country. High importance were placed by the Government on attracting FDIs by the means of public-private partnerships and initiated number of private sector expansionary projects in 2016, which are expected to deliver promising results for 2017.

Inflation remained at single digit levels for the eighth consecutive year and year on year headline inflation declined and remained low at 4.1% in December 2016. The continued low inflation could be attributed to prudent demand management policies of the Central Bank, improved domestic supply conditions and low international commodity prices. Nevertheless, the very low headline inflation in 2016 was also the result of sharp downward adjustments to domestic administered prices of fuel and energy as well as the reductions in prices of selected essential food items by the Government.

It is also noted that the monetary policies were tightened by the CBSL and reflected a decline in the private sector credit growth during the second half of the year to 22% in October from approximately 27% in the first half of the year. This was driven by high market lending rates and decreased import demand. Furthermore, the Government of Sri Lanka introduced a radically new Unit Rate Tax that will affect vehicle prices in the country according to the engine capacity of individual vehicles. This drastic vehicle tax is now causing many controversies among the country's political elites as well as among the ordinary car buyers. This resulted in a more than 25% drop in vehicle imports, when compared to the previous year. Despite the slight slowdown seen in private sector credit granted by the banking system in the country on October on a year on year basis, the month marked the highest credit granted in absolute terms after March 2016, bringing. In October, the banking system in total granted Rs. 79 Bn worth of private credit, recording a spike from Rs. 58.4 Bn a month earlier. Earlier, the highest private sector credit was recorded in March this year, which was Rs. 86.4 Bn. Meanwhile, Sri Lanka's banking sector has granted Rs. 594 Bn worth of private credit during the first 10 months in 2016. Marking the highest recorded in a similar period in the history. This translates to an average Rs. 60 Bn private credit for a month.

However the deceleration in money supply to 17.8% and the Rupee liquidity turning a surplus in December gave some headroom for the Monetary Board to hold the rates for the fifth consecutive month. International Monetary Fund expressed its concerns over the private credit which still remained, 'very strong' despite multiple rounds of policy tightening and asked the Central Bank to operate with sufficient policy room for further tightening if situation did not turn favourable.

The Sri Lankan Rupee that remained relatively stable during the year, depreciating 3.8% against the USD, in comparison with the previous year, supported by Central Bank intervention. The increased demand for foreign exchange, mainly due to higher imports and debt service payments, the reversal of foreign investments in the Government Rupee Securities market, the moderation of workers' remittances and modest inflows to the financial account, added pressure on the exchange rate.

Sri Lanka raised its key policy rates twice this year by 50 basis points each and earlier raised the Banks' statutory reserves ratio (SRR) by 150 basis points to curtail funds available for loans. The benchmark 12-month Treasury yield increased by 306 bps to reach 10.17% during the year, while the Average Weighted Prime Lending Rate (AWPLR) increased by 402 bps to 11.52%.

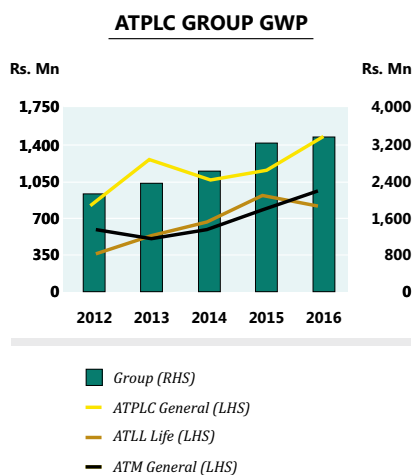
INDUSTRY OVERVIEW

We have seen a sharp growth in Life and General Premiums since 2014. The gross written premiums (GWP) of the General Insurance sector grew by 14% in 2016, when compared with the increase of 13.2% in the corresponding period of 2015. Relatively high growth in the premium income of the Life Insurance industry with 19% growth, has largely contributed towards the growth of overall GWP of the insurance industry. The premium income from Motor Insurance, which constitutes about 64.5% of the General Insurance Premium, grew at a rate of 15.2% in 2016, compared with the 19% increase in the corresponding period of 2015. Reduction in the GWP growth rates for motor sector is mainly due to an intense price competition while existing players undercut prices to increase their market share as there is lower 'Switching cost' for the policyholders. It is also noted that new registration of motor vehicles and vehicle population of the country are highly dependent on the vehicles leases and hire purchases, prevailing tight monetary conditions are expected to result in slow down of vehicle financing limiting the motor sector. Further, the premium income from Non-Motor segment increased by 11.4% in 2016 compared to 4.6% in 2015. However, the total Insurance industry only accounts for approximately 3% of the total assets of the financial sector.

BUSINESS PERFORMANCE REVIEW

ATPLC Group

Gross Written Premium Segmental Growth over the last five years is depicted in the chart below. While ATPLC General grew by 4.6% in 2016 over the previous year, ATPLC declined by 11.6% and ATM grew by 18.7%, enabling Group's Gross Written Premiums to grow by 5.2% in 2016.



Amāna Takaful General

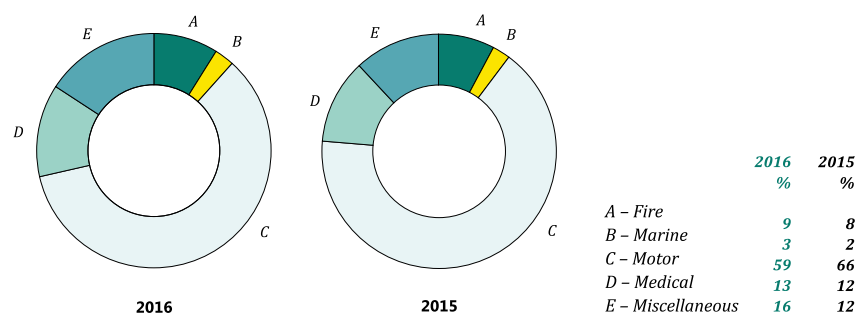
ATPLC grew by 4.6% compared to 12.4% in 2015. The Market Share of ATPLC was 2.11% in 2016.

ATPLC's strategic plan to shift the portfolio mix to a 55:45 ratio between Motor and Non-Motor in three years saw the motor share move from 66% in 2015 to 59% in 2016.

General Business Growth Analysis 2015-2016

Category	2016 Rs. Mn	2015 Rs. Mn	Growth %
Fire	145	120	20.5
Marine	46	40	16.3
Motor	964	1,021	(5.6)
Hull	93	66	40.0
PA	6	6	11.3
WCI	12	10	23.3
Bond	33	17	102.1
Engineering	51	38	32.9
Miscellaneous	60	47	27.0
Medical	208	183	13.7
Total	1,618	1,547	4.6

PRODUCT MIX



Claims – General Business

Total net claims incurred during the year 2016, amounted to Rs. 876.7 Mn, 9.2% which is less than the previous year amount of Rs. 965.6 Mn. The net claims incurred on the Motor portfolio decreased by Rs. 140.7 Mn to Rs. 681.8 Mn, compared to Rs. 822.6 Mn in 2015.

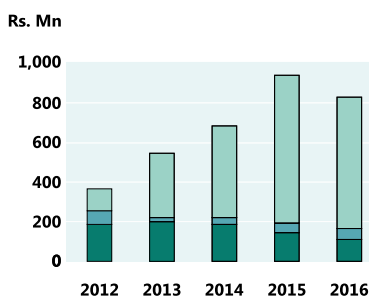
Claims incurred on the Medical portfolio also increased by 11.6% in 2016.

	2016 Rs. Mn	2015 Rs. Mn	Change %
Motor	682	823	-17.1
Non-Motor	54	16	227.0
Medical	141	127	11.6
Total	877	966	-9.2

Amāna Takaful Life

ATLPLC has completed 2nd year of operation as a separate entity in 2016. The chart below depicts the growth in Gross Written Premium over the last five years:

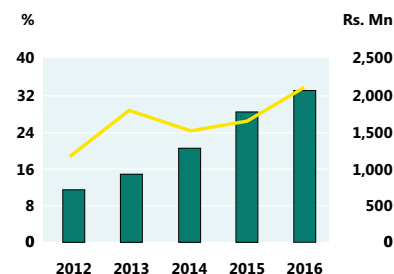
FAMILY TAKAFUL GWP



■ Family Takaful
■ Mortgage and Group
■ Unit Linked

The Life Fund recorded a year on year increase of 17% to Rs. 2 Bn in 2016, compared to the growth 37.8% in 2015.

FAMILY TAKAFUL FUND



■ Family Takaful Fund (Rs. Mn)
— Growth (%)

In the year 2016, the Life Fund grew by Rs. 301 Mn, compared to the growth of Rs. 482.8 Mn in 2015.

ATLPLC Fund Movement

	2016 Rs. Mn	2015 Rs. Mn	2014 Rs. Mn	2013 Rs. Mn
Gross Written Premium	821	928	679	543
Net Earned Premium	806	908	665	538
Income from Investments and Other Income	174	130	137	73
Claims and Expenses	679	537	455	389
Fund Growth	301	483	347	221

Investment Income

ATPLC with ATLPLC yielded an average return of 7.86% on the total average investment assets for the year 2016. The highest yield of 11.95% was recorded from corporate debts, whilst the lowest yield was on Unit Trust. The downward trend in the equity market continued throughout the year with few exceptions and yielded 2.53% for the full year.

Expenses

The total Operating Expenses of the Group have increased by 4.4% compared to the increase of 13% in the previous year. The Staff expenses have increased by 11.4% while Marketing Expenses and Consultant Fees have declined by 11% and 26.5% respectively.

Profitability

ATPLC recorded a loss of Rs. 139.2 Mn for the year 2016, compared to a profit of Rs. 265.3 Mn recorded in 2015. This includes the performance of both General Takaful (Risk Fund) and Shareholders' Funds of the Company.

Amāna Takaful (Maldives) PLC recorded a profit MVR 1.5 Mn, equivalent to Rs. 14.6 Mn for the year 2016. ATLPLC, in its second year of independent operations, recorded a profit after tax of Rs. 35.7 Mn in 2016, compared to Rs. 18.1 Mn in 2015.

The Group recorded a loss of Rs. 146.1 Mn in 2016 compared to a loss of Rs. 280.5 Mn in 2015.

Other Operating and Administration Expenses – Group

Consolidated Expenses	2016 Rs. Mn	2015 Rs. Mn	Change %
Staff Expenses	407	365	11.4
Administration and Establishment Expenses	328	309	6.2
Sales and Marketing	78	88	(11.0)
Depreciation	32	31	4.7
Consultancy Fees	30	41	(26.5)
Travel Expenses	135	135	0.5
Total	1,012	969	4.4

2017 Future Priorities

Area of Focus	Description	Future Priority
Revenue	Core revenue driver of the business.	In line with the three-year plan devised in 2015, Management has taken steps to ensure that the core revenue objectives are met and adequate personnel are hired and skills upgraded in order to succeed in this task. Channel wise structural changes too will contribute to this achievement.
Credit Management	Minimising credit is essential in General Business in order to have sustainable cash flows. 60-90 days of credit overtime become a norm of the General Business. The Life Business is essentially a cash business and thus is devoid of any cash flow issues arising from the same.	Management has made it a priority to ensure that credit is strictly managed and guidelines are prudently followed in order to minimise delays in collecting premium from customers. A strict formula has also been devised in order to counter the same.
Claims Management	The main cost component of an insurance business. Prudent management is essential to run a successful insurance company.	The Company has a claims management process in place in order to curtail fraudulent claims and to ensure an efficient and smooth customer service experience.

Area of Focus	Description	Future Priority
Customer Satisfaction	Customer satisfaction remains a core element of insurance. Customer experience being at high levels will ensure retention as well as future increase of revenue of the Company.	The Company has currently outsourced its call centre operation but has a full time manager in charge of monitoring efficiency and customer service excellence. Additionally, the Company strives to ensure that customers obtain a surplus payment on an annual basis.
Staff Welfare	Ensuring staff welfare will help retain the most vital asset in a service-based organisation.	The Company has an incentive package for sales staff as well as non-sales staff in order to boost productivity. Further, the Company has a performance-based remuneration system in place, which is fine tuned on an annual basis to ensure maximum effectiveness.
Expenses	Overheads management is another essential cost component in an insurance business. Maintaining an efficient expense ratio is essential.	Management expects to cut cost via economies of scale, multiskilling and double hatting of staff. Reducing the expense ratio, which is a top priority. Synergies across the General and Life Companies, as well as improvements in the shared services would help optimisation.

Micro Insurance

A decade into the 21st Century, poverty is still a harsh reality for most of humanity. Approximately, 80% of the world's population lives on less than \$ 10 a day and nearly 50% live on less than \$ 2 a day (World Bank Development Indicators, 2008). Majority of such low-income levels have absolutely no access to formal/organised financial services, especially financial protection or insurance.

Micro insurance is an insurance solution for the low income population of urban and rural economies. It plays

a crucial role in reducing poverty and improving the living standards of low-income communities whilst providing a financial cover in the case of disasters and calamities.

In the local context, according to a study conducted, the Life insurance penetration is approximately 12% of the total population. A much higher percentage belongs to medium and higher income segments of the economy. The industry is yet to penetrate the masses in rural and semi-urban areas where approximately

75% of Sri Lankans reside. Therefore, it is evident that a vast number of people in Sri Lanka especially in the low-income segment, exposed to various risks are unprotected financially.

ATL being the pioneer of the Takaful concept in Sri Lanka, realising the social responsibility and the need to protect these people has introduced a range of Micro Takaful products to suit the diverse segments of this market.

GENERAL

**Travel Pal**

In the event of an unforeseen inconvenience during the policyholders travel period, the 'Takaful Travel Pal' policy offers support to customers travelling for leisure, business or family engagements. The policy is a comprehensive and reliable travel companion. It covers the holder in the event of hospitalisation, personal accidents and injuries, permanent or total disabilities, loss of luggage and valuables, re-imbursement of repatriation cost and a comprehensive cover for flight delay/cancellation, missed departure etc. 'Travel Pal' also provides absolute peace of mind to the policyholder and free access to airport lounge facilities at the Bandaranaike International Airport.

The policy is available online, catering to the ever growing base of tech savvy customers. Quotations can be viewed and travel policies can be bought online through www.takaful.lk.

The ATL Mobile app can be downloaded and used for any purpose including visa applications. Foreign travellers can obtain their Travel Pal policy through ATL's island-wide branch networks as well as partnered travel agents.

**My Home**

A home is a show piece of a lifetime decorated with memories of love, care and family. It is more than mere bricks and mortar. Therefore, 'My Home' provides a comprehensive cover for a range of potential risks. In the event of a burglary it covers damaged property and stolen goods. It includes all belongings in the home – jewellery, valuables, interior and exterior decorations. The cover also provides protection against damages caused by fire, falling trees and branches, explosions, natural disasters such as earthquakes, lightning and thunderstorms etc. Additionally, it offers a host of free benefits such as, a personal accident cover for the family, protection against loss of rent and cash, fire brigade charges, replacement of ATM/credit cards, alternative accommodation requirements, deterioration of food in the refrigerator and much more.

**Easy Marine**

Maritime enterprise is fraught with many risks. With our Easy Marine cover, one can be at ease, whilst the goods are on the move. This is because we are committed to safeguarding your imports and exports from the point of origin to destination. The policyholder can also enjoy the broad coverage offered with a superior professional and friendly service with speed and efficiency, ensuring smooth sail at any stage.

**Business Cover**

A good insurance policy is an important aspect of business security, as it secures investments against specific forms of destruction or loss. Business Cover enables an enterprise to operate smoothly despite unexpected calamities. We also offer tailor-made policies for different types of businesses including textile shops, restaurants, grocery stores, pharmacies, hardware shops, supermarkets and the like.

**Total Drive**

This motor policy cares not only for your car, but also for your loved ones and includes various covers to suit your risk appetite. It includes an exceptional claim settlement with the choice of 3 payment options.

Our online portal www.takaful.lk and Mobile app offers customers a wide range of functions that include; renewal of motor policies, obtaining quotations, notifying an accident and tracking a motor claim.

MEDICAL

**Hale & Hearty**

An extended hospital stay is not only distressing but it can also be a surprisingly expensive with costs escalating beyond one's limit. Not just the disease but the cost of treatment too takes its toll. The 'Hale & Hearty' insurance plan covers individuals and their families within the age group of 18 to 55 years. It can be tailored to meet the needs of entrepreneurs, executives, managers and others like young adults and housewives. The policy also features an array of benefits that provide policyholders with added value and convenience. 'Hale & Hearty' gives policyholders the convenient option of cashless transactions in over 22 leading hospitals. As a result, ATL settles hospitalisation bills directly to the hospital ensuring the policyholder has minimal hassle and stress.

**Suwasiri**

This is a unique health insurance policy with an extremely affordable fee of just Rs. 2,222/- for an annual insurance coverage of Rs. 100,000/-. This has made the 'Suwasiri' Health Insurance Policy the most affordable policy available to Sri Lankans. 'Suwasiri' is the perfect solution to the challenges faced by Sri Lankans due to the increasing costs of hospitalisation and medical treatment expenses. Whilst good health is a blessing, an illness can occur when we least expect it. ATL's 'Suwasiri' Health Insurance Policy is the solution that will help ease one's financial burden during a time of crisis.

**Crystalline**

Women are the primary caregivers in today's society. However, a number of health issues pose specific risks to them. ATL's 'Crystalline' Policy is especially tailored for ladies, providing coverage for the treatment of ailments common to ladies. From critical illnesses to the complications of aging, the policy insures against the most pressing threats to women's health, providing peace of mind to them.

MICRO

**Navodhaya**

Insurance is believed to be a requirement which can only be afforded by the affluent in our society. Therefore, 'Navodhaya' the Micro Takaful (Insurance) product was launched to spread inclusiveness and mutual assistance. It is an annually renewable Death and Living benefit cover for groups of individuals.

ATL recently introduced two tailor-made personal accidental and death benefit schemes to support dairy farmers and fisher folk of Sri Lanka.

**TukTukFull**

This value proposition for 3-wheel owners and its drivers is the most attractive in the market and takes into account all the challenges faced by the drivers on a daily basis, to ensure their livelihoods are sustained. The policy includes a host of eventualities, to ensure that at any point in time, the policy holder is shielded from loss. 'TukTukFull' covers natural perils, riot and strike, third party property damage and hiring cover. In addition to this, 'TukTukFull' extends a comprehensive insurance cover against personal emergencies such as disability or hospitalisation.

**SRC**

'Smart Rider Cover' - a compelling insurance scheme for motor bikes that covers its riders across a spectrum of worst-case scenarios to ensure that they do not have to suffer monetary loss due to any reason. The customised process flow ensures 'Smart Rider Cover' customers can drive off after a swift transaction, secure in the knowledge that their motor bikes, their families, and they are covered against any eventualities.

LIFE

**Surakshitha**

Life, is uncertain and we need to be prepared to face any misfortune. 'Surakshitha' is a Life Cover affordably packaged to enable the policyholder and his family to face misfortunes and unavoidable circumstances. 'Surakshitha' provides a plan that is tailor-made to suit the individual needs with a host of benefits including hospitalisation and critical illness cover. The money is judiciously invested to provide larger returns as well.

**Prosper**

This is Sri Lanka's first Shari'ah compliant unit linked life insurance plan, ATL's 'Prosper' enables to invest for the future and at the same time provide protection to the family if the unthinkable happens. The solution is based on investments in secure deposits and equity and with the choice of four different funds. There are plans for a peaceful retirement, children's education, weddings and getting the dream home. Life is for living; and we help you make the most of it.

**Adhyapana**

'Adhyapana' is a long-term protection and saving plan that helps the policyholders to finance their children's education and future with a health insurance cover. It helps to make every parent's wish of giving their children the best education and future possible a reality.

**Safeguard**

We all wish to leave behind an inheritance for our loved ones. However, the unexpected loss of the breadwinner might leave the dependants with the burden of debt. ATL's 'Safeguard' protects the loved ones from the burden of left over debt and enables them to enjoy the life built for them by the policyholder. ATL's 'Safeguard' enables one to plan ahead.

**Group Life**

An untimely death or accident or disability can take away a valuable employee and his/her contribution to a company, not to mention the devastation caused to the employee's family. ATL now offers the opportunity to secure the health and well-being of the employees, so that they can work with peace of mind, knowing that they will be taken care of in the event of a tragedy.

**Platinum**

'Platinum' has been designed to suit those of us who want to provide the best money can buy for the ones dearest to us. Not only does it meet one's protection needs in terms of death, critical illness and accident, but it also includes a comprehensive hospitalisation cover for the policyholder and the family with an overseas treatment option. A unique feature is the second opinion, which enables the insured to obtain a second medical opinion locally or overseas, in case of a critical illness, which is a first time feature in Sri Lanka.

**Deergayou**

This is the first ever Shari'ah compliant retirement plan that caters to the ever growing demand for a pension plan that secures the financial security of customers in their golden years. It paves the way for one to save regularly between the ages of 18 to 55 years and thereafter enjoy an increasing monthly pension payment.

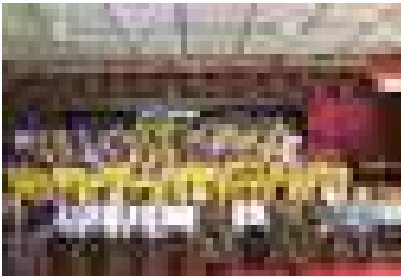
An Evolving Inclusivity

In Sri Lanka's insurance landscape today, there is a large population who remain underserved and in need of insurance cover for all aspects of their existence. ATC has been increasingly active in providing greater inclusivity among these underserved segments of society. We have over the past five years worked on building our capacity and capability to reach and develop innovative offerings that empower and bring within the fold such sectors as fisherfolk, tea plantation workers, cattle & poultry farmers and coconut cultivation among others.



ATL CONDUCTS ROAD SAFETY WORKSHOP FOR STUDENT TRAFFIC CONTROLLERS OF ERAVUR

ATL (Amāna Takaful PLC) organised a highly successful training programme on road safety in partnership with the traffic police branch of Eravur recently, at the Vantharumul Madhya Maha Vidyalaya, Sittandy. Close to 100 student traffic controllers together with their teachers were seen participating in this exceptionally well-organised event that brought about participants from many schools in the locality.

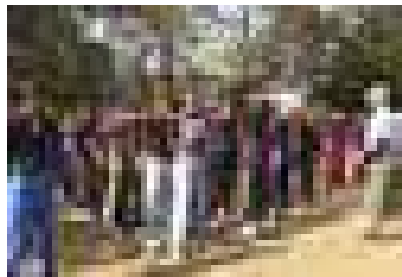


ATL SUPPORTS THE RECENT FLOOD VICTIMS

ATL (Amāna Takaful PLC) was involved in supporting and helping the victims of the recent flooding in Sri Lanka. All Employees came forward and donated a days wage from their salaries, whilst a substantial amount of direct donations from employees together with the CSR fund also contributed to the cause. The relief included dry rations and essential clothing for displaced people.

ATL GROOMS THE NEXT GENERATION

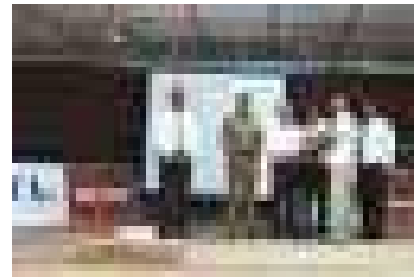
ATL (Amāna Takaful PLC) conducted a Leadership and Personality Development Camp for the students of President's College, Sri Jayawardenapura, Kotte. Training was focused on personality development, team building, communication, decision-making and most importantly mental and physical robustness. The Interactive sessions also included activities and presentations that facilitated the participants to be better equipped to face challenges in life, thus in the process, making them better individuals who would be an asset to the society.



ATL PUTS A SMILE ON THE FACES OF CHILDREN IN FAR FLUNG TERRITORIES

ATL (Amāna Takaful PLC) leverages every opportunity to put a smile on the faces of children in far flung territories while comforting the less fortunate to meet their special needs. A donation of Sports Goods was made to two underprivileged schools in the Eastern Terrain.

Also in addition to the above, a deprived Montessori in Kantale, received a donation that was utilised to upgrade and repair some of the available infrastructure of the school.



PEOPLE REVIEW

Amāna Takaful Insurance: A rewarding journey of 18 years, serving the Nation's insurance needs through its 27 branches island-wide, ATL's loyal and dedicated *people* have undoubtedly played a pivotal role in the value creation process and customer delight. ATL recognises the criticality of its human capital development in the delivery of quality and timely service. It is for this reason that there is continuous emphasis in ensuring our *people* possess and acquire the requisite skills and competence through tailor-made learning & development initiatives, enabling them to grow and deliver their best whilst achieving Company objectives.

At ATL we advocate an environment that embraces diversity, fresh thinking and experiences. A mutually inclusive culture, one of tolerance – be it age, gender, ethnicity, nationality, religion and or working/thinking styles, capabilities and needs, is what we strive to promote and nurture. We value the richness and variety of ideas from these differences.

Today, the Group has 306 full-time employees based in eight provinces around the country. Our openness to gender and ethnic diversity, unleashing creative talents and fostering a workplace in which employees strive to delight our stakeholders, has resulted in ATL being a much sought after employer.

In 2016, ATL was adjudged one of Sri Lanka's 'Best Employer Brands' at the South Asian Partnership Summit & Business Awards.

HR Strategy

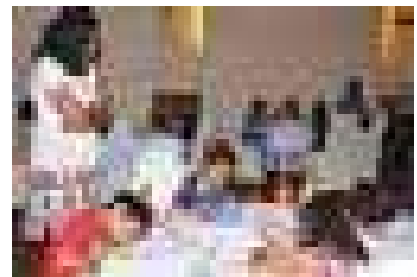
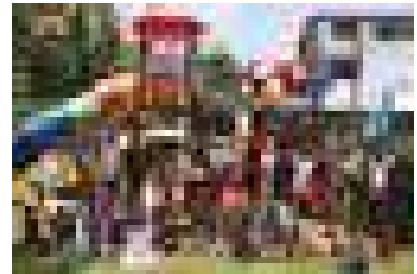
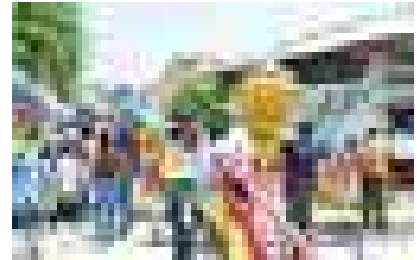
The three-year Strategic Plan (2015-2017), comprises five broad initiatives; Market Penetration, Balanced Portfolio, Enabling Winning Culture, Cost Containment and Customer Service Excellence. In order to deliver on the Battle Order and Rules of the Game, the need for nurturing an *Enabling Winning Culture* within the Organisation was identified as one of paramount importance; as a result, a clear line of sight was established by ensuring that ATL's HR Strategy is fully-aligned with the Organisation's corporate strategy.

Work-Life Integration

In today's fast paced competitive world, the boundaries between an individual's professional and personal life has become blurry. We endeavour to promote a culture that fosters work-life integration, focusing on incorporating the different areas of one's life to create a whole picture. In doing that we believe we can truly create a results oriented workplace (ROW).

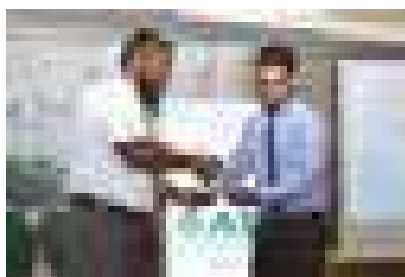
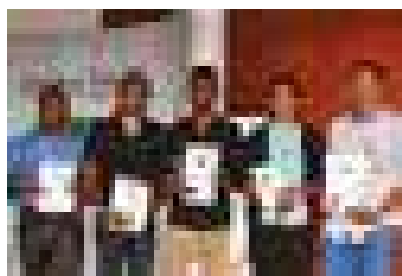
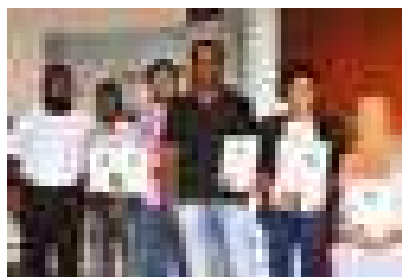
Kidz Colour Splash 2016

For the first time a kiddies' art competition – *Colour Splash* was organised for the employees' children. This brought about a sense of belonging and strengthened the binding with the Organisation. The competition was conducted under three groups covering all branches and Head Office staff. Competitions were held at Excel World – Colombo, Castle Park – Ambatanna and Batticaloa. Winners at the art competition were feted at our Annual Awards Day.



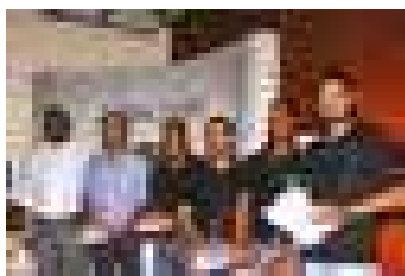
ATL Achievers

Achievers essentially recognises the special accomplishments of staff and their children in spheres of academia, sports and other outstanding activities. Staff are encouraged to pursue professional and academic qualifications and actively participate in other sporting and extracurricular activities. This programme serves as a platform in recognising their talent and further encouraging them to reach greater heights.



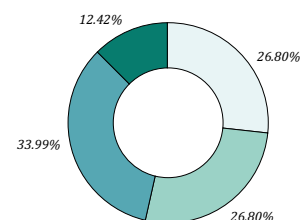
Takaful Masterminds (TMM)

The first of its kind launched in October 2016, TMM attempts to promote a culture of learning within the Organisation. TMM will continue to be a General Knowledge and IQ-based quiz competition organised annually. Branches and Head Office staff participated at the TMM, with the Kandy Branch emerging champions.



Employee Analysis

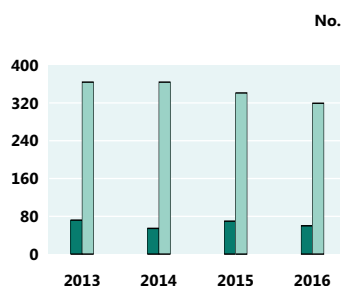
SERVICE ANALYSIS OF STAFF – 2016



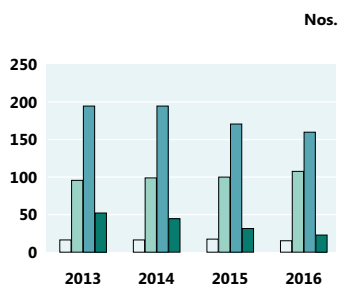
- 2 Years and Below
- 3-5 Years
- 6-10 Years
- Above 10 Years

Staff Distribution by Province	2016 No.	%	2015 No.	%
Central	38	12	42	13
Eastern	30	10	28	9
North Central	2	1	2	1
North Western	30	10	31	10
Northern	4	1	3	1
Southern	15	5	16	5
Uva	2	0.65	1	0.31
Western	185	60	197	62
Total	306	100	320	100

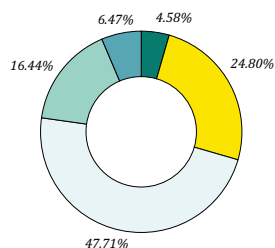
Labour Turn Over	2016	2015	2014
No. of Staff Resigned/Terminated	60	70	54
Average No. of Staff during the Period	319	341	364
Labour Turn Over %	20.00	20.50	14.80

LABOUR TURNOVER

■ No. of Staff Resigned/Terminated
 ■ Average No. of Staff during the Period

STAFF STRENGTH

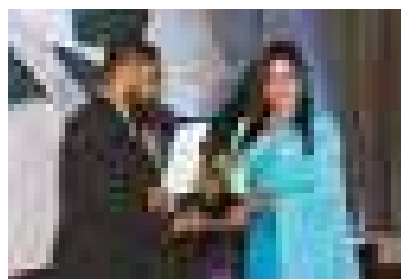
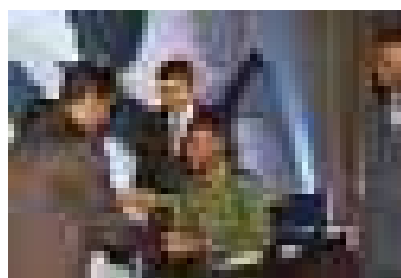
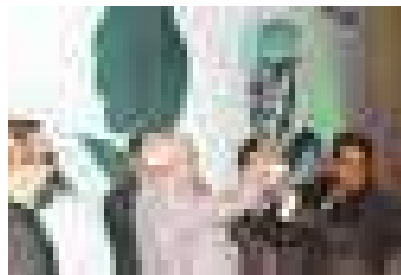
■ Senior Management
 ■ Middle Management
 ■ Executives
 ■ Non-Executives

AGE ANALYSIS OF STAFF – 2016

■ 18-25 ■ 40-50
 ■ 25-30 ■ >50
 ■ 30-40

Annual Awards Day – 2015

The Annual Awards Day is a much awaited company wide event to celebrate the achievements and teamwork of our talented employees.

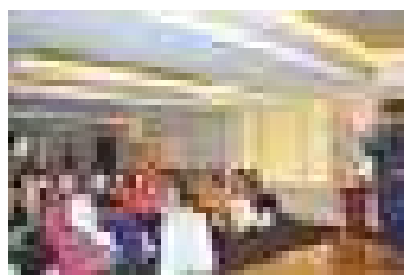
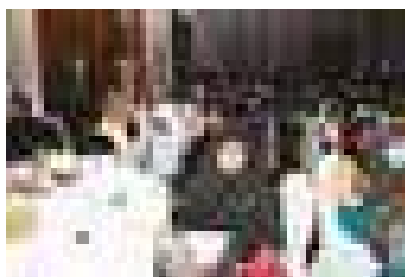
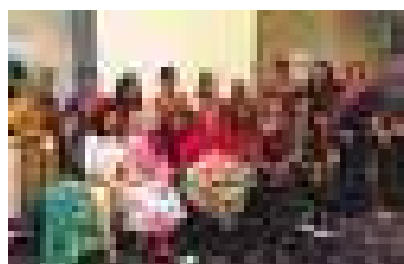


Service Analysis of Staff – 2016 Years	2016 Total	Senior Management	Middle Management	Executives	Non-Executives
2 and below	82	3	29	46	4
3-5	82	2	19	56	5
6-10	104	4	38	52	10
Above 10	38	6	22	6	4
Grand Total	306	15	108	160	23



Women's Day

ATL celebrated International Women's Day (IWD) on the 8th of March under the theme 'Pledge for Parity'. Mrs. Rizani Aziz graced the occasion as guest speaker. IWD is viewed as a time for reflecting on the past struggles, accomplishments and more importantly the untapped potential and opportunities in diversity – a key value in the Company.



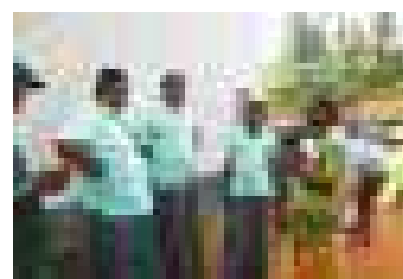
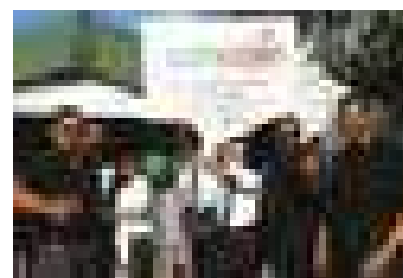
experiences on chosen management topics that espouse value creation.

The rationale for the PDF is coined using the acronym – '**IDEA**'

- I – Inculcate a learning culture within the Organisation
- D – Develop self-esteem
- E – Enhance productivity and performance
- A – Applying what is learnt, in context at the workplace

Street Storm (Operations Staff)

In an attempt to display a spirit of togetherness and propel the top line production of ATL, a cross-section of the operations team at branches and Head Office take to the streets of the city and suburbs once a month, to build greater awareness of our product line among the masses.

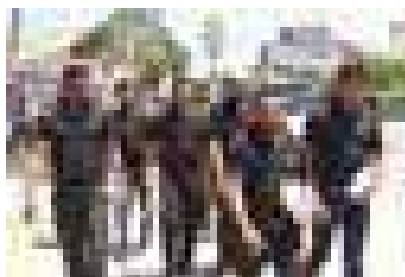


Some key Awards:

- (i) **CEO's Award** – Essentially recognises and appreciates the contribution of operations staff who go beyond the call of duty.
- (ii) **Ten Years Service Award** – Staff completing 10 years of service in the Company are recognised for their dedicated service to Amāna Takaful Life.
- (iii) **Champion of Champions** – Recognises the overall best performing Sales person.

Professional Development Forum – (PDF)

The PDF is a 2½ hour, power-packed session on latest management perspectives, trends and developments with a global flavour conducted quarterly for management. It is facilitated by external resource professionals, academics and eminent industry personalities. In 2016, Mr. Dirk Perera (CEO – Union Assurance), Mr. Samantha Rathnayaka (Snr. Lecturer PIM) and Mr. Mohan Morais (CEO – 3rd Wave Consultancy) shared their views and



Learning and Development

The Learning and Development Wing of the Human Resources Department worked with a vision of enhancing the capability and capacity of employees in 2016. A challenge posed to L&D was the formulation of two separate Training Needs Analysis (TNA), for two employee categories. The sales category comprises both salaried and non-salaried cadres in both the Life and General insurance entities, whilst the back office employees, whose TNA is done through the annual appraisal process, is another significant category of focus.

Twenty-One (21) special programmes were conducted, outsourcing resources for both sales and back office staff under the permanent cadre. Programmes comprised Technical, Leadership, Financial, Sales, Marketing and Administrative skills.

No.	Programmes
1.	Product Development and Risk Management
2.	Insurance Leadership Summit
3.	Interest Rate and Exchange Rate Dynamics
4.	Maintenance on Steam Boilers
5.	Become A Star Presenter with Dr. Donbavand
6.	Blue Ocean Master Class
7.	CPD Workshop on Liability Insurance
8.	Customer Care
9.	EFC Seminars
10.	Effective Presentation Skills
11.	How to Create a Digital Marketing Plan
12.	Motivation Skills
13.	Course on Management of Tax Compliance
14.	Project Management Professional Workshop
15.	Relationship Selling
16.	Workshop on Business Continuity Management
17.	Workshop on Fund Management
18.	Writing Effective Emails
19.	Leadership Skills
20.	Leadership Strategy Summit
21.	LIMRA Summit

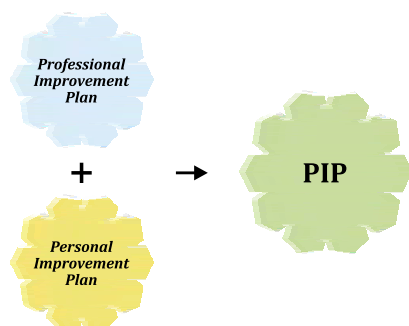
A total of 212 training hours was achieved, based on the duration of programmes expected to inculcate new learnings in the minds of the participants. These primarily focused on productive behaviour.

Cumulative Total Learning Hours amounted to 1,772.

ATL pays due attention in ensuring the quality of its recruits, which is a key determinant for the success of training exercises in the Organisation thus making it more effective and meaningful.

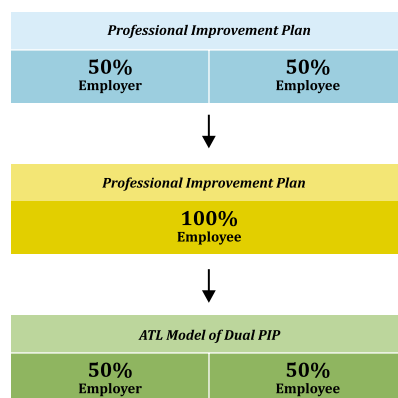
In 2016, self-learning complemented with self-paced courses were propagated among employees. Some of the reputed online learning solutions delivered significant results in terms of self-learning behaviour and ownership of personal development.

Underwriters are a key stakeholder in an insurance company. For the first time a Professional/Personal Improvement Plan (PIP) was launched for the underwriters to enhance their knowledge, skills and attitude.



The key focus area in this process was identifying core competencies and developing them in order to achieve corporate objectives. The dual model of the Professional and

Personal Development Plans, ensures that underwriters too take a degree of responsibility for their own professional and personal development.



Based on the core competencies, development programmes were planned and are now in the process of implementation.

ATL intends to extend this concept across the Company, to produce leaders who would change the *status quo* of the Organisation via changing the *modus operandi* internally and externally.

Internal solutions for the development of the General and Life sales force was another significant focus during the year. Performing sales personnel (commission based) had been absorbed to this developmental exercise.

CORE COMPETENCIES	DEVELOPMENT PROGRAMMES
Technical Aptitude	Fire
	Engineering
	Marine & Travel
	Motor
	Health Insurance
	Miscellaneous
	Risk Management & Reinsurance
Selling Skills–Relationship	Building Trust
	Questioning Techniques
	Selling Benefits
	Reassure and close
Self–Mastery	Building Rapport
	Negotiation Skills
	Time Management
	Business Etiquette
	Language & Communication Skills
Customer Focus	Customer Psychology
	Customer Service
	Building Rapport
	Empathy
	Win-Win Strategy
Business Intelligence	Induction
	Professional Networking
	Competitor Product Comparison
	Analytical Skills

All classical programmes were redesigned based on potential market needs and the unconventional dimension of insurance. Leadership development is inculcated in every module and is designed to enhance career development for new joiners.

No.	Programmes
1.	Agency Management – Training
2.	Conflict Management Skills
3.	Diploma in Sales Management
4.	Emotional Intelligence
5.	FAB Challenge – Workshop
6.	IBSL Train the Trainer
7.	Induction
8.	LEP-Presentation
9.	Low Producer Coaching
10.	Negotiation Skills
11.	Non-Motor Champions
12.	OBT – Winning Team
13.	Personal Financial Planning
14.	PFP Certification Ceremony

No.	Programmes
15.	Product Competency
16.	Professional Selling Skills – 1
17.	Recruitment and Selection
18.	Sales Excellence
19.	Secret to Success – 2016
20.	Sharia Programme for Scholars and Customers
21.	Underwriting Training

Twenty-One (21) internally designed programmes were delivered across the board. This included Technical, Sales, Soft and Leadership Skills that were imparted in order to enhance the competency levels of staff.

Internally designed outbound adventure programme were one of the significant additions to the lengthy list.

External experts were sourced for certain key programmes to ensure vibrant delivery, due to their expertise and enriching experience they possess in their respective fields of training.

ATL was on a mission to spread the Sharia Concept of insurance among the scholars and customers who nurtured us over the years in the island.

A total of 19,079 learning hours had been achieved in 2016, which is evidence that ATL truly believes in promoting a culture of learning and knowledge within the Organisation. Emphasis had been given to L&D exercises primarily focusing on capacity building of the sales force.

	BM's/RM's
General	32
Life	38

Per Capita Learning Hours

The General business invested 32 hours of per capita learning hours for the Sales Management cadre, whilst the other sales force received 30 hours. Back Office staff secured nine hours of per capita learning based on their training requirement captured through the performance appraisal system of the Organisation.

Amāna Takaful Life PLC (ATLPLC) invested 38 hours of per capita learning for the Sales Management team, whilst the sales force received 47 hours. Back-Office Staff secured 18 hours of per capita learning.

Every rupee spent on staff by way of L&D is seen as an investment towards the destination of greatness.

Corporate Governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring our growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of Corporate Governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate Governance is described as a management process in which a corporate, business entity or Company is directed, managed and controlled. It is a concept which is now increasingly gaining prominence in the business world. In any company, where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best

Corporate Governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful PLC is committed to adopting best practices. It is also committed to maintain, the smooth functioning of the Company's operations.

CAPITAL STRUCTURE AND SHAREHOLDING

Amāna Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,860,001,339/-.

The Company has 6,664 shareholders, while the majority shares are held by institutions. Details of the main shareholders are given on page 152.

BOARD OF DIRECTORS AND BOARD COMMITTEES

There are eleven Directors on the Board of Amāna Takaful PLC, who hold office in non-executive capacities. The Board of Directors has been drawn from a cross-section of industries. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 59.

CORPORATE GOVERNANCE FRAMEWORK

Amāna Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report:

Amāna Takaful PLC

Chairman:

Tyeab Akbarally

Principal objective:

Leading the Board to ensure effectiveness in all aspects of its role.



Board of Amāna Takaful PLC

Eleven Directors: a Non-Executive Chairman and ten Non-Executive Directors.

Principal objective:

Collectively to ensure the long-term success of the Company.



AUDIT AND COMPLIANCE COMMITTEE

Three Independent Non-Executive Directors.

Principal objective:

To ensure that the interests of shareholders are properly protected in relation to financial reporting and internal controls.

The Board Audit and Compliance Committee report pages 61 and 62.



REMUNERATION COMMITTEE

Four Non-Executive Directors of whom three are independent.

Principal objective:

To develop policy on executive remuneration. It also recommends packages for the Executive Director and senior managers immediately below Board level.

Remuneration Committee report page 63.



RISK MANAGEMENT COMMITTEE

Four Non-Executive Directors of whom three are independent.

Principal objective:

Review and realign the risk appetite of the Company at strategic and various functional levels.

Enterprise Risk Management report pages 48 to 55.



EXECUTIVE COMMITTEE

Five Directors, the CEO and GMC. The Chairman presides at these monthly meetings.

Principal objective:

To monitor the implementation to the business strategies of the Company and the Group.



INVESTMENT COMMITTEE

Four Non-Executive Directors.

Principal objective:

To ensure that a healthy investment portfolio is maintained within the investment guidelines of the ISSE and Shari'ah.

BOARD SIZE AND COMPOSITION

The Board currently comprises eleven Directors. The size and composition of the Board and its Committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 10 and 13.

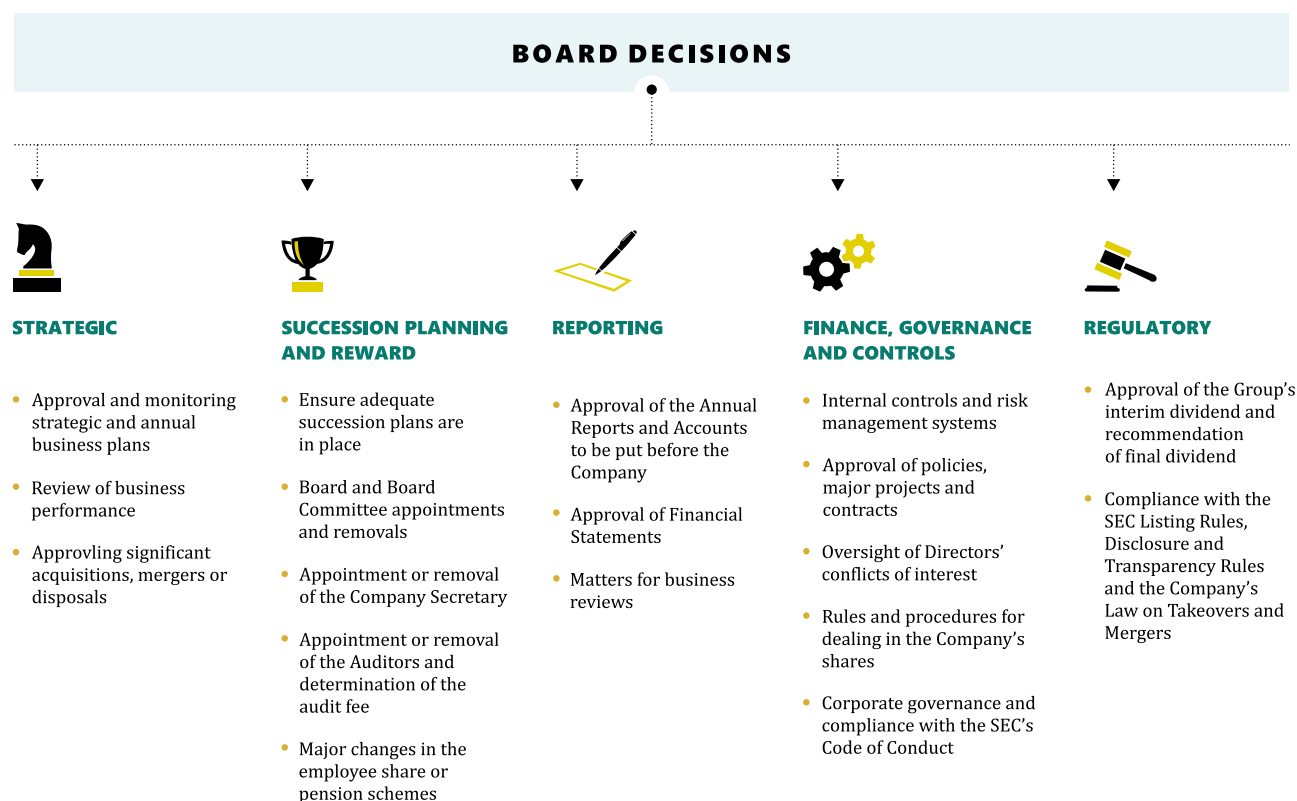
The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning for the Executive Directors.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board

has overall responsibility for the Group's system of internal controls and risk management, as described on pages 48 to 55. Following presentation by the executive management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the executive management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications. A summary of these matters includes:



The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to 'Shari'ah' principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and
- Develop and maintain effective communications with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company;
- Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the executive management of the Company;
- Meet the Group's budget and strategic plans; and
- Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its Committees and between senior management and Non-Executive Directors;
- Facilitate Director inductions and professional development;

- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best Corporate Governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, three Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various Committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following Committees of the Board have been formed with the objective of improving governance: viz-

- Audit and Compliance Committee
- Risk Management Committee
- Investment Committee

BOARD ROLES AND RESPONSIBILITIES

Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their
- duties including reporting to the Board;

- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Executive Committee

Each Committee has a defined terms of reference approved by the Board, outlining the respective Committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these Committees are expected to attend all meetings.

i. The Audit and Compliance Committee

The Audit and Compliance Committee comprises three Independent Non-Executive Directors of the Board. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 61 and 62.

ii. The Risk Management Committee

The Risk Management Committee of the Board comprises four Non-Executive Directors, of which, three are Independent Directors. This Committee is chaired by Dato' Mohd Fadzli Yusof, who is an Independent Non-Executive Director of the Company. The main

function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail report on the Risk Management Committee functions and its activities during the year 2016 are provided on pages 48 to 55.

iii. The Investment Committee

The Investment Committee comprises Osman Kassim, M.H.M. Rafiq, Dr. Haroon and Ehsan Zaheed. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the IBSL and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meeting on a monthly basis.

iv. The Remuneration Committee

The Remuneration Committee is composed of four Non-Executive Directors of the Board, of which, two are Independent Directors. Details of remuneration paid to Directors are set out in Note 37 to the Financial Statements on page 132.

The report of the Remuneration Committee is provided on page 63.

v. Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Non-Executive Directors, of which, two are Independent Directors. This Committee is chaired by

Dr. Ifthikarudeen Ahamed Ismail, who is an Independent Non-Executive Director of the Company. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 64.

vi. Executive Committee

The Executive Committee or EXCOM is composed of five members of the Board and is chaired by the Chairman of the Company. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the Group. The members of the Committee are as follows:

- i. Tyeab Akbarally – Chairman
- ii. Osman Kassim
- iii. M.H.M. Rafiq
- iv. M. Ehsan Zaheed
- v. Dr. Ifthikarudeen Ahamed Ismail

ETHICAL STANDARDS

Amāna Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgement;

- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and
- Maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the weekly mission meetings.

EXECUTIVE MANAGEMENT

The Chief Executive Officer deliberates strategic issues with the General Management Committee (GMC), which includes the CEO of the Family Takaful business, General Manager – Operations, General Manager – Sales and Marketing, Head of Strategy and Risk, Head of Finance, Head of HR and the Head of Information Technology and the Compliance Officer. Each of them, who head Strategic Business Units, drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the GMC. The Company's performance dashboard is a key evaluation and measurement tool in this process.

The Business Operations Management (BOM) takes responsibility for operationalising the plan on a day-to-day basis and implementing the decisions of the GMC. These include a track on competitor activity, steering projects and building cross-functional bonds across different departments and taking ownership for the technical aspects. It is also a forum to build leadership and talent in support of the succession plan.

INTERNAL CONTROLS

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

COMPLIANCE WITH 'SHARI'AH' REQUIREMENTS

Amāna Takaful PLC takes the utmost care in adhering to 'Shari'ah' principles. A Shari'ah Unit has been set up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari'ah, in particular that relates with the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 65.

REGULATORY COMPLIANCE

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set up to monitor and investigate into all compliance-related matters across the organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

RELATIONSHIP WITH STAKEHOLDERS

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The management holds weekly mission meetings, at which, employees are briefed of the policies, goals and values of Amāna Takaful PLC and their views and suggestions are sought and evaluated.

Amāna Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

SOLVENCY REQUIREMENTS

The Solvency Margin (Risk Based Capital) pertaining to Long-Term Insurance (Family Takaful) Business of Amāna Takaful Life PLC and General Insurance Business of Amāna Takaful PLC, has been maintained as per the Solvency Margin (Risk Based Capital) Rules 2015.

CORPORATE GOVERNANCE DISCLOSURES UNDER CSE RULES IN RELATION TO DIRECTORS OF THE COMPANY

Areas of Compliance	Current Status	Remarks
Board of Directors	Non-Executive Directors 1. Tyeab Akbarally – Chairman 2. Osman Kassim 3. M.H.M. Rafiq 4. Dato' Mohd Fadzli Yusof 5. Dr. A.A.M. Haroon 6. Ehsan Zaheed 7. A.S.M. Muzzammil 8. Dr. Ifthikarudeen Ahamed Ismail 9. R. Gopinath 10. M.R.M. Nayeem 11. M.H. Sattar Kassim	All members of the Board serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7.10.1. All Non-Executive Directors have submitted the annual declaration of their independence or non-independence to the Board of Directors.
	Independent Directors 1. M.H.M. Rafiq 2. Dato' Mohd Fadzli Yusof 3. A.S.M. Muzzammil 4. Dr. Ifthikarudeen Ahamed Ismail 5. R. Gopinath 6. M.R.M. Nayeem	The Board comprises six Independent Directors out of eleven Non-Executive Directors, by the end of 2016. Dato' Mohd Fadzli Yusof and M.H.M. Rafiq do not technically qualify as independent by not meeting Rule 7.10.4 (e) of the CSE Listing Rules. However, the Board, after much discussions, were of the view that they are nevertheless independent. Set out below are the criteria to consider them as Independent Directors: a. They do not provide any services to the Company in a capacity other than Director. b. They have not received financial assistance from the Company. c. They do not have any apparent conflict of interest in the Company, which would impair their independent judgement as Directors. The Board was also of the view that, taking into account the contribution made by these Directors to the affairs of the Company, their integrity and stature were not in question. The Company has complied with the CSE Listing Rules 7.10.2

Areas of Compliance	Current Status	Remarks
Remuneration Committee	1. Dato' Mohd Fadzli Yusof – Chairman	This Committee comprises four Non-Executive Directors, of whom, three are independent.
	2. M.H.M. Rafiq	
	3. Dr. A.A.M. Haroon	
	4. A.S.M. Muzzammil	The Company has complied with the CSE Listing Rules 7.10.5
Audit and Compliance Committee	1. Dato' Mohd Fadzli Yusof – Chairman	This Committee comprises three Independent Directors of the Company.
	2. M.H.M. Rafiq	The Company has complied with the CSE Listing Rules 7.10.5
	3. A.S.M. Muzzammil	
Related Party Transactions Review Committee	1. Dr. Ifthikarudeen Ahamed Ismail – Chairman	This Committee comprises three Non-Executive Directors, of whom, two are independent.
	2. M.H.M. Rafiq	
	3. Ehsan Zaheed	The Company has complied with the CSE Listing Rules 9.2.2

DIRECTORS' ATTENDANCE AT THE MEETINGS

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
1. Tyeab Akbarally – Chairman	4	3						
2. Osman Kassim	4	3						
3. M.H.M. Rafiq	4	4	4	3	2	2	4	4
4. Dato' Mohd Fadzli Yusof	4	4	4	4	2	2		
5. Dr. Aboobacker Admani Mohamed Haroon	4	3			2	1		
6. Muhammad Ehsan Zaheed	4	3					4	2
7. Aboo Sally Mohamed Muzzammil	4	3	4	4	1	1		
8. Dr. Ifthikarudeen Ahamed Ismail	4	4					4	4
9. Radhakrishnan Gopinath	4	3						
10. M.R.M. Nayeem	3	3						
11. M.H. Sattar Kassim	3	2						

An Evolving Offering

AFL fully realizes the importance of a constantly evolving portfolio of products and services that keep ahead of constantly evolving customer needs. We fully embrace the innovative approach of meeting the often unique requirements of our customers – rather than “fitting in the mold” product for example. This is uniquely tailored for the growing segment of customers requiring a suitable mix of products.



As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out series of campaigns to enhance the awareness among the managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2016.

WHAT IS ENTERPRISE RISK MANAGEMENT?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as 'the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks' (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

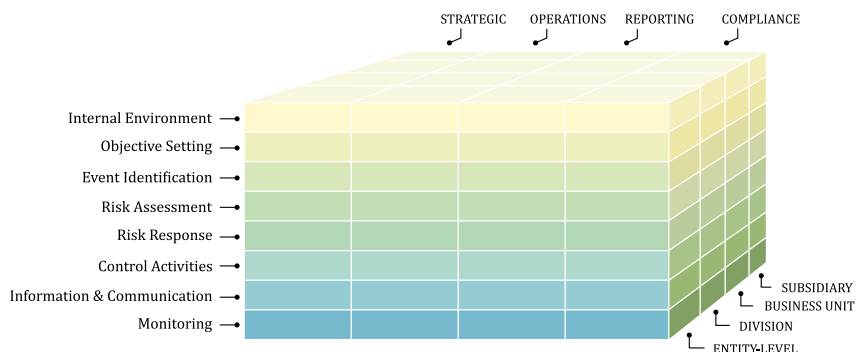
COSO and framework which was published in 2004 in US defines ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."

The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise Risk Management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –

- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.



- Enhancing risk response decisions – Enterprise Risk Management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses, reducing surprises and associated costs or losses.
- Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and Enterprise risk Management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, Enterprise Risk Management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

DEFINITIONS OF RISK AND RISK MANAGEMENT

Risk in general could be defined as 'The combination of the probability of an event and its negative consequences', in other words, the barriers in meeting the corporate objectives.

Risk Management can be defined as 'An efficient and effective process of minimising risks in meeting stakeholder requirements'. However, Enterprise Risk Management is not strictly a serial process, where one component affects only the next. It is a multidirectional, iterative process in which

almost any component can and does influence another.

RISKS FACED BY INSURANCE COMPANIES

It appears that many organisations are experiencing pressure and recognising that change in the organisation's overall approach to risk oversight is warranted, with the *status quo* no longer acceptable. Insurance companies whose business model is based on Risk Management require special attention with regard to its Management. As an insurance company, we identified the following risk categories as illustrated in the diagram below. The Risk Management professionals refer to this as the 'Risk Wheel'. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

1. Insurance Risk

Being an insurance company, risks related to the insurance business i.e., Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented.
Product Design – Designing the product offers and benefits with the right pricing is very critical to the Insurance Business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	A qualified and well-experienced professional firm has been contracted to carry out the Actuarial functions for both the Life and the General Segments.

a. Claims Risk

Risk	Control
Potential Loss of values is the primary risk that the Insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

b. Retakaful Risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Board of Sri Lanka (IBSL). The services of professional Retakaful brokers are also obtained in reinsurance placements.
Accepting risks beyond the Company's retention limits.	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

2. Market Risks

Market risks are wider risks that any company is exposed to in terms of Demand and Supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially Gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system.

3. Strategic and Reputational Risk

Achievement of overall Business Goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the Organisation. Even though

the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

4. Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Sudden Disasters/Calamities	A Detail DRP is in force to recover within 12 hours.
BCP/DRP Failures	Tested every six months.
Not having the Right People at the Right Place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process Failures – SOPs do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential Fraud and Errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity Crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology Failure	The Disaster Recovery Plan covers such risks
Non-Implementation of Key Projects	The Business Operations Management (BOM) and the General Management Committee (GMC) meet monthly and review projects under implementation.
Utilities	Electricity – A back-up Generator is fully active

5. Compliance Risk

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. All heads of departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This Checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

6. Credit Risk

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee during 2014:

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP on Credit Approval which covers authorisation and approvals controls Credit Policy is linked to the Sales Commission and Incentive scheme. Weekly Credit Review.
Risk in recovering Retakaful	Rated Retakaful Companies.
Unable to recover capital value of Investments	Guided by the IBSL Investment Guidelines. Close monitoring by the Board Investment Committee.

ATI RISK MANAGEMENT GRID

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from Negligible to Severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

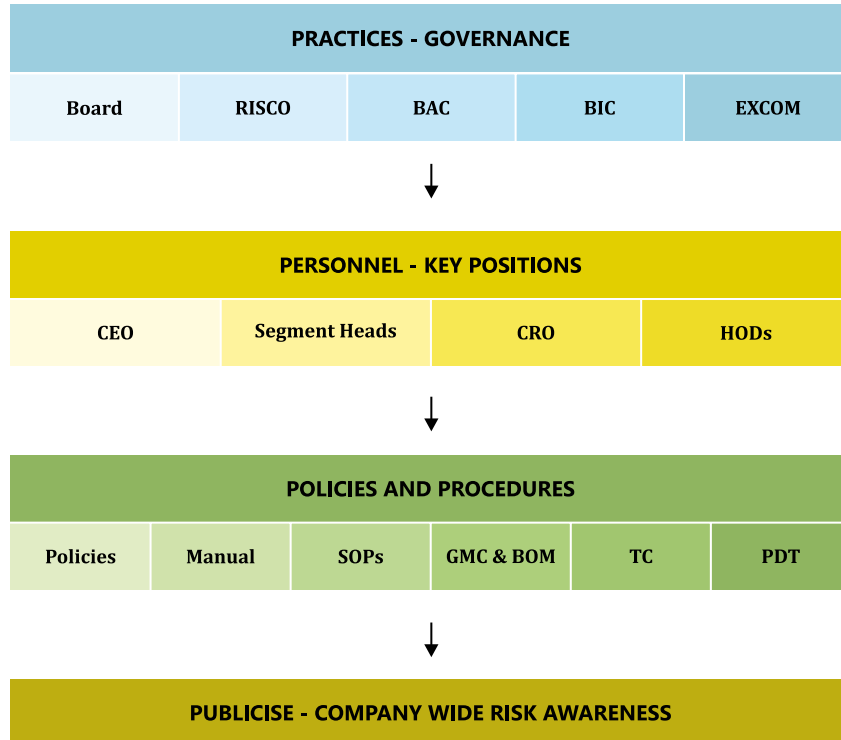
Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above Category and these items have been graded based on the above parameters of Likelihood and Consequences.

The Company adopts the following strategies in managing the Risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep Monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C)	High	Spread and/or Transfer	Spread the Risk to a Third Party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity.

ATI ENTERPRISE RISK MANAGEMENT FRAMEWORK

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



- Board – The Board of Directors
- RISCO – Board Risk Committee
- BAC – Board Audit Committee
- BIC – Board Investment Committee
- EXCOM – Executive Committee
- CEO – Chief Executive Officer
- CRO – Chief Risk Officer
- HODs – Heads of Departments
- SOPs – Standard Operating Procedures
- GMC – General Management Committee
- BOM – Business Operations Management
- TC – Technical Committee
- PDT – Product Development Team

The ERM framework operates on a bottom-up approach in terms of its lines of Defence.

1. First Line of Defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

2. Second Line of Defence

Policies and Procedures – Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has re-structured the

Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the groups.

3. Third Line of Defence

Key Personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

4. Final Line of Defence

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there

are Sub-Committees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These Committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

RISK MANAGEMENT PROCESS

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at BOM, GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	• Average Rates by Sub-Classes • Claims Ratios by Sales Teams and Sub-Classes • Product Profitability • RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	• Daily Target Achievements • Variance Analysis • Client Satisfaction Index
Market Risk	• Interest Rate Movement • Bullion Market Movement • Equity Market Movement • Economic Indicators • Changes in Tax Regulations • Changes in Government Policies

Risk Area	Key Risk Indicator
Operational Risk	• Staff Turnover Ratio • Staff Satisfaction Index • Internal/External Audit Findings • Deviations from ISO Standards on Safety Measures • Current and Liquidity Ratios
Credit Risk	• Debtors Turnover Ratio (Days)
Compliance Risk	• Queries Raised by Regulator/Ombudsman • Pending Legal Matters • Unresolved Audit Queries • Items in the Management Letter • Investment Portfolio Mix

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, General Manager Operations and Medical Takaful, Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Compliance and Corporate Risk also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meeting when required.

KEY AREAS REVIEWED BY THE BOARD RISK COMMITTEE DURING 2016

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of new product, Livestock.
- Review of new Retakaful arrangement pertaining to Medical business
- Review of the Family Takaful Fund and available surplus.
- Review of key risks pertaining to Family Takaful Business.

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Members	No. of Meetings Attended
Dato' Moh'd Fadzli Yusof – Chairman/Independent Non-Executive Director	3 out of 3
M.H.M. Rafiq Independent Non-Executive Director	3 out of 3
Dr. A.A.M. Haroon Non-Executive Director	3 out of 3
A.S.M. Muzzammil Independent Non-Executive Director	3 out of 3

An Evolving Technology

By employing and leveraging constantly evolving technology, AFB has successfully delivered with success, on time management and improved productivity, which have in turn allowed us to better serve the customer. We are continuously looking at how technology may be leveraged to improve our customer offering.



The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31st December 2016, to be presented at the Eighteenth Annual General Meeting of the Company.

REVIEW OF THE YEAR

The Chairman's Review on pages 6 to 7 describes the Company's affairs and mentions important events that occurred during the year and up-to-the-date of this Report. The Management Discussion and Analysis on pages 20 to 26 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

PRINCIPAL ACTIVITIES

The principal activity of the Company is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amāna Takaful Life PLC, a subsidiary of Amāna Takaful PLC.

FINANCIAL STATEMENTS

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and comply with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Board of Sri Lanka are given on pages 72 to 150 of this Annual Report.

INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the Financial Statements is given on page 71 of this Annual Report.

ACCOUNTING POLICIES

The accounting policies adopted in preparation of the Financial Statements are given on pages 83 to 98.

FINANCIAL RESULTS AND APPROPRIATIONS

The Loss After Taxation of the Company for the year was Rs. 139.2 Mn (2015 – Profit Rs. 265.3 Mn) and the Loss After Taxation of the Group for the year was Rs. 146.1 Mn (2015 – Rs. 280.5 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund has increased to Rs. 2,064 Mn from Rs. 1,766.5 Mn in 2015.

PROPERTY, PLANT AND EQUIPMENT

During the year under review, the capital expenditure on Property, Plant and Equipment for the Group amounted to Rs. 5.9 Mn (2015 – Rs. 21.9 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 6 to the Financial Statements.

FINANCIAL ASSETS

Details of financial assets held by the Company are given in Note 9 to the Financial Statements.

RESERVES

Accumulated Loss as at 31st December 2016 for the Company and Group amounted to Rs. 136 Mn (2015 – Rs. 5.6 Mn) and loss of Rs. 564.3 Mn (2015 – Rs. 420.8 Mn), respectively. The breakup and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

STATED CAPITAL

The stated capital of the Company as at 31st December 2016 was Rs. 1,860,001,339/- represented by 1,800,001,296 ordinary shares. The Company raised Rs. 210,000,151/- through a Rights Issue of 300,000,216 ordinary shares with one ordinary share for every five existing ordinary shares at Rs. 0.70 per share during the year. The details of the stated capital are given in Note 15 to the Financial Statements on page 114.

CONTINGENT LIABILITIES

There were no material contingent liabilities outstanding as at 31st December 2016 other than those reported in Note 39 to the Financial Statements.

MATERIAL ISSUES PERTAINING TO EMPLOYEES AND INDUSTRIAL RELATIONS OF THE COMPANY

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

POST-BALANCE SHEET EVENTS

There were no material events occurring after the Reporting date that require adjustments or disclosure in the Financial Statements.

DIRECTORS' RESPONSIBILITIES

The Statement of the Directors' Responsibilities is given on page 68 of this Annual Report.

CORPORATE GOVERNANCE

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 39 to 47 of this Annual Report.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

INTERESTS REGISTER

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 37 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding below:

BOARD COMMITTEES**Audit and Compliance Committee**

Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

1. Dato' Mohd Fadzli Yusof – Chairman
2. M.H.M. Rafiq
3. A.S.M. Muzzammil

The Report of the Audit Compliance Committee on pages 61 and 62 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

REMUNERATION COMMITTEE

Following are the names of the Directors comprising the Remuneration Committee of the Board:

1. Dato' Mohd Fadzli Yusof – Chairman
2. M.H.M. Rafiq
3. Dr. A.A.M. Haroon
4. A.S.M. Muzzammil

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 63. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 33 to the Financial Statements.

RELATED PARTY TRANSACTION COMMITTEE

Following are the names of the Directors comprising Related Party Transaction Committee of the Board:

1. Dr. Ifthikarudeen A. Ismail - Chairman
2. M.H.M. Rafiq
3. M. Ehsan Zaheed

SHARE INFORMATION AND SUBSTANTIAL SHAREHOLDINGS

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 152 and 153.

The earnings per share, dividends per share, net assets per share are given on page 153.

DIRECTORS

The Directors of the Company during the year are as follows:

	Date of Appointment	Date of Resignation
Tyeab Akbarally	07.12.1998	-
Osman Kassim	07.12.1998	-
M.H.M. Rafiq	07.12.1998	-
Dato' Mohd Fadzli Yusof	10.02.1999	-
Dr. A.A.M. Haroon	21.09.2000	-
M. Ehsan Zaheed	01.10.2003	-
A.S.M. Muzzammil	29.04.2010	-
Dr. I.A. Ismail	06.06.2012	-
R. Gopinath	06.06.2012	-
M.R.M. Nayeem	07.03.2016	-
M.H. Sattar Kassim	07.03.2016	-

A brief profile of the Directors are given on pages 10 and 13 of this Annual Report.

In terms of Section 83 of the Articles of Association of the Company, Mr. Radhakrishnan Gopinath retires by rotation and being eligible has offered himself for re-election.

In terms of Section 211 of the Companies Act No. 07 of 2007, the following Directors who are above 70 years of age retire by rotation and being eligible have offered themselves for re-election and the following resolutions to be passed accordingly, if thought fit.

I. Re-election of Dr. Ifthikarudeen Ahamed Ismail

IT IS HEREBY RESOLVED: To re-elect Dr. Ifthikarudeen Ahamed Ismail who is 79 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dr. Ifthikarudeen Ahamed Ismail.

II. Re-election of Mr. M.H.M. Rafiq

IT IS HEREBY RESOLVED: To re-elect Mr. M.H.M. Rafiq who is 72 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mr. M.H.M. Rafiq.

III. Re-election of Dato' Mohd Fadzli Yusof

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd Fadzli Yusof who is 72 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

DIRECTORS' SHAREHOLDINGS

The interest of the Directors in the shares of the Company as at 31st December 2016 were as follows:

As at 31st December	No. of Ordinary Shares	
	2016	2015
Tyeab Akbarally	120	120
Osman Kassim	6,691,624	5,425,568
Dato' Mohd Fadzli Yusof	-	-
Dr. A.A.M. Haroon	40	40
M.H.M. Rafiq	20	20
M. Ehsan Zaheed	65,000	65,000
A.S.M. Muzzammil	-	-
Dr. I.A. Ismail	-	-
R. Gopinath	-	-
M.R.M. Nayeem	-	-
M.H. Sattar Kassim	-	-

INDEPENDENCE OF DIRECTORS

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 45.

RELATED PARTY TRANSACTIONS

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes in the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', in Note 37 to the Financial Statements.

GOING CONCERN

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

AUDITORS

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 33 on page 126 of this Annual Report.

As far as the Directors are aware, the Auditors do not have any relationship on interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

NOTICE OF ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 19th May 2017 at 2.15 p.m. at the Committee Room B, Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 07. The Notice of the Annual General Meeting appears on page 161 of this Annual Report.

For and on behalf of the Board,



Tyeab Akbarally
Chairman



M. Ehsan Zaheed
Director



Managers & Secretaries (Pvt) Ltd.
Secretaries

Amāna Takaful PLC

12th April 2017
Colombo

COMPOSITION

The Audit Committee, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) three are Independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Members	No. of Meetings Attended
Dato' Moh'd Fadzli Yusof – Chairman Independent Non-Executive Director	4 out of 4
M.H.M. Rafiq – Independent Non-Executive Director	3 out of 4
Aboo Sally Mohamed Muzzammil – Independent Non-Executive Director	4 out of 4

S.H.M. Giado, the Chief Internal Auditor, Amāna Bank PLC, was nominated to the Committee in view of his contribution in terms of technical expertise.

The Chief Executive Officer, General Manager Operations and Medical Takaful as well as Head of Sales and Marketing were invited to be present at all meetings of the Committee during the period under review. The Senior Manager, Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments Compliance and Corporate Risk, Finance, Underwriting, Claims and Reinsurance/Retakaful. Other members of the Management were also invited to attend the meeting when required.

Agendas and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

OBJECTIVES, DUTIES AND RESPONSIBILITIES

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with Sri Lanka Accounting Standard and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors, and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls and risk management processes.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

INTERNAL AUDIT

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical reserve, claims and underwriting as well as Treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

EXTERNAL AUDIT

The Committee reviewed the Management Letter and other recommendations submitted by the External Auditors, Messrs Ernst & Young and followed up the issues raised, during the financial year under review. From time to time during the period under review, External Auditors made presentations and briefings to the Committee on issues related to new accounting standards and regulatory requirements.

The Committee further made recommendations in relation to the remuneration, functions and terms of engagement of the External Auditors, particularly in relation to their audit work.

PROVISION OF NON-AUDIT SERVICE

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

CONCLUSION

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliance with regulatory and statutory provisions. The Committee is also comfortable that the assets of the Company have been adequately safeguarded and the requirements of independence of both the Internal and External Auditors are met. With the transparent and appropriate relationship established with the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of corporate governance and best practices.



Dato' Mohd Fadzli Yusof
*Chairman – Board Audit
and Compliance Committee*

12th April 2017
Colombo

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing reasonable, attractive and competitive remuneration packages for all level of employees, aligned with the Group's performance and interests of other stakeholders. The Committee also ensured that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

The Committee regularly reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognizance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Remuneration Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of the individual officer concerned, relative to the targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at the meetings were distributed in advance to all the members.

Other key responsibilities under the mandate of the Committee covered the following:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.

- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.

	Remarks/Comments	Meeting Attendance
Members	Comprised of four (4) Non- Executive Directors, of whom three (3) are independent	
Chairman	Dato' Mohd Fadzli Yusof – (Independent Non-Executive Director)	2/2
Other Members	Mr. M.H.M. Rafiq – (Independent Non-Executive Director)	2/2
	Dr. A.A.M. Haroon – (Non-Independent Non-Executive Director)	1/2
	Mr. A.S.M. Muzzammil (Independent Non-Executive Director) – Member from 17th February 2016	1/1
Secretary	Head of Human Resources	2/2

The Committee met twice during the year under review.



Dato' Mohd Fadzli Yusof

Chairman – Remuneration Committee

14th February 2017

Colombo

OBJECTIVE OF THE COMMITTEE

The Committee reviews all related party transactions of Amāna Takaful PLC to ensure that the Company complies with the Rules set out under Section 9 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

COMPOSITION OF COMMITTEE

The Related Party Transaction Review Committee (the Committee) comprises three Non-Executive Directors, two of whom are Independent Directors.

MEETINGS OF THE COMMITTEE

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Dr. I.A. Ismail – Chairman and
Independent Non-Executive Director 4

Mr. M.H.M. Rafiq –
Independent Non-Executive Director 4

Mr. M. Ehsan Zaheed –
Non-Executive Director 3

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful Life PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Board Secretary M.H.M. Aslam served as the Secretary to the Committee.

REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the year 2016 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 37 to the Financial Statements on pages 136 to 132 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee Meetings.

CONCLUSION

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



Dr. Ifthikar Ahamed Ismail
*Chairman – Related Party Transactions
Review Committee*

12th April 2017
Colombo



Shari'ah Audit Report to the Shareholders of Amāna Takaful PLC

بسم الله الرحمن الرحيم

We have examined the operations of Amāna Takaful PLC (the 'Company') for the year ending 31st December 2016. We have also conducted our review to form an opinion as to whether the Company has complied with Shari'ah Rules and Principles and also with the specific Fatwas, Regulations and Guidelines issued by the Shari'ah Advisory Council.

RESPONSIBILITIES

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful Operations, Financing transactions, contracts and investments entered into by the Company with its clients and stakeholders are in compliance with Shari'ah regulations and principles. It is the responsibility of the Company's Management to ensure that the aforesaid are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

SCOPE OF AUDIT

The scope of our audit primarily involved the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also included interviewing staff, examining different activities conducted by the Company based on samples/documents. This include following reviews:

1. Financial Statements
2. Underwriting of different types of policies

3. Claims
4. Co-insurance operations
5. Review of Supporting Documentation
6. Re-Takaful and Re-insurance
7. Investments including the placement of funds in Government Securities

RECOMMENDATION

Based on the review of various transactions and operations of the Company, it is recommended that:

- The Company should continue its efforts to advance the cause for Takaful concept.
- Equip staff to enhance their knowledge for effective stakeholder context.
- The Company should continue efforts with Regulators to widen the scope of Shari'ah compliant investment avenues.

OPINION

In our opinion and to the best of our information and belief and according to the explanations given to us:

- i. The Takaful Operations, Financial transactions and General Operations undertaken by the Company during the year under review were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.

- ii. Muslim Shareholders are advised to disburse Zakaah on their shares as per the Islamic Laws of Zakaah. Management has been asked to calculate, in consultation with the Shari'ah Advisory Council, the Zakaah per share that is due by shareholders.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M.I.M. Rizwe
Chairman – Shari'ah Advisory Council

Ash-Sheikh Fazil Farook
Member – Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar
Secretary – Shari'ah Advisory Council



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This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2016 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting, principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company as at the Reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Tyeab Akbarally
Chairman

12th April 2017
Colombo, Sri Lanka

To the Shareholders of Amāna Takaful Life PLC.

ACTUARIAL VALUATION OF THE LONG-TERM INSURANCE BUSINESS AS AT 31ST DECEMBER 2016

We have carried out an actuarial valuation of the Long-Term Insurance Business as at 31st December 2016. We hereby certify that, in our opinion,

1. Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long-Term Insurance Fund;
2. Adequate and proper reserves have been provided as at 31st December 2016, for insurance related risk liabilities in respect of the Long-Term Insurance Fund, taking into account all current and contingent liabilities as at that date.



Zainal Abidin Mohd. Kassim

Fellow of the Institute of Actuaries

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50250 Kuala Lumpur
Malaysia

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Fax: 603 2161 3595

Kuala Lumpur

6th April 2017


**AMĀNA TAKAFUL PLC
31ST DECEMBER 2016
NET IBNR AND LAT
CERTIFICATION**

I hereby certify that the undiscounted Central Estimate of IBNR provision of Rs. 34,448,543 inclusive of claim handling expenses is adequate in relation to the Claim Liability of Amāna Takaful PLC as at 31st December 2016, net of retakaful. This IBNR provision, together with the Case Reserves held by the Operator, is expected to be adequate to meet the future liabilities in respect of the Operator's reported claims obligations as at 31st December 2016, in many, but not all, scenarios of future experience.

At the end of each Reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT is performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). I hereby certify that the UCR provision of Rs. 425,687,690 set by the Operator, net of retakaful is adequate in relation to the unexpired risks of Amāna Takaful PLC as at 31st December 2016, in many, but not all, scenarios of future experience.

The results have been determined in accordance with internationally-accepted actuarial principles.

I have relied upon information and data provided by the management of the above operator and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonability of the data.



Phan Ngoc Hung

Fellow of the Institute of
Actuaries of France
For and on behalf of NMG Consulting

12th April 2017



Ernst & Young
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SPF/HLKC/HK

TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Amana Takaful PLC, ('the Company') and the Consolidated financial statements of the Company and its subsidiaries ('Group'), which comprise the statement of financial position as at 31 December 2016, and the statement of comprehensive income, statement of changes in equity and, statement of cash flows for the year then ended and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ('Board') is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform

the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain about amount evidence and disclosures in the financial statements. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at 31 December 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by Section 163(2) of the Companies Act No. 07 of 2007, we state the following:

- (a) The basis of opinion and Scope and Limitations of the audit are as stated above.
- (b) In our opinion:
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - The financial statements of the Company give a true and fair view of the financial position as at 31 December 2016 and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards
 - The financial statements of the Company and the Group, comply with the requirements of Section 151 and 153 of the Companies Act No. 07 of 2007.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No. 43 of 2000, as far as appears from our examination the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Board of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

12 April 2017
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA

Principal T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

As at 31st December	Notes	Group		Company	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Assets					
Intangible Assets	5	36,658,107	24,703,309	8,215,697	3,268,669
Property, Plant and Equipment	6	101,870,083	123,230,578	81,974,142	102,811,631
Deferred Tax Assets	35.2	104,330,875	99,702,606	97,594,408	97,594,408
Investment Property	7	78,500,000	73,500,000	78,500,000	73,500,000
Investment in Subsidiaries	8	-	-	1,074,322,352	1,124,322,352
Financial Assets	9	2,305,094,853	2,448,384,541	874,366,499	720,613,338
Retakaful (Reinsurance) Receivables		383,234,370	40,366,531	213,900,783	25,907,745
Contribution (Premium) Receivables	10	423,594,316	528,442,104	328,235,215	322,668,907
Other Assets	11	170,070,907	134,955,421	103,983,447	85,290,304
Other Assets – Unit Linked	12	32,055,415	37,971,813	-	-
Financial Assets – Unit Linked	13	1,441,276,268	1,054,182,514	-	-
Cash and Bank Balances	14	368,874,066	133,915,913	78,897,531	47,709,756
Cash and Bank Balances – Unit Linked	14	72,192,842	46,639,393	-	-
Total Assets		5,517,752,102	4,745,994,723	2,939,990,074	2,603,687,110
Liabilities					
Insurance Contract Liabilities – Non Life	18	917,870,374	742,618,418	650,675,481	588,060,786
Insurance Contract Liabilities – Family Takaful Fund	19.1	559,913,844	574,710,988	-	-
Insurance Contract Liabilities – Family Takaful Unit Linked	19.2	1,504,144,873	1,191,795,346	-	-
Employee Benefits	20	38,871,095	36,626,660	23,997,243	24,474,647
Other Liabilities – Unit Linked	21	50,315,576	39,436,759	-	-
Other Liabilities	22	465,230,356	440,570,365	174,572,524	86,951,035
Subordinated Debt	23	200,000,000	200,000,000	200,000,000	200,000,000
Finance Lease Liability	24	12,503,061	10,741,702	6,302,143	10,741,702
Short-Term Borrowings	25	87,657,018	-	87,657,018	-
Bank Overdrafts	14	40,892,192	-	38,493,174	-
Total Liabilities		3,877,398,389	3,236,500,238	1,181,697,583	910,228,170
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	15	1,860,001,339	1,650,001,188	1,860,001,339	1,650,001,188
Other Reserves	16	85,869,346	80,105,452	34,331,677	34,331,677
Revenue Reserves	17	(567,429,563)	(426,505,809)	(136,040,525)	9,126,075
		1,378,441,122	1,303,600,831	1,758,292,491	1,693,458,940
Non-Controlling Interest		261,912,591	205,893,654	-	-
Total Equity		1,640,353,713	1,509,494,485	1,758,292,491	1,693,458,940
Total Equity and Liabilities		5,517,752,102	4,745,994,723	2,939,990,074	2,603,687,110

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Rinaz Niyas
Head of Finance



M. Fazal Ghaffoor
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board by,



Tyeab Akbarally
Chairman



M.H.M. Rafiq
Director

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

12th April 2017
Colombo

Year Ended 31st December	Notes	Group		Company	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Gross Written Contribution (Premium)	26	3,406,903,789	3,237,609,198	1,618,163,799	1,547,445,375
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(896,277,479)	(666,752,524)	(387,443,446)	(262,451,331)
Net Written Contribution (Premium)		2,510,626,310	2,570,856,674	1,230,720,353	1,284,994,044
Net Change in Reserve for Unearned Contribution (Premium)		38,170,826	(59,483,158)	54,527,741	(47,511,263)
Net Earned Contribution (Premium)		2,548,797,136	2,511,373,516	1,285,248,094	1,237,482,781
Other Revenue					
Income from Investments	27	307,793,028	185,723,522	128,007,396	46,781,493
Impairment charges on Available-for-Sale Financial Instruments	9.4.2	(36,486,513)	-	-	-
Other Income	28	61,482,305	50,349,553	11,471,256	7,923,012
Total Revenue		2,881,885,956	2,747,446,591	1,424,726,746	1,292,187,286
Fair Value Gains and Losses		4,043,873	4,539,234	855,979	747,649
Fair Value of Investment Transferred	8	-	-	-	587,197,352
Total Revenue Including Fair Value of Investment Transferred	29	2,885,629,829	2,751,985,825	1,425,582,725	1,880,132,287
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	30	(1,438,345,513)	(1,337,089,798)	(876,718,422)	(965,579,081)
Acquisition Cost (Net of Reinsurance Commission)		(238,515,121)	(226,903,823)	(82,238,893)	(84,014,605)
Change in Family Takaful Contract Liability		(301,047,944)	(482,826,576)	-	-
Other Operating and Administration Expenses	31	(1,011,703,736)	(969,039,477)	(573,985,814)	(560,653,116)
Amortisation	32	(4,594,130)	(5,141,517)	(1,331,931)	(2,656,153)
Total Claims, Benefits and Expenses		(2,994,206,444)	(3,021,001,191)	(1,534,275,060)	(1,612,902,955)
Profit/(Loss) from Operations	33	(108,576,615)	(269,015,366)	(108,692,335)	267,229,332
Finance Cost	34	(31,662,635)	(2,371,332)	(30,481,030)	(1,941,399)
Profit/(Loss) Before Taxation		(140,239,250)	(271,386,698)	(139,173,365)	265,287,933
Income Tax	35	(5,919,046)	(9,113,439)	-	-
Profit/(Loss) for the Year		(146,158,296)	(280,500,137)	(139,173,365)	265,287,933
Profit/(Loss) Attributable to:					
Equity Holders of the Parent		(154,434,189)	(301,188,689)	(139,173,365)	265,287,933
Non-Controlling Interest		8,275,893	20,688,552	-	-
		(146,158,296)	(280,500,137)	(139,173,365)	265,287,933
Earnings/(Loss) Per Share					
Basic, Diluted Earnings/(Loss) Per Share	36.2	(0.09)	(0.18)	(0.08)	0.17
Profit/(Loss) for the Period		(146,158,296)	(280,500,137)	(139,173,365)	265,287,933
Other Comprehensive Income					
Items that will Never be Reclassified to Profit or Loss					
Revaluation of Property, Plant and Equipment		-	9,518,159	-	7,348,684
Defined Benefit Plan Actuarial Losses	20.1	(2,652,387)	(1,295,296)	(2,446,671)	1,061,120
		(2,652,387)	8,222,863	(2,446,671)	8,409,804
Items that are or may be Reclassified to Profit or Loss					
Net Change in Fair Value of Available-for-Sale Financial Assets -		(1,231,957)	(4,126,880)	(855,979)	(747,649)
Net Change in Fair Value of Available-for-Sale Financial Assets -					
Reclassified to Profit or Loss		14,524,006	(2,805,465)	(2,690,585)	(2,890,162)
Net Change in Fair Value of Available-for-Sale Financial Assets -					
Transfer (to)/from Policyholders Reserve		(2,777,644)	(98,867)	-	-
Foreign Currency Translation Differences for Foreign Operations		14,600,318	44,213,037	-	-
		25,114,723	37,181,825	(3,546,564)	(3,637,811)
Other Comprehensive Income, Net of Tax		22,462,336	45,404,688	(5,993,235)	4,771,993
Total Comprehensive Income for the Year		(123,695,960)	(235,095,449)	(145,166,600)	270,059,926
Total Comprehensive Income Attributable to:					
Equity Holders of the Parent		(146,309,912)	(274,880,454)	(145,166,600)	270,059,926
Non-Controlling Interest		22,613,952	39,785,005	-	-
		(123,695,960)	(235,095,449)	(145,166,600)	270,059,926

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

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ANNUAL REPORT 2016 / AMĀNA TAKAFUL PLC

Year ended 31st December 2016	Other Reserves				Revenue Reserves			Non-Controlling Interest	Total
	Stated Capital	Prepaid Share Reserve	Revaluation Reserve	Translation Reserve	Policyholders' Reserve	Available-for-Sale Reserve	Accumulated Loss		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group									
Balance as at 1st January 2015	1,250,000,900	15,969,452	30,128,071	19,287,130	-	564,623	(121,499,727)	176,688,500	1,371,138,949
Net Profit/(Loss) for the Year	-	-	-	-	-	-	(301,188,689)	20,688,552	(280,500,137)
Other Comprehensive Income									
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-	-	-	(3,327,466)	-	(799,414)	(4,126,880)
Net Change in Fair Value of Available-for-Sale Financial Assets - Transferred to Profit or Loss	-	-	-	-	-	(2,805,465)	-	-	(2,805,465)
Net Change in Fair Value of Property, Plant and Equipment	-	-	-	-	-	-	-	-	-
Net of Deferred Tax	-	-	9,518,159	-	-	-	-	-	9,518,159
Foreign Currency Translation Differences for Foreign Operations	-	-	-	24,317,170	-	-	-	19,895,867	44,213,037
Net Change in Fair Value of Available-for-Sale Financial Assets - Transfer (to)/from Policyholders Reserve	-	-	-	-	(98,867)	-	-	-	(98,867)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	-	(1,295,296)	-	(1,295,296)
Total Comprehensive Income	-	-	9,518,159	24,317,170	(98,867)	(6,132,931)	(302,483,985)	39,785,005	(235,095,449)
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	-	-	(3,145,078)	-	-	-	3,145,078	-	-
Dividend Paid	-	-	-	-	-	-	-	(10,579,851)	(10,579,851)
Ordinary Shares issued	400,000,288	(15,969,452)	-	-	-	-	-	-	384,030,836
Balance as at 31st December 2015	1,650,001,188	-	36,501,152	43,604,300	(98,867)	(5,568,308)	(420,838,634)	205,893,654	1,509,494,485
Net Profit/(Loss) for the Period	-	-	-	-	-	-	(154,434,189)	8,275,893	(146,158,296)
Other Comprehensive Income									
Net Change in Fair Value of Available-for-Sale Financial Assets - Net of Deferred Tax	-	-	-	-	-	(1,062,767)	-	(169,190)	(1,231,957)
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Profit or Loss	-	-	-	-	(317,466)	6,729,351	-	8,112,121	14,524,006
Foreign Currency Translation Differences for Foreign Operations	-	-	-	8,030,175	-	-	-	6,570,143	14,600,318
Net Change in Fair Value of Available-for-Sale Financial Assets - Transfer (to)/from Policyholders' Reserve	-	-	-	-	(2,766,354)	-	-	(11,290)	(2,777,644)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	-	(2,488,663)	(163,724)	(2,652,387)
Total Comprehensive Income	-	-	-	8,030,175	(3,083,820)	5,666,584	(156,922,852)	22,613,953	(123,695,960)
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	-	-	(2,049,333)	-	-	-	2,049,333	-	-
Dividend Paid	-	-	-	-	-	-	-	(17,004,949)	(17,004,949)
Expenses on Initial Public Offer	-	-	-	-	-	-	(13,440,014)	-	(13,440,014)
Ordinary Shares Issued	210,000,151	-	-	-	-	-	-	-	210,000,151
Changes in Ownership Interests									
Effect of Acquisitions, Disposals and Change in Percentage Holdings in Subsidiaries	-	-	(216,948)	-	9,887	-	24,797,128	50,409,933	75,000,000
Total Changes in Ownership Interests	-	-	(216,948)	-	9,887	-	24,797,128	50,409,933	75,000,000
Balance as at 31st December 2016	1,860,001,339	-	34,234,871	51,634,475	(3,172,800)	98,276	(564,355,039)	261,912,591	1,640,353,713

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

Year ended 31st December 2016	Other Reserves			Revenue Reserves		Total
	Stated Capital	Prepaid Share Reserve	Revaluation Reserve	Available-for-Sale Reserve	Accumulated Profit/(Loss)	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Company						
Balance as at 1st January 2015	1,250,000,900	15,969,452	30,128,071	7,184,375	(263,914,621)	1,039,368,177
Total Comprehensive Income						
Net Profit for the Year	-	-	-	-	265,287,934	265,287,934
Other Comprehensive Income						
Net Change in Fair Value of Available-for-Sale Financial Assets Net of Deferred Tax	-	-	-	(747,649)	-	(747,649)
Net Change in Fair Value of Available-for-Sale Financial Assets - Transferred to Profit or Loss	-	-	-	(2,890,162)	-	(2,890,162)
Net Change in Revaluation of Property, Plant and Equipment Net of Deferred Tax	-	-	7,348,684	-	-	7,348,684
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	1,061,120	1,061,120
Total Comprehensive Income	-	-	7,348,684	(3,637,811)	266,349,054	270,059,927
Transfer from the Revaluation Reserve	-	-	(3,145,078)	-	3,145,078	-
Ordinary Shares Issued	400,000,288	(15,969,452)	-	-	-	384,030,836
Balance as at 31st December 2015	1,650,001,188	-	34,331,677	3,546,564	5,579,511	1,693,458,940
Net Loss for the Period	-	-	-	-	(139,173,365)	(139,173,365)
Other Comprehensive Income						
Net Change in Fair Value of Available-for-Sale Financial Assets, Net of Deferred Tax	-	-	-	(855,979)	-	(855,979)
Net Change in Fair Value of Available-for-Sale Financial Assets - Transferred to Profit or Loss	-	-	-	(2,690,585)	-	(2,690,585)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	(2,446,671)	(2,446,671)
Total Comprehensive Income	-	-	-	(3,546,564)	(141,620,036)	(145,166,600)
Ordinary Shares Issued	210,000,151	-	-	-	-	210,000,151
Balance as at 31st December 2016	1,860,001,339	-	34,331,677	-	(136,040,525)	1,758,292,491

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

Year Ended 31st December	Notes	Group		Company	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Operating Activities					
Contribution (Premium) Received from Participants		3,511,751,577	3,219,087,617	1,612,597,491	1,615,901,451
Retakaful (Reinsurance) Premium Paid		(738,084,008)	(642,658,162)	(269,462,150)	(281,168,915)
Claims, Benefits and Expenses Paid		(1,669,175,704)	(1,307,807,296)	(1,175,485,469)	(1,003,263,772)
Retakaful (Reinsurance) Receipts in Respect of Claims		253,135,895	99,551,929	227,364,249	95,527,238
Cash Paid to and on Behalf of Employees		(395,934,141)	(358,459,724)	(224,556,588)	(210,986,724)
Profits Received from Investments and Other Income		144,714,992	162,000,040	25,717,947	34,367,588
Dividends Received		8,187,924	19,256,057	22,835,176	9,298,084
Finance Cost Paid	34	(31,662,635)	(2,371,337)	(30,481,030)	(1,941,399)
Other Operating Cash Payments		(950,761,965)	(698,956,967)	(385,513,811)	(451,469,626)
Cash Flow from/(used in) Operating Activities (Note A)		132,171,935	489,642,157	(196,984,185)	(193,736,075)
Gratuity Paid		(11,720,566)	(4,606,773)	(8,681,348)	(4,361,777)
Income Tax Paid		(9,487,143)	-	-	-
Net Cash Flow from/(used in) Operating Activities		110,964,226	485,035,384	(205,665,533)	(198,097,852)
Investing Activities					
Net Disposal/(Purchase) of Investment Securities		(573,450,796)	(733,707,168)	(418,506,818)	50,636,311
Purchase of Intangible Assets		(16,310,863)	(6,638,439)	(6,278,959)	-
Proceeds from Disposal of Intangible Assets		220,521	2,223,232	-	2,223,231
Purchase of Property, Plant and Equipment		(8,243,858)	(21,952,193)	(4,900,660)	(10,101,491)
Proceeds from Disposal of Property, Plant and Equipment		5,249,087	5,032,235	-	4,857,050
Proceeds from Disposal Investment Property		-	32,750,000	-	16,000,000
Disposal (Investment in) of Subsidiaries		75,000,000	-	75,000,000	(380,000,000)
Net Cash Flows used in Investing Activities		(517,535,909)	(722,292,333)	(354,686,437)	(316,384,899)
Financing Activities					
Repayment of Lease Facility		(7,034,258)	(5,849,864)	(5,757,938)	(5,849,863)
Short-Term Loans Obtained		250,000,000	-	250,000,000	-
Repayment of Short-Term Borrowings		(162,342,982)	-	(162,342,982)	-
Proceeds from Issue of Subordinated Debt		-	200,000,000	-	200,000,000
Dividend Paid		(17,004,949)	(10,579,851)	-	-
Costs on Initial Public Offer		(13,440,014)	-	-	-
Proceeds from Rights Issue		210,000,151	384,030,836	210,000,151	384,030,836
Net Cash Flows from Financing Activities		260,177,948	567,601,121	291,899,231	578,180,973
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		(146,393,735)	330,344,173	(268,452,739)	63,698,222

Year Ended 31st December	Notes	Group		Company	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
NOTE A					
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations					
Profit/(Loss) from Operations		(108,576,615)	(269,015,366)	(108,692,335)	267,229,332
Depreciation	33	32,493,627	31,022,375	25,738,149	26,223,698
Amortisation		4,594,130	5,141,515	1,331,931	2,656,151
Provision for Gratuity		11,024,570	8,706,158	5,757,273	5,212,537
(Gain)/Losses from FVTPL Investments		(10,963,648)	(9,006,664)	59,753	(3,863,470)
Fair Value of Investment Transferred		-	-	-	(587,197,352)
(Increase)/Decrease in Debtors and Other Assets		(267,219,139)	83,303,191	(212,252,489)	114,661,382
Increase in Family Takaful (Long-Term Insurance) Fund		297,552,383	461,074,257	-	-
Increase/(Decrease) in Net Unearned Contribution (Premium)		(38,170,826)	67,829,612	(54,527,741)	47,511,264
Increase/(Decrease) in IBNR & General Reserve Provision		(2,685,830)	23,433,604	(77,325)	20,986,102
Increase/(Decrease) in Claims Provision		216,108,612	28,267,441	117,219,761	(678,943)
Increase/(Decrease) in Other Creditors		35,255,419	65,952,692	88,939,868	(78,234,994)
Profit on Sale of Property, Plant and Equipment		(578,113)	(245,326)	-	(250,383)
Finance Cost	34	(31,662,635)	(2,371,332)	(30,481,030)	(1,941,399)
(Gain)/Loss on Fair Value of Investment Property		(5,000,000)	(7,500,000)	(5,000,000)	(7,500,000)
(Profit)/Loss on Sale of Investment Property		-	3,050,000	-	1,450,000
Profit on Disposal of Subsidiary		-	-	(25,000,000)	-
Cash Flows from/(used in) Operating Activities		132,171,935	489,642,157	(196,984,185)	(193,736,075)
Note B					
Increase/(Decrease) in Cash and Cash Equivalents					
Cash and Cash Equivalents at the end of the Period		702,293,899	848,687,634	152,075,239	420,527,978
Cash and Cash Equivalents at the beginning of the Year	14	848,687,634	518,343,461	420,527,978	472,852,290
Cash and Cash Equivalents Transferred to Amāna Takaful Life PLC		-	-	-	(116,022,534)
Increase/(Decrease) in Cash and Cash Equivalents		(146,393,735)	330,344,173	(268,452,739)	63,698,222

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

78 / **SEGMENTAL ANALYSIS – STATEMENT OF FINANCIAL POSITION – 2016**

ANNUAL REPORT 2016 / AMĀNA TAKAFUL PLC

As at 31st December 2016	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Ltd. Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	8,215,697	23,548,554	10,971,880	-	(6,078,024)	36,658,107
Property, Plant and Equipment	81,974,142	17,466,682	2,310,185	119,074	-	101,870,083
Deferred Tax Asset	97,594,408	-	6,736,467	-	-	104,330,875
Investment Property	78,500,000	-	-	-	-	78,500,000
Investment in Subsidiaries	1,074,322,352	-	-	43,122,540	1,117,444,892)	-
Financial Assets	874,366,499	1,018,398,152	412,130,382	199,820	-	2,305,094,853
Retakaful (Reinsurance) Receivables	213,900,783	2,250,876	167,082,711	-	-	383,234,370
Contribution (Premium) Receivables	328,235,215	27,199,034	68,160,067	-	-	423,594,316
Other Assets	103,787,307	33,397,570	45,258,079	127,951	(12,500,000)	170,070,907
Other Assets – Unit Linked	-	32,055,415	-	-	-	32,055,415
Financial Assets – Unit Linked	-	1,441,276,268	-	-	-	1,441,276,268
Related Party Receivable	196,140	5,356,660	845,466	-	(6,398,266)	-
Call Deposit	-	13,698,184	-	-	-	13,698,184
Cash and Bank Balances	78,897,531	20,758,435	255,479,971	39,945	-	355,175,882
Cash and Bank Balances – Unit Linked	-	72,192,842	-	-	-	72,192,842
Total Assets	2,939,990,074	2,707,598,672	968,975,208	43,609,330	(1,142,421,182)	5,517,752,102
Liabilities						
Insurance Contract Liabilities – Non-Life	650,675,481	-	267,194,893	-	-	917,870,374
Insurance Contract Liabilities – Family Takaful Fund	-	559,913,844	-	-	-	559,913,844
Insurance Contract Liabilities – Family Takaful – Unit Linked	-	1,504,144,873	-	-	-	1,504,144,873
Employee Benefits	23,997,243	4,316,884	10,431,332	125,636	-	38,871,095
Other Liabilities – Unit Linked	-	50,315,576	-	-	-	50,315,576
Other Liabilities	169,215,864	59,189,422	227,955,432	21,369,639	(12,500,001)	465,230,356
Related Party Payable	5,356,660	-	196,140	845,466	(6,398,266)	-
Subordinated Debt	200,000,000	-	-	-	-	200,000,000
Finance Lease Liability	6,302,143	6,200,918	-	-	-	12,503,061
Short-Term Borrowings	87,657,018	-	-	-	-	87,657,018
Bank Overdrafts	38,493,174	-	-	2,399,018	-	40,892,192
Total Liabilities	1,181,697,583	2,184,081,517	505,777,797	24,739,759	(18,898,267)	3,877,398,389
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	34,331,677	120,142	93,751,553	-	(42,334,026)	85,869,346
Revenue Reserves	(136,040,525)	23,397,013	167,075,139	(18,255,429)	(603,605,761)	(567,429,563)
	1,758,292,491	523,517,155	463,197,411	18,869,571	(1,385,435,506)	1,378,441,122
Non-Controlling Interest	-	-	-	-	261,912,591	261,912,591
Total Equity	1,758,292,491	523,517,155	463,197,411	18,869,571	(1,123,522,915)	1,640,353,713
Total Equity and Liabilities	2,939,990,074	2,707,598,672	968,975,208	43,609,330	(1,142,421,182)	5,517,752,102

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

Year Ended 31st December 2016	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Ltd. Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	1,618,163,799	820,725,085	968,014,905	-	-	3,406,903,789
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(387,443,446)	(18,204,267)	(490,629,766)	-	-	(896,277,479)
Net Written Contribution (Premium)	1,230,720,353	802,520,818	477,385,139	-	-	2,510,626,310
Add: Unearned Takaful Contribution (Premium) at the beginning of the Year	480,215,431	8,346,453	86,718,745	-	-	575,280,629
Less: Unearned Takaful Contribution (Premium) at the end of the Year	(425,687,690)	(4,811,475)	(106,610,638)	-	-	(537,109,803)
Net Earned Contribution (Premium)	1,285,248,094	806,055,796	457,493,246	-	-	2,548,797,136
Other Income						
Impairment Charges – Available-for-Sale Financial Instruments	-	-	(36,486,513)	-	-	(36,486,513)
Income from Investments	128,007,396	201,646,516	31,483,908	1,439,035	(54,783,827)	307,793,028
Other Operating Income	11,471,256	18,364,941	32,408,572	5,237,536	(6,000,000)	61,482,305
Total Revenue	1,424,726,746	1,026,067,253	484,899,213	6,676,571	(60,783,827)	2,881,585,956
Fair Value Gains and Losses	855,979	2,777,644	410,250	-	-	4,043,873
Total Revenue Including Fair Value of Investment Transferred	1,425,582,725	1,028,844,897	485,309,463	6,676,571	(60,783,827)	2,885,629,829
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits – Net	(876,718,422)	(320,181,335)	(241,445,756)	-	-	(1,438,345,513)
Acquisition Cost (Net of Reinsurance Commission)	(82,238,893)	(108,237,419)	(48,038,809)	-	-	(238,515,121)
Increase in Family Takaful (Long-Term Insurance) Fund	-	(301,047,944)	-	-	-	(301,047,944)
Less: Indirect Expenses						
Other Operating, Investment Related and Administration Expenses	(548,247,665)	(256,840,224)	(171,117,416)	(9,004,804)	6,000,000	(979,210,109)
Amortisation	(1,331,931)	(1,138,797)	(3,571,313)	(114,589)	1,562,500	(4,594,130)
Depreciation	(25,738,149)	(4,526,507)	(1,630,464)	(598,507)	-	(32,493,627)
Profit/(Loss) from Operations	(108,692,335)	36,872,671	19,505,705	(3,041,329)	(53,221,327)	(108,576,615)
Finance Cost	(30,481,030)	(1,181,605)	-	-	-	(31,662,635)
Profit/(Loss) Before Taxation	(139,173,365)	35,691,066	19,505,705	(3,041,329)	(53,221,327)	(140,239,250)
Income Tax	-	-	(4,919,046)	-	(1,000,000)	(5,919,046)
Profit/(Loss) for the Period	(139,173,365)	35,691,066	14,586,659	(3,041,329)	(54,221,327)	(146,158,296)

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

As at 31st December 2015	Amāna Takaful PLC	Amāna Takaful Life PLC	Amāna Takaful (Maldives) PLC	Amāna Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Intangible Assets	3,268,669	18,408,394	10,454,276	212,494	(7,640,524)	24,703,309
Property, Plant and Equipment	102,811,631	14,932,249	3,591,012	1,895,686	-	123,230,578
Deferred Tax Asset	97,594,408	-	2,108,198	-	-	99,702,606
Investment Property	73,500,000	-	-	-	-	73,500,000
Investment in Subsidiaries	1,124,322,352	-	-	43,122,540	(1,167,444,892)	-
Financial Assets	720,613,338	1,089,312,676	633,972,463	4,486,064	-	2,448,384,541
Retakaful (Reinsurance) Receivables	25,907,745	1,971,743	12,487,044	-	-	40,366,531
Contribution (Premium) Receivables	322,668,907	54,301,540	151,471,657	-	-	528,442,104
Other Assets	85,290,304	33,673,170	35,149,179	7,674,798	(26,832,030)	134,955,421
Other Assets – Unit Linked	-	37,971,813	-	-	-	37,971,813
Financial Assets – Unit Linked	-	1,054,182,514	-	-	-	1,054,182,514
Call Deposit	-	628,733	-	-	-	628,733
Cash and Bank Balances	47,709,756	51,928,656	32,740,290	908,478	-	133,287,180
Cash and Bank Balances – Unit Linked	-	46,639,393	-	-	-	46,639,393
Total Assets	2,603,687,110	2,403,950,881	881,974,119	58,754,570	(1,202,371,956)	4,745,994,723
Liabilities						
Insurance Contract Liabilities – Non-Life	588,060,786	-	154,557,632	-	-	742,618,418
Insurance Contract Liabilities – Family Takaful Fund	-	574,710,988	-	-	-	574,710,988
Insurance Contract Liabilities – Family Takaful – Unit Linked	-	1,191,795,346	-	-	-	1,191,795,346
Employee Benefits	24,474,647	4,558,055	6,381,351	1,212,607	-	36,626,660
Other Liabilities – Unit Linked	-	39,436,759	-	-	-	39,436,759
Other Liabilities	86,951,035	77,856,180	265,987,106	37,062,586	(27,286,539)	440,570,365
Subordinated Debt	200,000,000	-	-	-	-	200,000,000
Finance Lease Liability	10,741,702	-	-	-	-	10,741,702
Total Liabilities	910,228,170	1,888,357,328	426,926,089	38,275,193	(27,286,539)	3,236,500,238
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,650,001,188	500,000,000	202,370,719	37,125,000	(739,495,719)	1,650,001,188
Other Reserves	34,331,677	2,169,475	79,151,235	-	(35,546,935)	80,105,452
Revenue Reserves	9,126,075	13,424,078	173,526,076	(16,645,623)	(605,936,417)	(426,505,809)
	1,693,458,940	515,593,553	455,048,030	20,479,377	(1,380,979,071)	1,303,600,830
Non-Controlling Interest	-	-	-	-	205,893,654	205,893,654
Total Equity	1,693,458,940	515,593,553	455,048,030	20,479,377	(1,175,085,417)	1,509,494,485
Total Equity and Liabilities	2,603,687,110	2,403,950,881	881,974,119	58,754,570	(1,202,371,956)	4,745,994,723

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

Year Ended 31st December 2015	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful (Maldives) PLC Rs.	Amāna Global Ltd. Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	1,547,445,375	928,293,778	761,870,045	-	-	3,237,609,198
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(262,451,331)	(18,481,675)	(385,819,518)	-	-	(666,752,524)
Net Written Contribution (Premium)	1,284,994,044	909,812,103	376,050,527	-	-	2,570,856,674
Add: Unearned Takaful Contribution (Premium) at the beginning of the Year	432,704,167	6,598,719	70,798,133	-	-	510,101,019
Less: Unearned Takaful Contribution (Premium) at the end of the Year	(480,215,430)	(8,346,453)	(81,022,294)	-	-	(569,584,177)
Net Earned Contribution (Premium)	1,237,482,781	908,064,369	365,826,366	-	-	2,511,373,516
Other Income						
Income from Investments	46,781,493	121,364,484	19,912,058	586,211,528	(1,175,743,393)	(401,473,830)
Other Operating Income	7,923,012	7,137,382	24,745,207	16,543,952	(6,000,000)	50,349,553
Total Revenue	1,292,187,286	1,036,566,235	410,483,631	602,755,480	(1,181,743,393)	2,160,249,239
Fair Value Gains and Losses	747,649	1,701,622	2,089,963	-	-	4,539,234
Fair Value of Investment Transferred	587,197,352	-	-	-	-	587,197,352
Total Revenue Including Fair Value of Investment Transferred	1,880,132,287	1,038,267,857	412,573,594	602,755,480	(1,181,743,393)	2,751,985,825
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits – Net	(965,579,081)	(207,571,762)	(163,938,954)	-	-	(1,337,089,797)
Acquisition Cost (Net of Reinsurance Commission)	(84,014,605)	(97,321,849)	(45,567,369)	-	-	(226,903,823)
Increase in Family Takaful (Long-Term Insurance) Fund	-	(482,826,576)	-	-	-	(482,826,576)
Less: Indirect Expenses						
Other Operating, Investment Related and Administration Expenses	(534,429,419)	(229,257,831)	(142,937,469)	(27,392,380)	(4,000,000)	(938,017,099)
Amortisation	(2,656,153)	(875,467)	(3,072,825)	(99,574)	1,562,500	(5,141,519)
Depreciation	(26,223,697)	(1,920,512)	(1,968,980)	(909,188)	-	(31,022,377)
Profit/(Loss) from Operations	267,229,332	18,493,860	55,087,997	574,354,338	(1,184,180,893)	(269,015,366)
Finance Cost	(1,941,399)	(429,933)	-	-	-	(2,371,332)
Profit/(Loss) Before Taxation	265,287,933	18,063,927	55,087,997	574,354,338	(1,184,180,893)	(271,386,698)
Income Tax	-	-	(9,113,439)	-	-	(9,113,439)
Profit/(Loss) for the Year	265,287,933	18,063,927	45,974,558	574,354,338	(1,184,180,893)	(280,500,137)

The Notes on pages 83 to 150 are an integral part of these Consolidated Financial Statements.

Year Ended 31st December	Company	
	2016 Rs.	2015 Rs.
Assets		
Intangible Assets	23,548,554	18,408,394
Property, Plant and Equipment	17,466,682	14,932,249
Deferred Tax Asset	-	-
Investment Property	-	-
Investment in Subsidiaries	-	-
Financial Assets	1,018,398,152	1,089,312,676
Retakaful (Reinsurance) Receivables	2,250,876	1,971,743
Contribution (Premium) Receivables	27,199,034	54,301,540
Other Assets	33,397,570	33,673,170
Other Assets – Unit Linked	32,055,415	37,971,813
Financial Assets – Unit Linked	1,441,276,268	1,054,182,514
Related Party Receivable	5,356,660	-
Call Deposit	13,698,184	628,733
Cash and Bank Balances	20,758,435	51,928,656
Cash and Bank Balances – Unit Linked	72,192,842	46,639,393
Total Assets	2,707,598,672	2,403,950,881
Liabilities		
Insurance Contract Liabilities – Non-Life	-	-
Insurance Contract Liabilities – Family Takaful Fund	559,913,844	574,710,988
Insurance Contract Liabilities – Family Takaful Unit Linked	1,504,144,873	1,191,795,346
Employee Benefits	4,316,884	4,558,055
Other Liabilities – Unit Linked	50,315,576	39,436,759
Other Liabilities	59,189,422	66,024,150
Related Party Payable	-	11,832,030
Subordinated Debt	-	-
Finance Lease Liability	6,200,918	-
Short-Term Borrowings	-	-
Bank Overdrafts	-	-
Total Liabilities	2,184,081,517	1,888,357,328
Shareholders' Equity		
Equity Attributable to Equity Holders of the Parent		
Stated Capital	500,000,000	500,000,000
Other Reserves	120,142	2,169,475
Revenue Reserves	23,397,013	13,424,078
	523,517,155	515,593,553
Non-Controlling Interest	-	-
Total Equity	523,517,155	515,593,553
Total Equity and Liabilities	2,707,598,672	2,403,950,881

1. CORPORATE INFORMATION

1.1 General

Company

Amāna Takaful PLC ('Company') is a listed company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660-1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

Group

Amāna Takaful Life PLC, is a listed company incorporated and domiciled in Sri Lanka. The registered office is located at 660-1/1, Galle Road, Colombo 03. The shares of Amāna Takaful Life PLC are listed on *Diri Savi* Board of the Colombo Stock Exchange.

Amāna Global Limited, is a limited company incorporated and domiciled in Sri Lanka. The registered office is located at 6, Glen Aber Place, Colombo 04.

Amāna Takaful (Maldives) PLC, is a listed company incorporated and domiciled in Maldives. The registered office is located at Sosun Maga, Malé, Maldives. The shares of Amāna Takaful (Maldives) PLC are listed on the Maldives Stock Exchange.

These Consolidated Financial Statements comprise the Company and its subsidiaries (collectively the 'Group' and individually 'Group companies').

1.2 Principal Activities and Nature of Operations

Company

During the year, the principal activity of the Company was General Takaful Insurance Business.

Subsidiary

The principal activity of Amāna Global Ltd., (100% stake) is providing services such as Technical Support, Research and Development, Administration, Business Planning and Co-ordination, Financial and Treasury Management, Marketing and Sales Promotion, sourcing of raw material and components under Section 17 of the Board of Investment of Sri Lanka Law No. 04 of 1978.

Amāna Takaful (Maldives) PLC, which is a subsidiary (51.39% directly and 3.61% indirectly through Amāna Global Ltd.) of Amāna Takaful PLC was incorporated to carryout Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 4th March 2010 to carry out General Takaful Business.

Amāna Takaful Life PLC (90% stake) was incorporated on 10th July 2014 in order to inline with the requirement to segregate Life and General Insurance Business as required by the RII (Amendment) Act No. 03 of 2011, is engaged in Family (Life) Insurance Business.

1.3 Date of Authorisation for Issue

The Consolidated and Separate Financial Statements of Amāna Takaful PLC for the year ended 31st December 2016 was authorised for issue by the Board of Directors on 12th April 2017.

1.4 Responsibility for Financial Statements

The Board of Directors is responsible for preparation and presentation of these Financial Statements.

2. BASIS OF PREPARATION

The Group's Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-Life Insurance), Family Takaful (Life Insurance) and Shareholders' Fund. The Family Takaful (Life Insurance) Fund Statement of Financial Position represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group's Statement of Financial Position includes the assets and liabilities of Amāna Global Ltd., Amāna Takaful (Maldives) PLC and Amāna Takaful Life PLC.

The Group's Statement of Profit or Loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders' Funds and related expenses.

The results of Amāna Global Ltd., Amāna Takaful (Maldives) PLC and Amāna Takaful Life PLC, are also included in the Group Statement of Profit or Loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or Loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and Notes, ('Financial Statements') as at and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (hereinafter referred to as SLFRS/LKAS) as issued by The Institute of Chartered Accountants of Sri Lanka (CA) and comply with the requirements of the Companies Act No. 07 of 2007, the Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto.

2.2 Basis of Measurement

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in Property, Plant and Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognised at the present value

The Group presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These Consolidated and Separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 Use of Estimates and Judgements

In the process of applying the Group accounting policies, management is required to make judgements, apart from those involving estimations, which has the most significant effect on the amounts recognised in the Consolidated Financial Statements. Further, management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the Consolidated and Separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below:

2.4.1 Assumption and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31st December 2016 is included in the following Notes:

2.4.1.1 Note 7 – Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by Mr. P.P.T. Mohideen (FIV, MRICS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of Long-Term Insurance Provision and General Insurance Provisions were carried out by Mr. Zainal Abidin Mohd Kassim (BSc, FIA, ASA) of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn Bhd), Malaysia and NMG Consulting respectively.

(i) Note 18 – General Insurance Provision

Non-life insurance contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the Reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying

amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Profit or Loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalisation or catastrophe reserves is recognised. The liabilities are derecognised when the contract expires, is discharged or is cancelled.

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognised as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Profit or Loss and Other Comprehensive Income by setting up a provision for liability adequacy.

(ii) Note 19 – Long-Term Insurance Provision – (Family Takaful Fund)

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 19 to the Financial Statements.

2.4.1.3 Note 20 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

2.4.1.4 Note 35.2 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

2.4.1.5 Note 8 – Investment in Subsidiaries

Fair Value of Investment Transferred

The determination of fair value of investment transferred recorded on the Statement of Profit or Loss and Other Comprehensive Income and the corresponding entry being recorded in investment in subsidiary on the Statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from

observable market data where possible, but if this is not available, judgement is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

2.5 Measurement of Fair Values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).
- Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Property, Plant and Equipment
- Note 7 – Investment Property
- Note 9 – Financial Assets

2.6 Segment Reporting

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure. Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the Core Business, General, Family and Fund Management Services of Shareholders' Fund and Technical Services.

Inter segment transactions are based on fair market prices.

Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment, are allocated on basis decided by the management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and the Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

The Directors, after making necessary inquiries and reviews of the Group's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Group has adequate resources to continue as 'a going concern' in the foreseeable future. Furthermore, Directors are not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Group has consistently applied the following accounting policies to all periods presented in these Consolidated and Separate Financial Statements.

The comparative information has been reclassified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

3.1 Basis of Consolidation

3.1.1 Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

3.1.2 Non-Controlling Interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

3.1.3 Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Financial Statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

3.1.4 Loss of Control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

3.1.5 Transactions Eliminated on Consolidation

Intra group balances and transactions, and any unrealised income and expenses arising from intra group transactions are eliminated.

3.1.6 Common Control Transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination and that control is not transitory.

The acquire of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognised in Profit or Loss; instead, the result of the transaction is recognised in equity as arising from a transaction with shareholders.

3.1.7 Common Control Transactions in Separate Financial Statements

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the

investment shall be measured at the fair value of the consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition.

When the purchase consideration does not correspond to the fair value of the investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of equity for a subsidiary, or an increase in the investment held or a distribution received by the parent.

3.2 Foreign Currency**3.2.1 Foreign Currency Transactions**

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency, are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments

(except on impairment, in which case foreign currency differences that have been recognised in OCI, are reclassified to profit or loss); are recognised in OCI.

3.2.2 Foreign Operations

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the Reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognised in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form, part of the net investment in the foreign operation. Accordingly, such differences are recognised in OCI and accumulated in the translation reserve.

3.3 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in OCI.

3.3.1 Current Taxes

Current income tax assets and liabilities for the current and prior periods, are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount, are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto.

3.3.2 Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the Reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carryforward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carryforward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each Reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the Reporting date.

3.4 Intangible Assets

3.4.1 Goodwill

Goodwill arising on the acquisition of subsidiaries is measured at the acquisition date as:

- the fair value of the consideration transferred; plus
- the recognised amount of any non-controlling interests in the acquiree; plus
- if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less
- the net recognised amount (fair value) of the identifiable assets acquired and liabilities assumed.

Subsequently, Goodwill is measured at cost less accumulated impairment losses.

Goodwill is reviewed for impairment, annually or more frequently if event or changes in circumstances indicate that the carrying value may be impaired.

3.4.2 Research and Development

Expenditure on development activities is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is recognised in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognised.

Research and other development expenditure is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

3.4.3 Other Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial

year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortisation Method
Computer Software	8-20 years	Straight Line Method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in Profit or Loss when the asset is derecognised.

3.5 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight line basis.

3.6 Salvage Stock

Salvage Stocks are valued at since realised/realisable value.

3.7 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the Reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss.

3.8 Other Assets and Receivables

Other assets and receivables are stated at their estimated realisable value.

3.9 Property, Plant and Equipment

3.9.1 Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant and Equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant and Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant and Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group has revalued its entire class of motor vehicles as at 31st December 2015 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The motor vehicles are revalued every three years on a rollover basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of Property, Plant and Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

3.9.2 Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant and Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

3.9.3 Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or revalued amount of all Property, Plant and Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant and Equipment are as follows:

Class	Useful Life
Motor Vehicles	04 – 05 Years
Computer Equipment	03 – 05 Years
Other Equipment	04 – 05 Years
Furniture and Fittings	05 – 10 Years
Leasehold Vehicle	04 – 05 Years

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

3.10 Leases

3.10.1 Finance Leases – Where the Group is the Lessee

Property, Plant and Equipment on finance leases, which effectively transfer to the Group substantially all risks and benefits incidental to ownership of the leased item are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Capitalised leased assets are disclosed as Property, Plant and Equipment and depreciated consistently with that of owned assets, as described under Property, Plant and Equipment.

The corresponding principal amount payable to the lessor, together with the finance cost payable over the period of the lease is shown as a liability. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant periodic rate of finance cost on the remaining balance of the liability.

The cost of improvements to or on leasehold property is capitalised, disclosed as leasehold improvements and depreciated over the unexpired period of the lease or the estimated useful lives of the improvements, whichever is shorter.

3.10.2 Operating Leases

Leases where the lessor effectively retains substantially all risks and benefits of ownership over the leased term, are classified as operating leases.

Lease payments (excluding costs for services such as insurance and maintenance) paid under operating leases are recognised as an expense in the Statement of Profit or Loss and Other Comprehensive Income on a straight line basis over the lease term.

3.11 Financial Instruments

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value Through Profit or Loss, Loans and Receivables and Available-for-Sale financial assets.

The Group classifies non-derivative financial liabilities into the other financial liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortised cost.

The Group's financial assets include: cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments and derivative financial instruments.

The Group's existing types of financial instruments and their classifications are shown in the table below:

Financial Asset	Category
Treasury Bonds	Available-for-Sale
Treasury Bills/Repo	Available-for-Sale or Loans and Receivables
Equity Shares	Fair Value through Profit or Loss and Available-for-Sale
Unit Trust	Available-for-Sale
Term Deposits/Mudharabah Deposits	Loans and Receivables
Loans and Receivable	Loans and Receivables
Financial Liability	
Murabaha Facility	Other Financial Liabilities

3.11.1 Recognition of Financial Instruments

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value Through Profit or Loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.11.2 Measurement

(a) Financial Assets at Fair Value Through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met:

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in the Statement of Profit or Loss and Other Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Profit or Loss.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

(c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

(d) Available-for-Sale Financial Assets

Available-for-sale financial assets are non-derivative financial assets that are designated as available-for-sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, available-for-sale financial assets are measured at fair value.

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale reserve until the investment is derecognised or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are transferred to the Statement of Profit or Loss.

(e) Other Financial Liabilities

Other financial liabilities are non-derivative financial liabilities, which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

3.12 Impairment of Financial Assets

Financial assets, not classified as at fair value through profit or loss, are assessed at each Reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

(a) Assets Carried at Amortised Cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present

value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognised in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available-for-Sale Financial Investments

Impairment losses on available-for-sale financial assets are recognised by reclassifying the losses accumulated in the available-for-sale reserve to the Statement of Profit or Loss. The amount reclassified is the difference between acquisition cost (net of any principal repayment and amortisation) and the current fair value, less any impairment loss previously recognised in profit or loss. Reversals in respect of equity instruments classified as available-for-sale are not recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Profit or Loss if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Profit or Loss.

(c) Financial Assets Carried at Cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

3.13 Derecognition of Financial Instruments

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired.
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement.
- The Group has transferred its rights to receive cash flows from the asset and either:
 - Has transferred substantially all the risks and rewards of the asset; or
 - Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group

may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

3.14 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the Reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant and Equipment up to the date of change.

3.15 Liabilities and Provisions (Excluding Insurance Contracts)

3.15.1 Liabilities

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statement.

3.15.2 Provisions (Excluding Insurance Contracts)

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.16 Employee Benefits

3.16.1 Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated

and Separate Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the Reporting date. The defined benefit obligation is calculated by a qualified actuary as at the Reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 – ‘Employee Benefits’.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past Service Costs are recognised as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of or changes to the plan, past service costs are recognised immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

3.16.2 Defined Contribution Plans – Employees’ Provident Fund and Employees’ Trust Fund

Employees are eligible for Employees’ Provident Fund contributions and Employees’ Trust Fund contributions inline with the respective statutes and regulations. The Group contributes 12% and 3% of gross emoluments of employees to Employees’ Provident Fund and Employees’ Trust Fund respectively.

3.16.3 Short-Term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.17 Impairment of Non-Financial Assets

The Group assesses at each Reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset’s recoverable amount. An asset’s recoverable amount is the higher of an asset’s or cash-generating unit’s fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

3.18 General Takaful Business (Non-Life Insurance Business)

3.18.1 Gross Written Contribution (Gross Written Premium)

Contributions (Premiums) are recognised earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a *pro rata* basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

3.18.2 Unearned Contribution (Premium)

The unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Management Fee).

3.18.3 Unexpired Risk

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31st December.

3.18.4 Outward Retakaful (Reinsurance)

Contribution (premium) ceded to Retakaful companies (Reinsurers), is recognised as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

3.18.5 Claims

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognised in respect of direct and inward Retakaful (Reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ('IBNR') and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

3.18.6 Deferred Acquisition Cost and Deferred Income

Acquisition cost/Income is directly attributable to the profit or loss when policy is underwritten.

3.19 Family Takaful Business (Long-Term Insurance Business)

3.19.1 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

3.19.2 Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

3.19.3 Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (part withdrawals) and surrenders are accounted only at the time of settlement.

3.19.4 Technical Provisions – Family Takaful Business Provision and Provision for Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

3.20 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

3.20.1 Wakala Fee (Agency/Management Fee)

3.20.1.1 Wakala Fee (Agency/Management Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for management fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on the following basis:

General Takaful (Insurance) Business

The Shareholders' Fund is entitled for a management fee at the rate of 37.5% on contribution (premium) of General Takaful (insurance) certificates. However, the Shareholders' Fund has charged a reduced management fee at the rates given below, in order strengthen the General Takaful (insurance) Fund:

Medical Takaful (Insurance) Policies	32.5%
All other General Takaful (Insurance) Policies	20% – 37.5%

In certain instances, the Shareholders' Fund has charged a management fee at 40% for certain Medical Takaful Policies.

Family Takaful (Life Insurance) Business

The management fee is charged on contribution of Family Takaful Certificates, at the following rates:

Family Takaful

First Year	55%
Second Year	35%
Third Year	25%
Fourth Year	12%
Fifth and Year After	02%
Mortgage Family Takaful (Insurance) Policies	20%
Group Family Takaful (Insurance) Policies	30%

3.20.1.2 Wakala Fee (Agency/Management Fee) on Investment Income

The Shareholders' fund is entitled for agency fee of 50% on net investment income and does not share the losses.

3.20.2 Investment Income**3.20.2.1 Interest Income**

Interest income is recognised in the Statement of Profit or Loss, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

3.20.2.3 Realised/Unrealised Gains and (Losses)

Realised gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

3.21 Others

Other income is recognised on an accrual basis.

3.22 Expenditure Recognition

Expenses are recognised in the Statement of Profit or Loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in

maintaining the Property, Plant and Equipment in a state of efficiency, has been charged to the Statement of Profit or Loss.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance and hence such presentation method is adopted.

3.23 Events after the Reporting Date

Events after the Reporting period are those events, favourable and unfavourable, that occur between the Reporting date and the date when the Financial Statements are authorised for issue. All material events after the Reporting date have been considered and where appropriate, adjustments or disclosures have been made in the respective Notes to the Financial Statements.

3.24 Capital Commitments and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective Notes to the Financial Statements.

3.25 Stated Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.26 Earnings Per Share (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS 33.

3.27 Statement of Cash Flows

The Cash Flow Statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 – 'Statement of Cash flows'.

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

4. STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT REPORTING DATE

Impending accountings standards / Standards issued not yet effective.

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31st December 2016 reporting period. None of those have been early adopted by the Group.

- **Sri Lanka Accounting Standard (SLFRS) 9 - Financial Instrument: Recognition and Measurement and amendments to Sri Lanka Financial Reporting Standard (SLFRS) 4 - Insurance Contracts**

SLFRS 9 replaces the existing guidance in LKAS 39 - Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and de-recognition of financial instruments from LKAS-39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted. However, based on the amendments to SLFRS 4 - Insurance Contracts, issued by CA Sri Lanka on 24th November 2016, the entities whose predominant activity is issuing insurance contracts are permitted to defer the full application of SLFRS 9 until earlier of 2021 due to forthcoming insurance contract standard which is currently expected to commence in 2020.

A preliminary evaluation of SLFRS 9 has been performed. However, the Group is currently in the process of evaluating and quantifying the accounting impact.

- **SLFRS 15 Revenue from Contracts with Customers**

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 'Revenue', LKAS 11 'Construction Contracts' and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted. A preliminary evaluation of the existing contracts has been performed in relation to the adoption of SLFRS 15. The Group's current assessment has not revealed a significant change to the revenue recognition pattern. However, the Group is currently in the process of evaluating and quantifying the accounting impact and any impacts on the current systems and processors will be modified where necessary.

- **SLFRS 16 Leases**

SLFRS 16 provides a single lessee accounting model, requiring leases to recognise assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value even though lessor accounting remains similar to current practice. This supersedes: LKAS 17 'Leases', IFRIC 4 determining whether an arrangement contains a Lease, SIC

15 Operating Leases - Incentives; and SIC 27 evaluating the substance of Transactions Involving the Legal form of a Lease. Earlier application is permitted for entities that apply SLFRS 15 Revenue from Contracts with Customers. SLFRS 16 is effective for annual reporting periods beginning on or after 1st January 2019. The impact on the implementation of the above Standard has not been quantified yet.

- **LKAS 7 Disclosure Initiative - Amendments to LKAS 7**

The amendments to LKAS 7 'Statement of Cash Flows' are part of the CA Sri Lanka's disclosure initiative and require an entity to provide disclosures that enable users of Financial Statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes. On initial application of the amendment, entities are not required to provide comparative information for preceding periods. These amendments are effective for annual periods beginning on or after 1st January 2017, with early application permitted. Application of amendments will result in additional disclosure provided by the Group.

5. INTANGIBLE ASSETS**5.1 Group**

	2016 Rs.	2015 Rs.
Cost		
Balance at the Beginning of the Year	83,954,169	79,846,703
Additions During the Year	16,310,863	6,638,439
Disposal During the Year	(226,342)	(2,533,231)
Exchange Gain/Loss	875,682	9,205,282
Elimination	-	(9,203,024)
Balance at the End of the Year	100,914,372	83,954,169
Amortisation		
Balance at the Beginning of the Year	59,250,860	55,687,609
Charges for the Year	6,156,630	6,704,015
Disposal During the Year	(128,437)	(310,000)
Exchange Gain/Loss	539,712	(1,268,264)
Elimination	(1,562,500)	(1,562,500)
Balance at the End of the Year	64,256,265	59,250,860
Carrying Amount	36,658,107	24,703,309

5.2 Company

	2016 Rs.	2015 Rs.
Cost		
Balance at the Beginning of the Year	38,203,889	40,427,120
Additions During the Year	6,278,959	-
Disposal During the Year	-	(2,223,231)
Balance at the End of the Year	44,482,848	38,203,889
Amortisation		
Balance at the Beginning of the Year	34,935,220	32,279,069
Amortisation Charge for the Year	1,331,931	2,656,157
Balance at the End of the Year	36,267,151	34,935,220
Carrying Value	8,215,697	3,268,669

5.3 Acquisition of Intangible Assets during the Year

During the financial year, the Group acquired/capitalised Intangible Assets (Computer Software) to the aggregate value of Rs. 16,310,863/- (2015 – Rs. 6,638,439/-). Cash payments amounting to same were made during the year for purchase of Intangible Assets (Computer Software).

5.4 Fully Amortised Intangible Assets in Use

Intangible Assets includes fully amortised computer software which are in the use of normal business activities having an initial cost of Rs. 10,862,742/- (2015 – Rs. 10,762,742/-).

5.5 Title Restriction on Intangible Assets

There were no restrictions that existed on the title of the Intangible Assets of the Group as at 31st December 2016.

5.6 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed the potential impairment indicators of Intangible Assets as at 31st December 2016. Based on the assessment, no impairment indicators were identified.

6. PROPERTY, PLANT AND EQUIPMENT

6.1 Group

	Balance as at 01.01.2016	Additions/ Transfers	Disposals/ Transfers	Exchange Movement	Total as at 31.12.2016
	Rs.	Rs.	Rs.	Rs.	Rs.
Cost/Valuation					
Freehold (Note 6.1.1)	287,359,784	5,913,371	(9,196,712)	1,389,810	285,466,253
Leasehold (Note 6.1.2)	13,153,000	9,807,725	–	–	22,960,725
	300,512,784	15,721,096	(9,196,712)	1,389,810	308,426,978

6.1.1 Freehold Property, Plant and Equipment

Cost/Valuation					
Motor Vehicles	18,849,832	–	(4,400,000)	163,056	14,612,888
Computer Equipment	72,330,323	1,796,953	(1,631,417)	544,295	73,040,154
Other Equipment	88,852,505	3,689,035	(1,633,733)	(39,619)	90,868,188
Furniture and Fittings	107,327,124	427,383	(1,531,562)	722,078	106,945,023
Total Value of Depreciable Assets	287,359,784	5,913,371	(9,196,712)	1,389,810	285,466,253
Depreciation					
Motor Vehicles	1,127,833	3,953,260	(920,930)	163,055	4,323,218
Computer Equipment	63,701,078	4,419,891	(1,212,694)	429,319	67,337,594
Other Equipment	52,744,276	12,903,999	(1,130,474)	236,220	64,754,021
Furniture and Fittings	58,331,255	7,441,642	(1,261,640)	478,206	64,989,463
Total Depreciation	175,904,442	28,718,792	(4,525,738)	1,306,800	201,404,296
Carrying Amount	111,455,342	–	–	–	84,061,957

Group	Balance as at 01.01.2016	Additions/ Transfers	Disposals/ Transfers	Exchange Movement	Total as at 31.12.2016
	Rs.	Rs.	Rs.	Rs.	Rs.
6.1.2 Leasehold Property, Plant and Equipment					
Cost/Valuation					
Motor Vehicles	8,840,000	9,807,725	-	-	18,647,725
Other Equipment	4,313,000	-	-	-	4,313,000
Total Value of Depreciable Assets	13,153,000	9,807,725	-	-	22,960,725
Depreciation					
Motor Vehicles	-	2,912,235	-	-	2,912,235
Other Equipment	1,377,764	862,600	-	-	2,240,364
Total Depreciation	1,377,764	3,774,835	-	-	5,152,599
Carrying Amount	11,775,236	-	-	-	17,808,126
				2016	2015
				Rs.	Rs.
6.1.3 Net Book Values					
Freehold				84,061,957	111,455,342
Leasehold				17,808,126	11,775,236
Total Carrying Amount of Property, Plant and Equipment				101,870,083	123,230,578

6.1.4 Acquisition of Property, Plant and Equipment during the Year – Group

During the year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs. 5,913,371/- (2015 – Rs. 21,952,191/-) for cash considerations.

6.1.5 Fully Depreciated Property, Plant and Equipment in use – Group

Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 115,486,210/- (2015 – Rs. 102,302,988/-).

6.2 Property, Plant and Equipment Pledged as Security for Liabilities

The Property, Plant and Equipment pledged as securities for liabilities during the year has been disclosed in Note 42 to the Financial Statements.

6.3 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Group as at the reporting date.

6.4 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2016. Based on the assessment, no impairment indicators were identified.

6.5 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.6 Temporarily Idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2016.

6.7 Company

	Balance as at 01.01.2016	Additions/ Transfers	Disposals/ Transfers	Total as at 31.12.2016
	Rs.	Rs.	Rs.	Rs.
Cost/Valuation				
Freehold (Note 6.7.1)	252,001,451	4,900,660	-	256,902,111
Leasehold (Note 6.7.2)	13,153,000	-	-	13,153,000
	265,154,451	4,900,660	-	270,055,111

6.7.1 Freehold Property, Plant and Equipment

Cost/Valuation				
Motor Vehicles	12,817,000	-	-	12,817,000
Computer Equipment	61,529,166	1,544,945	-	63,074,111
Other Equipment	81,888,812	3,188,679	-	85,077,491
Furniture and Fittings	95,766,473	167,036	-	95,933,509
Total Value of Depreciable Assets	252,001,451	4,900,660	-	256,902,111

Depreciation

Motor Vehicles	-	2,891,400	-	2,891,400
Computer Equipment	58,326,741	2,620,387	-	60,947,128
Other Equipment	49,716,063	11,815,705	-	61,531,768
Furniture and Fittings	52,922,252	5,780,057	-	58,702,309
Total Depreciation	160,965,056	23,107,549	-	184,072,605
Carrying Amount	91,036,395			72,829,506

6.7.2 Leasehold Property, Plant and Equipment

Cost/Valuation				
Motor Vehicles	8,840,000	-	-	8,840,000
Other Equipment	4,313,000	-	-	4,313,000
	13,153,000	-	-	13,153,000

Depreciation

Motor Vehicles	-	1,768,000	-	1,768,000
Generator	1,377,764	862,600	-	2,240,364
	1,377,764	2,630,600	-	4,008,364
Carrying Amount	11,775,236			9,144,636

	2016 Rs.	2015 Rs.
6.7.3 Net Book Values		
Freehold	72,829,506	91,036,395
Leasehold	9,144,636	11,775,236
Total Carrying Amount of Property, Plant and Equipment	81,974,142	102,811,631

6.7.4 Acquisition of Property, Plant and Equipment During the Year – Company

During the year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 4,900,660/- (2015 – Rs. 10,101,491/-) for cash considerations.

6.7.5 Fully Depreciated Property, Plant and Equipment in Use – Company

Company Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 101,072,300/- (2015 – Rs. 97,487,792/-).

6.7.6 Revaluation

Company

In 2015, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. In carrying out such valuation market value of similar make, life and condition and year of manufacture of vehicles have been used as main inputs. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the Financial Statements had the assets been carried at cost would have been as follows:

	2016 Rs.	2015 Rs.
Cost	34,045,087	34,045,087
Accumulated Depreciation	(31,261,942)	(27,998,359)
Carrying Value	2,783,145	6,046,728

OTHER GROUP COMPANIES

Amāna Takaful Life PLC

In 2015, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. In carrying out such valuation market value of similar make, life and condition and year of manufacture of vehicles have been used as main inputs. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the Financial Statements had the assets been carried at cost would have been as follows:

	2016 Rs.	2015 Rs.
Cost	537,011	3,817,011
Accumulated Depreciation	(532,888)	(1,081,486)
Carrying Value	4,123	2,735,525

6.8 Property, Plant and Equipment Pledged as Security for Liabilities

The Property, Plant and Equipment pledged as securities for liabilities during the year has been disclosed in Note 42 to the Financial Statements.

6.9 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

6.10 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2016. Based on the assessment, no impairment indicators were identified.

6.11 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.12 Temporarily Idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2016.

7. INVESTMENT PROPERTY

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Balance as at 1st January	73,500,000	101,800,000	73,500,000	101,800,000
Transferred to Amāna Takaful Life PLC	-	-	-	(43,683,333)
Transferred from Amāna Takaful Life PLC	-	-	-	25,333,333
Disposals	-	(35,800,000)	-	(17,450,000)
Net Gain from Fair Value Adjustment	5,000,000	7,500,000	5,000,000	7,500,000
Balance as at 31st December	78,500,000	73,500,000	78,500,000	73,500,000

7.1 During the financial year, the Company has incurred direct operating expenses on the investment property to the aggregate value of Rs. 250,280/- (2015 – Rs. 1,728,897/-).

7.2 Fair Value Hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr. P.P.T. Mohideen (FIV, MRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Group's investment property portfolio annually. The Group's entire class of investment properties were revalued on 31st December 2016.

The fair value measurement for investment property of Rs. 78,500,000/- (2015 – Rs. 73,500,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

7.3 Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuers have also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows:

Address		Extent	Fair Value 2016 Rs.	Per Perch/ Sq.ft. Value Rs.	Fair Value 2015 Rs.	Per Perch/ Sq.ft. Value Rs.
General Takaful Fund						
a. Yalegoda Estate, Piligalla, Kandy	– Land	50 Perches	10,000,000	200,000 per Perch	10,000,000	200,000 per Perch
	– Building	1,485 sq.ft.	2,000,000	1,350 per sq.ft.	2,000,000	1,350 per sq.ft.
b. 58/19, Ramyawera Mawatha, Orugodawatta	– Land	39 Perches	21,500,000	551,282 per Perch	19,500,000	500,000 per Perch
Shareholders' Fund						
c. 107/15, Buthgamuwa Road, Rajagiriya	– Building	1,700 sq.ft.	45,000,000	26,471 per sq.ft.	42,000,000	24,706 per sq.ft.

8. INVESTMENT IN SUBSIDIARIES

Company	Holding		Number of Shares		Cost	
	2016 %	2015 %	2016	2015	2016 Rs.	2015 Rs.
Amāna Global Ltd.	100	100	33,333	33,333	37,125,000	37,125,000
Amāna Takaful Life PLC	90	100	450,000,000	500,000,000	450,000,000	500,000,000
Amāna Takaful (Maldives) PLC	51.39	51.39	10,402,558	10,402,558	587,197,352	587,197,352
					1,074,322,352	1,124,322,352

8.1 Listing of Shares (IPO): Amāna Takaful Life PLC

Pursuant to Section 52 (1) of the Regulation of Insurance Industry (Amendment) Act No. 03 of 2011, Amāna Takaful Life PLC (hereinafter referred to as 'ATLL') was required to be listed on a licensed stock exchange prior to 7th February 2016 or any given extensions, which in ATLL's case is 31st December 2017. As a result of this requirement, ATLL has sought a listing on the Colombo Stock Exchange. ATLL will not receive any proceeds raised via this offer. All proceeds from the sale of existing Ordinary Voting Shares would be for the account of Amāna Takaful PLC.

On 23rd July 2016 ATLL was listed on *Diri Savi* Board of the Colombo Stock Exchange by way of offering 50 Mn ordinary voting shares at 1.50 Rupees per share, which represents a 10% stake in ATLL which was held by Amāna Takaful PLC. The Board of Directors of Amāna Takaful Life PLC is of the opinion that the Share Offer Price is fair and reasonable to ATLL and the Shareholders.

8.2 In 2015, Amāna Global Ltd., a fully owned subsidiary of Amāna Takaful PLC transferred shares of Amāna Takaful (Maldives) PLC being 51.39% of the total shares of Amāna Takaful (Maldives) PLC to Amāna Takaful PLC without any purchase consideration. The Board of Directors decided the fair value of a share at six Maldivian Rufiyaa based on an independent valuation.

However, the said gain on purchase of subsidiary is not included in consolidated investment and other income, since it is not realised in group perspective. The details of the above transaction are as follows:

Purpose/Rationale	Transaction Date	Parties	Relationship	Fair Value per Share	No. of Shares	Transaction Value Rs.
Restructuring of Amāna Takaful Group	31st December 2015	Amāna Takaful (Maldives) PLC Amāna Global Ltd.	Subsidiaries	Six Maldivian Rufiyaa	10,402,558	587,197,352

The assumption used for the fair value is expected multiple of 2.5 times of net assets value per share. The following table demonstrates the sensitivity to a reasonably possible change in the key assumption employed with all other factors held consistent in the fair value measurement.

Change in Expected Multiple	Sensitivity Rs.
10% Increase in Expected Multiple	59,187,744
10% Decrease in Expected Multiple	(58,336,818)

9. FINANCIAL ASSETS

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Financial Assets at Fair Value Through Profit and Loss (9.3.1)	26,751,433	89,461,575	-	590,889
Available-for-Sale Financial Assets (9.3.2)	87,440,084	201,757,955	525,000	57,588,578
Loans and Receivable (9.3.3)	2,190,903,336	2,157,165,011	873,841,499	662,433,871
	2,305,094,853	2,448,384,541	874,366,499	720,613,338

9.1 Fair Value through Profit or Loss Investments and Available-for-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

9.2 Investments amounting to Rs. 579,238,016/- (2015 – Rs. 639,857,030/-) belonging to Family Takaful Fund has been restricted as per the provisions in Section 38 of the Regulation of Insurance Industry Act No. 43 of 2000 and will only be used to discharge liabilities of Family Takaful (Long-term Insurance) Fund.

9.3 Classification of Financial Assets

As at 31st December	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
9.3.1 Financial Assets at Fair Value Through Profit and Loss				
Investments in Equity Securities (Note 9.4.1)	26,751,433	89,461,575	-	590,889
	26,751,433	89,461,575	-	590,889

9.3.2 Available-for-Sale Financial Assets

Investments in Equity Securities – Quoted (Note 9.4.2)	37,593,383	52,630,726	-	-
Unit Trust				
– Candor Balance Fund	12,448,401	56,395,942	-	25,942,132
– Candor Income Fund	29,729,718	64,419,943	-	21,362,019
– Comtrust ADL Fund	-	9,759,427	-	9,759,427
– Crescent I Fund	-	11,108,947	-	-
Investments in Equity Securities – Unquoted (Note 9.4.3) (**)	7,668,582	7,442,970	525,000	525,000
	87,440,084	201,757,955	525,000	57,588,578

** The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
9.3.3 Loans and Receivable				
Repurchase Agreements	503,228,391	672,132,329	218,928,769	374,818,222
Murabaha Investments	265,126,704	312,507,579	-	-
Mudharaba Investments	1,071,917,784	1,164,384,833	538,790,356	279,511,677
Commercial Papers	338,499,864	-	104,967,918	-
Advances to Company Officers (Note 9.3.4)	12,130,593	8,140,270	11,154,456	8,103,972
	2,190,903,336	2,157,165,011	873,841,499	662,433,871

9.3.4 Advances to Company Officers

Balance at the Beginning of the Year	10,515,129	11,698,015	10,478,831	11,294,965
Loans Granted During the Year	16,398,580	10,044,932	14,954,315	9,654,365
Exchange Movement	20,890	-	-	-
Less: Repayments During the Year	(12,429,147)	(11,227,818)	(11,903,831)	(10,470,498)
Balance at the End of the Year	14,505,452	10,515,129	13,529,315	10,478,831
Less: Provision for Impairment (Note 9.3.5)	(2,374,859)	(2,374,859)	(2,374,859)	(2,374,859)
	12,130,593	8,140,270	11,154,456	8,103,972

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
9.3.5 Provision for Impairment				
Balance at the Beginning of the Year	2,374,859	-	2,374,859	-
Charge for the Year	-	2,374,859	-	2,374,859
Balance at the End of the Year	2,374,859	2,374,859	2,374,859	2,374,859

9.4 Investments in Equity Securities

	Group				Company			
	2016		2015		2016		2015	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
9.4.1 Quoted								
Access Engineering PLC	140,000	3,471,997	252,000	7,438,200	-	-	-	-
Alumex PLC	95,000	1,919,000	-	-	-	-	-	-
Chevron Lubricants Lanka PLC	40,100	6,299,710	20,050	6,897,200	-	-	-	-
Colombo Dockyard PLC	22,341	1,756,002	22,341	3,353,384	-	-	-	-
Dhivehi Raajjeyege Gulhun PLC	2,000	1,573,781	2,000	1,544,191	-	-	-	-
Dialog Axiata PLC	225,000	2,362,498	1,479,000	15,825,300	-	-	-	-
Dipped Products PLC	-	-	28,500	3,135,000	-	-	-	-
Haycarb PLC	10,000	1,500,000	10,000	1,649,000	-	-	-	-
Kelani Valley Plantations PLC	11,100	664,890	11,100	777,000	-	-	-	-
Kotagala Plantation PLC	-	-	33,196	590,889	-	-	33,196	590,889
Lanka IOC PLC	-	-	91,700	3,402,070	-	-	-	-
Piramal Glass PLC	301,209	1,596,407	301,209	1,837,375	-	-	-	-
Renuka Agri Foods PLC	-	-	842,909	3,455,927	-	-	-	-
Singer Sri Lanka PLC	-	-	32,053	4,420,109	-	-	-	-
Textured Jersey Lanka PLC	50,000	2,140,004	693,000	24,601,500	-	-	-	-
Tokyo Cement Company (Lanka) PLC – Voting	15,070	892,144	15,070	738,430	-	-	-	-
Tokyo Cement Company (Lanka) PLC – Non-Voting	50,000	2,575,000	248,000	9,796,000	-	-	-	-
At Fair Value Through Profit or Loss		26,751,433		89,461,575		-		590,889

	Group				Company			
	2016		2015		2016		2015	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
9.4.2 Quoted								
Amāna Bank PLC	9,398,344	52,630,726	9,398,344	52,630,726	-	-	-	-
Reversal of Previously Recognised Fair Value Losses		21,449,170		-		-		-
Less: Total Impairment Recognised in Profit or Loss		(36,486,513)		-		-		-
Available-for-Sale Investments at Fair Value		37,593,383		52,630,726		-		-
9.4.3 Unquoted								
Cleanco (Pvt) Ltd.	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Pak Kuwait Takaful Co Ltd.	500,000	7,143,582	500,000	6,917,970	-	-	-	-
Available-for-Sale Investments at Fair Value		7,668,582		7,442,970		525,000		525,000

9.5 Financial Instruments – Fair Value and Risk Management

Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

- Level 1 : Quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2 : Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)
- Level 3 : Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

9.5.1 Accounting Classifications and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities.

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short-term in nature or reprices to current market rates frequently.

31st December 2016	Carrying Amount				Fair Value			
	Loans and Receivables	Available-for-sale	Fair Value through Profit or Loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Financial Assets Measured at Fair Value								
Equity Securities – Quoted	-	37,593,383	26,751,433	64,344,816	64,344,816	-	-	64,344,816
Equity Securities – Unit Linked	-	-	96,108,685	96,108,685	96,108,685	-	-	96,108,685
Unit Trust	-	42,178,119	-	42,178,119	-	42,178,119	-	42,178,119
Unit Trust – Unit Linked	-	21,669,060	-	21,669,060	-	21,669,060	-	21,669,060
	-	101,440,562	122,860,118	224,300,680	160,453,501	63,847,179	-	224,300,680
Financial Assets Not Measured at Fair Value								
Repurchase Agreements	503,228,391	-	-	503,228,391	-	-	-	-
Equity Securities – Unquoted	-	7,668,582	-	7,668,582	-	-	-	-
Commercial Paper	338,499,864	-	-	338,499,864	-	-	-	-
Murabaha Investments	265,126,704	-	-	265,126,704	-	-	-	-
Mudharaba Investments	1,071,917,784	-	-	1,071,917,784	-	-	-	-
Advances to Company Officers	12,130,593	-	-	12,130,593	-	-	-	-
Repurchase Agreements – Unit Linked	8,068,014	-	-	8,068,014	-	-	-	-
Mudharaba Investments – Unit Linked	1,315,430,509	-	-	1,315,430,509	-	-	-	-
	3,514,401,859	7,668,582	-	3,522,070,441	-	-	-	-
	3,514,401,859	109,109,144	122,860,118	3,746,371,121	160,453,501	63,847,179	-	224,300,680

9.5.2 Company

Financial Assets Not Measured at Fair Value

Repurchase Agreements	218,928,769	-	-	218,928,769	-	-	-	-
Mudharaba Investments	538,790,356	-	-	538,790,356	-	-	-	-
Commercial Paper	104,967,918	-	-	104,967,918	-	-	-	-
Equity Securities – Unquoted	525,000	-	-	525,000	-	-	-	-
Advances to Company Officers	11,154,456	-	-	11,154,456	-	-	-	-
	874,366,499	-	-	874,366,499	-	-	-	-

31st December 2015	Carrying Amount				Fair Value			
	Loans and Receivables	Available- for-sale	Fair Value through Profit or Loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.

9.5.3 Group**Financial Assets Measured
at Fair Value**

Equity Securities – Quoted	-	52,630,726	89,461,575	142,092,301	142,092,301	-	-	142,092,301
Equity Securities – Unit Linked	-	-	104,724,075	104,724,075	104,724,075	-	-	104,724,075
Unit Trust	-	141,684,259	-	141,684,259	-	141,684,259	-	141,684,259
Unit Trust – Unit Linked	-	21,572,040	-	21,572,040	-	21,572,040	-	21,572,040
	-	215,887,025	194,185,650	410,072,675	246,816,376	163,256,299	-	410,072,675

**Financial Assets Not
Measured at Fair Value**

Repurchase Agreements	672,132,329	-	-	672,132,329	-	-	-	-
Equity securities – Unquoted	-	7,442,970	-	7,442,970	-	-	-	-
Murabaha Investments	312,507,579	-	-	312,507,579	-	-	-	-
Mudharaba Investments	1,164,384,833	-	-	1,164,384,833	-	-	-	-
Advances to Company Officers	8,140,270	-	-	8,140,270	-	-	-	-
Repurchase Agreements – Unit Linked	7,601,395	-	-	7,601,395	-	-	-	-
Mudharaba Investments – Unit Linked	920,285,004	-	-	920,285,004	-	-	-	-
	3,085,051,410	7,442,970	-	3,092,494,380	-	-	-	-
	3,085,051,410	223,329,995	194,185,650	3,502,567,055	246,816,376	163,256,299	-	410,072,675

9.5.4 Company**Financial Assets Measured
at Fair Value**

Equity Securities – Quoted	-	-	590,889	590,889	590,889	-	-	590,889
Unit Trust	-	57,063,578	-	57,063,578	-	57,063,578	-	57,063,578
	-	57,063,578	590,889	57,654,467	590,889	57,063,578	-	57,654,467

**Financial Assets Not
Measured at Fair Value**

Repurchase Agreements	374,818,222	-	-	374,818,222	-	-	-	-
Equity Securities – Unquoted	-	525,000	-	525,000	-	-	-	-
Mudharaba Investments	279,511,677	-	-	279,511,677	-	-	-	-
Advances to Company Officers	8,103,972	-	-	8,103,972	-	-	-	-
	662,433,871	525,000	-	662,958,871	-	-	-	-
	662,433,871	57,588,578	590,889	720,613,338	590,889	57,063,578	-	57,654,467

10. PREMIUM (CONTRIBUTION) RECEIVABLES

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Contribution (Premiums) Receivable from Participants	331,381,163	420,754,574	236,022,062	214,981,377
Contribution (Premium) Receivable from Agents, Brokers and Intermediaries	92,213,153	107,687,530	92,213,153	107,687,530
Contribution (Premium) Receivable – Net	423,594,316	528,442,104	328,235,215	322,668,907

The Board of Directors has assessed potential impairment loss of premium receivable as at 31st December 2016. Based on the assessment, no impairment provision has been made in the Consolidated and Separate Financial Statements as at the reporting date in respect of premium receivable.

11. OTHER ASSETS

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Financial Assets (Note 11.1)	71,436,291	62,027,032	50,331,595	49,154,637
Non-Financial Assets (Note 11.2)	98,634,616	72,928,389	53,651,852	36,135,667
	170,070,907	134,955,421	103,983,447	85,290,304

11.1 Financial Assets

Other Receivables	71,436,291	62,027,032	50,135,455	49,154,637
Amount Due from Related Party – Amāna Takaful (Maldives) PLC	-	-	196,140	-
	71,436,291	62,027,032	50,331,595	49,154,637

11.2 Non-Financial Assets

Deposits, Advances and Prepayments	98,634,616	72,928,389	53,651,852	36,135,667
	98,634,616	72,928,389	53,651,852	36,135,667

12. OTHER ASSETS – UNIT LINKED

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Other Receivables	32,055,415	37,971,813	-	-
	32,055,415	37,971,813	-	-

13. FINANCIAL ASSETS – UNIT LINKED

	Note	Group		Company	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Financial Assets at Fair Value Through Profit and Loss	13.1	96,108,685	104,724,075	-	-
Available-for-Sale	13.2	21,669,060	21,572,040	-	-
Loans and Receivable	13.3	1,323,498,523	927,886,399	-	-
		1,441,276,268	1,054,182,514	-	-

13.1 Financial Assets at Fair Value Through Profit and Loss

Investment in Equity Securities	13.4	96,108,685	104,724,075	-	-
		96,108,685	104,724,075	-	-

13.2 Available-for-Sale

Unit Trust – Candor Income Fund		21,669,060	21,572,040	-	-
		21,669,060	21,572,040	-	-

13.3 Loans and Receivables

Repurchase Agreements		8,068,014	7,601,395	-	-
Mudharaba Investments		1,315,430,509	920,285,004	-	-
		1,323,498,523	927,886,399	-	-

13.4 Investments in Equity Securities – Unit Linked

	Group			
	2016		2015	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
Access Engineers PLC	797,148	19,769,270	485,474	11,214,449
Alumex PLC	412,774	8,338,035	-	-
Chevron Lubricants Lanka PLC	61,000	9,486,080	6,500	2,236,000
Colombo Dockyard PLC	22,948	1,900,733	22,948	3,444,495
Dialog Axiata PLC	-	-	1,929,000	20,640,300
Dipped Products PLC	35,626	3,092,337	41,000	4,510,000
Hayleys MGT Knitting Mills PLC	430,000	6,450,000	-	-
Piramal Glass Ceylon PLC	522,240	2,767,872	522,240	3,185,664
Singer (Sri Lanka) PLC	-	-	80,868	11,151,697
Textured Jersey PLC	-	-	685,000	24,317,500
Tokyo Cement Company (Lanka) PLC – Voting	297,080	17,587,136	82,080	4,021,920
Tokyo Cement Company (Lanka) PLC – Non-Voting	518,781	26,717,222	334,500	13,212,750
Lanka IOC PLC	-	-	183,000	6,789,300
		96,108,685		104,724,075

14. CASH AND CASH EQUIVALENTS IN STATEMENT OF CASH FLOWS**14.1 Components of Cash and Cash Equivalents**

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Cash and Bank Balances	368,874,066	133,915,913	78,897,531	47,709,756
Cash and Bank Balances – Unit Linked	72,192,842	46,639,393	-	-
Bank Overdrafts	(40,892,192)	-	(38,493,174)	-
Investments in Government Securities	302,119,183	668,132,328	111,670,882	372,818,222
	702,293,899	848,687,634	152,075,239	420,527,978

14.2 Cash and Bank balance amounting to Rs. 19,923,345/- (2015 – Rs. 49,237,670/-) belonging to Family Takaful Fund has been restricted as per the provisions in Section 38 of the Regulation of Insurance Industry Act No. 43 of 2000 and will only be used to discharge liabilities of Family Takaful (Long-term Insurance) Fund.

15. STATED CAPITAL

	Company			
	2016		2015	
	Number of Shares	Rs.	Number of Shares	Rs.
Fully-Paid Ordinary Shares – Voting (Note 15.1)	1,800,001,296	1,860,001,339	1,500,001,080	1,650,001,188

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

15.1 Right Issue of Ordinary Shares

In June 2016, shareholders of the Company at a general meeting approved a rights issue of 300,000,216 ordinary shares with one ordinary share for every five existing ordinary shares at an exercise price of Rs. 0.70 per share.

300,000,216 ordinary shares were subscribed and paid in August 2016. Allotment of the subscribed shares was concluded in August 2016.

Effect on the Stated Capital after the conclusion of the Right Issue is as follows:

	Number of Shares	Rs.
Stated Capital prior to Right Issue	1,500,001,080	1,650,001,188
Right Issue	300,000,216	210,000,151
Stated Capital after Right Issue – Fully Paid	1,800,001,296	1,860,001,339

16. OTHER RESERVES

	Note	Group		Company	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Reserves consists of the following:					
Revaluation Reserve	16.1	34,234,871	36,501,152	34,331,677	34,331,677
Translation Reserve	16.2	51,634,475	43,604,300	-	-
		85,869,346	80,105,452	34,331,677	34,331,677

16.1 Revaluation Reserve

The Revaluation Reserve relates to the revaluation of Property, Plant and Equipment.

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Balance as at 1st January	36,501,152	30,128,071	34,331,677	30,128,071
Transfer of Revaluation on Disposal of Investment in Subsidiary	(216,948)	-	-	-
Change in Fair Value of Property, Plant and Equipment	-	9,518,159	-	7,348,684
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	(2,049,333)	(3,145,078)	-	(3,145,078)
Balance as at 31st December	34,234,871	36,501,152	34,331,677	34,331,677

16.2 Translation Reserve

The Translation Reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Balance as at 1st January	43,604,300	19,287,130	-	-
Foreign Currency Translation Differences for Foreign Operations	8,030,175	24,317,170	-	-
Balance as at 31st December	51,634,475	43,604,300	-	-

17. REVENUE RESERVE

As at 31st December

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Accumulated Profit/(Losses)				
Balance as at 1st January	(426,505,809)	(120,935,104)	9,126,075	(256,730,246)
Net Profit/(Loss) for the year	(154,434,189)	(301,188,689)	(139,173,365)	265,287,934
Fair Value Changes taken to OCI	2,582,764	(6,231,798)	(3,546,564)	(3,637,811)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	(2,488,663)	(1,295,296)	(2,446,671)	1,061,120
Gain on Disposal of Investment in Subsidiary	24,807,015	-	-	-
IPO Cost	(13,440,014)	-	-	-
Transfer of Revaluation Reserve on Disposal	2,049,333	3,145,078	-	3,145,078
Balance as at 31st December	(567,429,563)	(426,505,809)	(136,040,525)	9,126,075

17.1 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available-for-Sale financial assets related to Family Takaful Fund.

17.2 Available-for-Sale Reserve

The Available-for-Sale Reserve comprises the cumulative net change in the fair value of Available-for-Sale financial assets until the assets are derecognised or impaired.

18. INSURANCE CONTRACT LIABILITIES – NON LIFE

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
18.1 Unearned Contribution (Premium)				
Gross	662,239,611	642,319,029	553,206,803	556,358,819
Retakaful (Reinsurance)	(127,519,113)	(76,143,389)	(127,519,113)	(76,143,389)
Net	534,720,498	566,175,640	425,687,690	480,215,430
18.2 Gross Claims Reserve				
Claims Outstanding	334,857,787	125,464,859	182,495,371	65,275,611
Claims Incurred but Not Reported (IBNR)	48,292,089	50,977,919	42,492,420	42,569,745
	383,149,876	176,442,778	224,987,791	107,845,356
Insurance Provision	917,870,374	742,618,418	650,675,481	588,060,786
18.3 General Takaful (Insurance) Technical Reserves				
General Insurance (Non-Life) Provision	917,870,374	742,618,418	650,675,481	588,060,786
Retakaful (Reinsurance) Receivable on Outstanding Claims	(103,989,162)	(20,719,129)	(103,989,162)	(20,719,129)
	813,881,212	721,899,289	546,686,319	567,341,657

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by NMG Consulting as per SLFRS 4. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs. 48,292,089/- (2015 – Rs. 50,977,919/-) and Rs. 42,492,420/- (2015 – Rs. 42,569,745/-) for IBNR claims reserve respectively and there was no requirement for Unexpired Risk Reserve for the year ended 31st December 2016 (2015 – Nil).

19. INSURANCE CONTRACT LIABILITIES – FAMILY TAKAFUL FUND

The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following:

As at 31st December	Group	
	2016 Rs.	2015 Rs.
19.1 Insurance Contract Liabilities – Family Takaful Fund		
Participant Investment Fund – PIF	464,512,092	484,166,678
Participant Tabarru Fund (PTF) and Group Fund (GF)	90,590,277	82,197,857
Unearned Premium – Group Family Takaful	4,811,475	8,346,453
	559,913,844	574,710,988
19.2 Insurance Contract Liabilities – Family Takaful Unit Linked		
Unit Fund – Unit Linked	1,457,715,529	1,164,276,281
Participant Tabarru Fund and Group Fund – Unit Linked	46,429,344	27,519,065
	1,504,144,873	1,191,795,346
19.3 Insurance Contract Liability	2,018,316,178	1,752,095,837
Surplus of the Fund	45,742,539	14,410,497
Total Insurance Contract Liability – Family Takaful Fund (Note 19.1, Note 19.2)	2,064,058,717	1,766,506,334
19.4 The movement in Family Takaful Fund is as follows:		
Balance as at 1st January	1,758,120,651	1,275,294,074
Net Change in Contract Liabilities	301,047,944	482,826,577
Balance as at 31st December	2,059,168,595	1,758,120,651

19.5 The insurance provision (Family Takaful Fund) has been based upon the following assumptions and other information;

19.5.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the Group has chosen Valuation Interest Rate of 2%. For Mortgage Fund, Valuation Interest Rate of 7.2% is used which is based on average of the last five years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate of 100% of the risk-free yield is assumed.

Fund Based Yield

The Group has used fund yield ranging from 2.5% to 9% for various products. It calculates yield based on the ratio of twice the profits and other investment income received/receivable during the year net of Mudharabah share and sum of fund size at the beginning & end of the year net of profits made during the year.

Mortality and Morbidity Assumption

The Group has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality, due to insufficient in-house mortality and morbidity experience. The Total and Permanent Disability (TPD) rates is assumed to be 10% of mortality rates. The risk margin loading factor assumed for mortality and TPD is +/- 10% in compliance with RBC standards.

Lapse Assumption

Lapse rate assumptions are based on a combination of the Group's experience for early durations as well as industry experience in Sri Lanka. The Group has used different lapse assumption of each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for Unit-Linked Prosper as they are likely to exhibit different lapse experience due to single contribution. The risk margin loading factor assumed for lapses is +/-20% for regular and single contribution plans.

Expense Assumption

The Group performs internal expense study which constitutes approximating renewal or policy servicing expenses against the fixed cost. The fixed expense assumptions are applied to Family Takaful and Unit-Linked Policies. For Riders, only the variable expenses are applied in the Gross Premium Valuation (GPV). It is assumed the fixed expenses are met by the basic plans.

Bonus Assumption

No guarantees apply to any of the Takaful funds and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

19.5.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31st December 2016 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn Bhd), Malaysia.

In the opinion of the Consultant Actuary, the provision is adequate to cover the liabilities pertaining to Long-Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policyholders.

19.6 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ('LAT') for Life Insurance Contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn Bhd), Malaysia as at December 2016 as required by SLFRS 4 – Insurance Contracts. When performing the LAT, all contractual cash flows were discounted and this amount was compared with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2016.

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
20. EMPLOYEE BENEFITS				
Employee Benefits – Gratuity				
Balance as at 1st January	36,626,660	30,865,412	24,474,647	24,685,007
Net Benefit Expense (Note 20.1)	13,676,957	10,001,454	8,203,944	4,151,417
	50,303,617	40,866,866	32,678,591	28,836,424
Foreign Exchange Movement	288,044	366,571	-	-
Payments during the Year	(11,720,566)	(4,606,777)	(8,681,348)	(4,361,777)
Balance as at 31st December	38,871,095	36,626,660	23,997,243	24,474,647

20.1 Net Benefit Expense**Included in Profit or Loss**

Interest Cost	6,635,240	2,714,761	2,325,091	1,996,570
Current Service Cost	4,389,330	5,991,397	3,432,182	3,215,967
	11,024,570	8,706,158	5,757,273	5,212,537

Included in Other Comprehensive Income

Actuarial Losses/(Gains) on Obligations	2,652,387	(2,373,177)	2,446,671	2,607,353
Transferred from/(to) Amāna Takaful Life PLC	-	3,668,473	-	(3,668,473)
Actuarial Losses/(Gains) on Obligations	2,652,387	1,295,296	2,446,671	(1,061,120)
Net Benefit Expense	13,676,957	10,001,454	8,203,944	4,151,417

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piya S. Goonetilleke (Fellow of the Society of Actuaries – USA) in 2016 as requires by LKAS 19 – ‘Employee Benefits’.

Principal actuarial assumptions used for the Group and the Company are as follows:

	% Per Annum	
	2016	2015
a. Discount Rate	11.7	9.5
b. Salary Increase	10.0	8.5
c. Incidence of Withdrawals	26	22
d. Future Mortality	55 Years	55 Years
e. Expected Average Future Working Life of the Active Participants	4.6 Years	4.7 Years

The Liability is not externally funded.

20.2 Sensitivity of Assumptions Employed in Actuarial Valuations

Reasonably possible changes at the Reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below:

	31st December 2016		31st December 2015	
	Increase	Decrease	Increase	Decrease
Discount Rate (1% Movement)	36,954,706	40,940,632	34,869,663	38,545,108
Future Salary Growth (1% Movement)	40,912,986	36,956,561	38,479,578	34,901,140

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

21. OTHER LIABILITIES – UNIT LINKED

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Financial Liabilities (Note 21.1)	16,054,926	18,162,710	-	-
Non-Financial Liabilities (Note 21.2)	34,260,650	21,274,049	-	-
	50,315,576	39,436,759	-	-

21.1 Financial Liabilities

Retakaful Payable	16,054,926	18,162,710	-	-
	16,054,926	18,162,710	-	-

21.2 Non-Financial Liabilities

Advances Received	19,945,838	10,236,562	-	-
Other Creditors	14,314,812	11,037,487	-	-
	34,260,650	21,274,049	-	-

22. OTHER LIABILITIES

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Financial Liabilities (Note 22.1)	249,338,398	218,040,601	119,899,805	49,040,106
Non-Financial Liabilities (Note 22.2)	215,891,958	222,529,764	54,672,719	37,910,929
	465,230,356	440,570,365	174,572,524	86,951,035

22.1 Financial Liabilities

Retakaful Payable	215,614,387	184,520,639	110,645,821	47,093,814
Commission Payable	33,724,011	33,519,962	3,897,324	1,946,292
Amount Due to Related Party – Amāna Takaful Life PLC	-	-	5,356,660	-
	249,338,398	218,040,601	119,899,805	49,040,106

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
22.2 Non-Financial Liabilities				
Accrued Liabilities	38,417,353	20,108,198	30,634,983	15,965,417
Other Creditors	172,137,544	198,144,677	24,037,736	21,945,512
Income Tax Payable	5,337,061	4,276,889	-	-
	215,891,958	222,529,764	54,672,719	37,910,929.00

23. SUBORDINATED DEBT

	Group		Company	
As at 31st December	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Unsecured Subordinated Redeemable Debt	200,000,000	200,000,000	200,000,000	200,000,000
	200,000,000	200,000,000	200,000,000	200,000,000

The details of the above Instrument are as follows:

Issue Date	Purpose/Rationale	Invested Party	Relationship	Face Value (Rs.)	Profit Rate	Profit Payable Frequency	Repayment Terms	Maturity Date
31st December 2015	To meet the Risk Based Capital Requirements	Amāna Holdings Limited	Parent	185,000,000	11%	Annually	5 Years	31st December 2020
31st December 2015	To meet the Risk Based Capital Requirements	Amāna Candor Shari'ah Balance Fund	Investor	15,000,000	11%	Annually	5 Years	31st December 2020

24. FINANCE LEASE LIABILITY

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Opening Balance	13,033,038	18,882,902	13,033,038	18,882,902
Lease Obtained	9,572,400	-	-	-
Repayments	(7,034,258)	(5,849,864)	(5,757,938)	(5,849,864)
	15,571,180	13,033,038	7,275,100	13,033,038
Unamortised Profit	(3,068,119)	(2,291,336)	(972,957)	(2,291,336)
Net Liability	12,503,061	10,741,702	6,302,143	10,741,702

24.1 Maturity Analysis

Issue Date	1 Year or Less Rs.	2-5 Years Rs.	Total Rs.
Gross Liability	6,430,139	9,141,041	15,571,180
Unamortised Profits	(1,596,405)	(1,471,714)	(3,068,119)
Net Liability	4,833,734	7,669,327	12,503,061

25. SHORT-TERM BORROWINGS – WAKALA FACILITY

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Opening Balance	-	-	-	-
Obtained during the Year	250,000,000	-	250,000,000	-
Repayments	(162,342,982)	-	(162,342,982)	-
At the end of the Year	87,657,018	-	87,657,018	-

25.1 Short-Term Wakala Facility represents facility obtained from The Bank of Ceylon (BoC) to finance flood claim settlements. The total loan facility is obtained on an instalment basis and proceeds from re-insurance will be used to pay the BoC facility.

25.2 The Company's shares in Amāna Takaful (Maldives) PLC (Subsidiary), valued at Rs. 587,197,352/- have been pledged as security for this facility.

26. GROSS WRITTEN CONTRIBUTION

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
General Takaful (Insurance)				
Motor	1,320,595,152	1,062,747,375	963,779,721	1,020,946,906
Fire	512,866,211	443,617,808	144,636,865	120,003,406
Marine	172,970,938	125,220,575	46,143,461	39,691,239
Medical	208,073,838	182,960,161	208,073,838	182,960,161
Miscellaneous	371,672,565	494,769,501	255,529,914	183,843,663
	2,586,178,704	2,309,315,420	1,618,163,799	1,547,445,375
Long-Term Policies				
Family Takaful	106,314,067	144,657,085	-	-
Mortgage and Group Family Takaful	55,040,629	48,581,912	-	-
Unit Linked	659,370,389	735,054,781	-	-
	820,725,085	928,293,778	-	-
	3,406,903,789	3,237,609,198	1,618,163,799	1,547,445,375

27. INCOME FROM INVESTMENTS

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Investment Income (Note 27.1)	291,829,380	178,673,119	123,067,149	43,428,491
Fair Value Gain on Investment Properties	5,000,000	7,500,000	5,000,000	7,500,000
Loss on Disposal of Investment Property	-	(3,050,000)	-	(1,450,000)
Net Realised Capital Gain or (Losses)	(2,016,603)	5,905,288	-	1,389,121
Unrealised Capital Gain or (Losses)	12,980,251	(3,304,885)	(59,753)	(4,086,119)
	307,793,028	185,723,522	128,007,396	46,781,493

27.1 Investment Income

Dividend Income	8,187,924	19,366,762	31,244,215	9,298,084
Income from Murabaha Investments	26,151,284	14,058,463	-	-
Income from Mudharaba Investments	210,008,953	115,030,203	43,909,848	20,992,575
Sale of Shares of Subsidiary	-	-	25,000,000	-
Income from Investment in Government Securities (Note 27.2)				
Net Change in Fair Value of Available-for-Sale Financial Assets	44,878,068	27,412,226	20,222,501	10,247,670
Transferred to Profit or Loss	2,603,151	2,805,465	2,690,585	2,890,162
	291,829,380	178,673,119	123,067,149	43,428,491

27.2 Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

28. OTHER INCOME

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Profit on Disposal of Property, Plant and Equipment	578,113	245,327	-	250,383
Sundry Income	22,030,712	37,095,573	8,829,049	9,123,746
Fund Management Fee Income	36,958,199	7,095,540	-	-
Salvage Income	1,024,500	1,395,550	1,024,500	1,395,550
Exchange Gain/(Loss)	890,781	(2,913,815)	1,617,707	(2,846,667)
Technical Fee Income	-	7,431,378	-	-
	61,482,305	50,349,553	11,471,256	7,923,012

29. REVENUE

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Gross Written Contribution (Premium)	3,406,903,789	3,237,609,198	1,618,163,799	1,547,445,375
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(896,277,479)	(666,752,524)	(387,443,446)	(262,451,331)
Net Written Contribution (Premium)	2,510,626,310	2,570,856,674	1,230,720,353	1,284,994,044
Net Change in Reserve for Unearned Contribution (Premium)	38,170,826	(59,483,158)	54,527,741	(47,511,263)
Net Earned Contribution (Premium)	2,548,797,136	2,511,373,516	1,285,248,094	1,237,482,781
Income from Investments	307,793,028	185,723,522	128,007,396	46,781,493
Fair Value Gains and Losses	4,043,873	4,539,234	855,979	747,649
Impairment Charges on Available-for-Sale Financial Instruments	(36,486,513)	-	-	-
Fair Value of Investment Transferred	-	-	-	587,197,352
Other Income	61,482,305	50,349,553	11,471,256	7,923,012
Total Revenue Including Fair Value of Investment Transferred	2,885,629,829	2,751,985,825	1,425,582,725	1,880,132,287

30. INSURANCE CLAIMS AND BENEFITS (NET)

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
General Takaful (Insurance)				
Gross Claims Incurred				
Motor	970,150,567	826,651,283	767,047,616	822,593,282
Fire	335,415,433	18,538,580	259,041,999	19,026,144
Marine	23,615,329	28,451,371	13,091,963	5,114,206
Medical	145,853,051	126,597,168	145,853,051	126,597,168
Miscellaneous	37,206,623	157,096,287	15,653,319	20,064,934
	1,512,241,003	1,157,334,689	1,200,687,948	993,395,734
Retakaful (Reinsurance) Recoveries	(394,076,825)	(27,816,653)	(323,969,526)	(27,816,653)
General Insurance Claims and Benefits (Net)	1,118,164,178	1,129,518,036	876,718,422	965,579,081
Family Takaful (Long-Term Insurance)				
Claims Incurred	56,504,385	49,065,081	-	-
Surrenders	221,838,804	129,949,361	-	-
Policy Maturities	25,387,133	13,344,183	-	-
Interim Payments/Part Withdrawals	16,451,013	15,213,137	-	-
Long-Term Insurance Claims and Benefits	320,181,335	207,571,762	-	-
	1,438,345,513	1,337,089,798	876,718,422	965,579,081

31. OTHER OPERATING, INVESTMENT RELATED AND ADMINISTRATION EXPENSES

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Staff Expenses (Note 31.1)	406,958,711	365,169,398	230,313,861	216,199,261
Administration and Establishment Expenses	328,324,380	309,018,942	156,757,068	145,740,323
Selling Expenses	78,088,181	87,750,852	54,168,576	48,905,337
Depreciation	32,493,627	31,022,378	25,738,149	26,223,697
Consultancy Fees	30,353,422	41,275,176	8,964,926	24,997,400
Travel Expenses	135,485,415	134,802,731	98,043,234	98,587,098
	1,011,703,736	969,039,477	573,985,814	560,653,116

31.1 STAFF EXPENSES

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Wages, Salaries and Bonuses	260,697,469	233,180,934	144,167,836	134,272,388
Contribution to Defined Contribution Plans – EPF and ETF	56,266,493	43,345,427	37,009,685	34,200,865
Staff Welfare	57,010,277	61,100,698	29,339,347	29,881,387
Staff Training	14,771,180	15,930,581	9,110,307	9,443,666
Medical Claims	7,188,722	4,902,084	4,929,413	3,188,418
Gratuity	11,024,570	6,709,674	5,757,273	5,212,537
	406,958,711	365,169,398	230,313,861	216,199,261

32. AMORTISATION

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Intangible Assets	4,594,130	5,141,517	1,331,931	2,656,153
	4,594,130	5,141,517	1,331,931	2,656,153

33. THE PROFIT FROM OPERATIONS FOR THE YEAR

is stated after charging/(crediting) the following:

		Group		Company	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Directors' Emoluments	– Executive	25,382,642	22,384,785	8,018,646	10,236,826
	– Non-Executive	7,571,570	7,298,188	3,094,353	2,992,460
Auditors' Remuneration (Fees)	– Audit	2,067,792	2,546,056	870,000	750,000
	– Audit Related Other	886,550	–	466,550	–
	– Non-Audit	1,426,419	1,795,980	1,931,369	1,442,980
Depreciation		32,493,627	31,022,377	25,738,149	26,223,697
Advertisement Costs		78,088,181	87,750,852	54,168,576	48,905,337
Amortisation of Intangibles		6,156,630	6,704,017	1,331,931	2,656,153
Staff Cost		406,958,711	365,169,398	230,313,861	216,199,261
Profit on Disposal of Property, Plant and Equipment		578,113	245,327	–	250,383

34. FINANCE COST

		Group		Company	
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Profit Mark up on Lease (Ijara) Facility		2,005,617	2,371,332	824,012	1,941,399
Finance Cost on Subordinated Debt		22,000,000	–	22,000,000	–
Profit Mark upon Wakala Facility		7,657,018	–	7,657,018	–
		31,662,635	2,371,332	30,481,030	1,941,399

35. INCOME TAX EXPENSE

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Current Income Tax	(7,441,602)	(9,684,085)	-	-
WHT Adjustment	(1,000,000)	-	-	-
Over/(Under) Provision for Previous Years	(2,105,713)	-	-	-
	(10,547,315)	(9,684,085)	-	-
Deferred Tax	4,628,269	884,133	-	-
	4,628,269	884,133	-	-
	(5,919,046)	(8,799,952)	-	-
Recognised in Profit or Loss	(5,919,046)	(9,113,439)	-	-
Recognised in Other Comprehensive Income	-	313,487	-	-
	(5,919,046)	(8,799,952)	-	-

35.1 Tax Reconciliation Statement

Accounting Profit/(Loss) before Tax	(140,239,250)	(271,386,698)	(139,173,365)	265,287,933
Aggregate Disallowed Items	109,494,453	91,635,141	51,032,377	55,653,776
Aggregate Allowable Expenses	(240,727,377)	(256,990,058)	(98,821,128)	(616,086,850)
Total Statutory Income/(Losses)	(271,472,174)	(436,741,615)	(186,962,116)	(295,145,141)
Losses Incurred During the Year	321,082,854	501,302,182	186,962,116	295,145,141
Taxable Income	49,610,680	64,560,567	-	-
Tax @ 15%	7,441,602	9,684,085	-	-
Income Tax Expense for the Year	7,441,602	9,684,085	-	-

35.1.1 Amāna Takaful (Maldives) PLC is liable for income tax at 15% (2015 – 15%) on the taxable income for the year of assessment 2016, and the income tax expense recognised during the year is from Amāna Takaful (Maldives) PLC.

35.1.2 Amāna Takaful PLC is liable for income tax at 28% (2015 – 28%) on the taxable income for the year of assessment 2016.

35.1.3 Amāna Global Ltd. is liable for income tax at 10% (2015 – 10%) on the taxable income for the year of assessment 2016.

35.1.4 Amāna Takaful Life PLC is liable for income tax at 28% (2015 – 28%) on the taxable income for the year of assessment 2016.

35.1.5 Income Tax Assessment Relating to Years of Assessment 2010/11, 2011/12, 2012/13 and 2013/14

The Department of Inland Revenue has raised an assessment for the following years of assessment:

- Year of Assessment 2010/11: assessing the General Insurance business to pay an income tax liability of Rs. 578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12: an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation.
- Year of Assessment 2012/13: assessing the Life Insurance business to pay an income tax liability of Rs. 188,249/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2013/14: assessing the Life Insurance business to pay an income tax liability of Rs. 11,070,604/- and the Company has lodged a valid appeal against the said assessment.

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for years of assessment 2010/11, 2011/12, 2012/13 and 2013/14 therefore, the above assessments have no rationale or basis in law.

35.2 Deferred Tax Asset

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Tax Losses Brought Forward	1,760,510,730	1,593,214,107	1,119,396,039	914,876,686
Tax Losses of which Deferred Tax Asset was Not Recognised	(1,389,484,255)	(1,224,902,105)	(748,369,564)	(540,768,779)
Available-for-Sale Financial Assets	39,443,771	20,657,918	-	-
Defined Benefit Obligation	34,428,575	24,685,007	23,997,243	24,474,647
	444,898,821	413,654,927	395,023,718	398,582,554
Deferred Tax Assets @ 15% and 28%	118,087,907	115,823,379	110,606,641	111,603,115
Recognised Deferred Tax Asset	118,087,907	115,823,379	110,606,641	111,603,115
Deferred Tax Liability				
Property, Plant and Equipment	(46,437,588)	(45,519,362)	(41,472,259)	(37,976,268)
Available-for-Sale Financial Assets	-	(3,546,564)	-	(3,546,564)
Revaluation Gain – Fair Value	-	(1,008,263)	-	(1,008,263)
Fair Value Gain of Investment Property	(5,000,000)	(7,500,000)	(5,000,000)	(7,500,000)
Total Taxable Temporary Differences	(51,437,588)	(57,574,189)	(46,472,259)	(50,031,095)
Deferred Tax Liability @ 15% and 28%	(13,757,032)	(16,120,774)	(13,012,233)	(14,008,707)
Net Deferred Tax Asset	104,330,875	99,702,605	97,594,408	97,594,408

35.3 Movement in Temporary Differences During the Year

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Balance as at 1st January	99,702,606	98,818,473	97,594,408	97,594,408
Recognised in Total Comprehensive Income				
Tax Losses Brought Forward	6,949,621	3,585,010	862,801	1,472,944
Defined Benefit Obligation	1,698,373	642,549	133,673	91,009
Property, Plant and Equipment	(996,474)	(2,682,981)	(996,474)	(570,915)
Available-for-Sale Financial Assets	(3,023,251)	(660,445)	-	(993,038)
	4,628,269	884,133	-	-
Balance as at 31st December	104,330,875	99,702,606	97,594,408	97,594,408

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and the level of future taxable profits together with future tax planning strategies.

However, Amāna Takaful PLC has recorded a deferred tax asset of Rs. 97,594,408/- (2015 – Rs. 97,594,408) as recognised up to the extent that it will be recognised within foreseeable future.

Amāna Takaful Life PLC has not recognised a deferred tax asset on tax losses amounting to Rs. 641,114,691/- (2015 – Rs. 678,337,421/-), since it is not probable that future taxable profits will be available within a foreseeable future.

36. EARNINGS/(LOSS) PER SHARE

36.1 Basic Earnings/(Loss) per Share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year. However, the surplus/(deficit) of the General Takaful Fund is also taken under the profit/(loss), which is not a part of the profit attributable to shareholders.

36.2 The following reflect the income and share data used in the Basic Earnings per Share computations.

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
For the year ended 31st December				
Amount used as the Numerator:				
Net Profit/(Loss) Attributable to Ordinary Shareholders (Rs.)	(146,158,296)	(280,500,137)	(139,173,365)	265,287,933
Number of Ordinary Shares used as Denominator:				
	Number	Number	Number	Number
Weighted Average Number of Ordinary Shares in Issue	1,657,272,005	1,545,788,659	1,657,272,005	1,545,788,659
Earnings/(Loss) per Share (Rs.)	(0.09)	(0.18)	(0.08)	0.17

36.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning per Share is same as Basic Earnings per Share shown above.

36.4 The weighted average number of ordinary shares outstanding during the year ended 31st December 2015 was restated to reflect the effect of rights issue.

37. RELATED PARTY DISCLOSURES

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 – 'Related Party Disclosures'. Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment-related transactions as at the Reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below:

(A) Transactions with the Parent, Subsidiaries and Fellow Subsidiaries

Group

Relationship	Nature of Transaction	2016 Rs.	2015 Rs.
Ultimate Parent	Takaful Premium	730,457	686,992
	Takaful Premium Receivable	20,832	-
	Claims Paid	404,370	415,218
Parent	Investment in Equity	144,821,285	248,529,837
	Issue of Subordinated Debt (Note 23)	-	200,000,000
	Reimbursement Cost	17,993,742	4,339,748
	Current Account Settlements	9,961,728	20,123,412
	Investment Placed	37,000,000	-
	Investment Income Earned	32,438	
Other Related Companies	Takaful Premium	78,340,293	78,314,166
	Claim Paid	11,133,879	7,325,029
	Takaful Premium Receivable	5,089,003	20,617,473
	Fund Management Fees	7,641,152	6,518,449
	Reimbursement Cost	6,983,361	25,724,074
Subsidiaries	Investment in Equity	-	380,000,000
	Disposal of Equity	50,000,000	-
	Takaful Premium Received	1,961,872	4,661,961
	Claims Paid	2,372,585	1,733,853
	Takaful Premium Receivable	121,912	1,649,567
	Reimbursement Cost	113,309,628	93,456,349
	Management Fee	8,400,000	8,400,000
	Current Account Settlement	179,932,154	209,736,953
	Dividend Received	30,618,154	17,930,929

Company			
Relationship	Nature of Transaction	2016 Rs.	2015 Rs.
Ultimate Parent	Takaful Premium	730,457	686,992
	Takaful Premium Receivable	20,832	-
	Claims Paid	404,370	415,218
Parent	Investment in Equity	144,821,285	248,529,837
	Issue of Subordinated Debts (Note 23)	-	200,000,000
	Reimbursement Cost	9,440,029	3,273,287
	Current Account Settlements	9,961,728	2,751,588
Other Related Companies	Takaful Premium	78,340,293	78,314,166
	Claim Paid	11,133,879	7,325,029
	Takaful Premium Receivable	5,089,003	20,617,473
	Fund Management Fees	2,980,845	2,098,264
	Reimbursement Cost	-	(1,049,115)
Subsidiaries	Investment in Equity	-	380,000,000
	Disposal of Equity	50,000,000	-
	Takaful Premium Received	984,959	3,961,372
	Claims Paid	1,807,585	1,283,853
	Takaful Premium Receivable	121,912	1,649,567
	Claims Received	565,000	450,000
	Reimbursement Cost	100,606,701	80,056,162
	Management Fees	8,400,000	8,400,000
	Current Account Settlement	157,529,250	191,370,370
	Current Account Balance	4,451,232	11,832,030
	Dividend	29,202,747	5,000,000
	Fair Value of Investment Transferred	-	587,192,352

(B) Compensation of Key Management Personnel

The total compensation to those individuals classified as Key Management Personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

According to Sri Lanka Accounting Standard (LKAS) 24 – 'Related Party Disclosure', Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Group.

The Group carries out transactions with KPMs and their close family members in the ordinary course of business on an arms' length basis at commercial rates.

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Salary and Other Short-Term Benefits	47,460,420	38,702,440	18,382,999	19,744,286
Contributions Made by the Company to Provident Fund and Trust Fund	1,949,026	1,625,016	982,500	889,500
Termination Benefits	2,047,500	-	-	-
Non-Cash Benefits	3,405,000	3,120,000	2,100,000	2,160,000
	54,861,946	43,447,456	21,465,499	22,793,786

(C) Transactions with Other Related Parties

Transactions entered into with entities that are connected via close members of the family of KMP are disclosed as follows. Close members of the family include immediate family members including spouse and dependants.

Nature of Transaction	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Takaful Premium	499,852	342,767	157,085	342,767
Claims Paid	98,958	-	98,958	-
	598,810	342,767	256,043	342,767

38. PRINCIPAL SUBSIDIARIES

The following disclosure excerpt highlights the Group composition and the proportion of ownership interests held by NCI.

Company and Country of Incorporation/Operation	Principal Activities	Class of Shares Held	Proportion of Class Held by the Company %	Group Interest %	Non-Controlling Interest %
Sri Lanka					
Amāna Takaful Life PLC	Life Insurance	Ordinary	90	90	10
Amāna Global Ltd.	Asset/Investment Management	Ordinary	100	100	-
Amāna Takaful (Maldives) PLC	General Takaful Insurance	Ordinary	51	55	45

38.1 Summary Financial Information for Subsidiaries that have Non-Controlling Interests that are Material to the Group

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra group eliminations:

31st December 2016

	Amāna Takaful Life PLC	Amāna Takaful (Maldives) PLC
NCI Percentage	10%	45%
Total Assets	2,707,598,672	968,975,208
Total Liabilities	(2,184,081,517)	(505,777,797)
Net Assets	523,517,155	463,197,411
– Attributable to Non-Controlling Interest	52,351,717	209,560,874
– Attributable to Parent	471,165,438	253,636,537
Net Earned Contribution (Premium)	806,055,796	457,493,246
Profit for the Period	35,691,066	14,586,659
– Profit Attributable to Non-Controlling Interest	1,711,897	6,563,996
– Profit Attributable to Parent	33,979,169	8,022,663
Other Comprehensive Income, net of tax	(4,327,450)	31,351,497
Total Comprehensive Income for the year	31,363,616	45,938,156
Cash Flows From/(Used in) Operating Activities	356,215,952	(647,351)
Cash Flows From/(Used in) Investment Activities	(436,067,644)	254,916,494
Cash Flows Used in Financing Activities (Dividends Paid to NCI: Rs. 17,004,949/-)	(24,716,331)	(37,493,890)
Net Increase/(Decrease) in Cash and Cash Equivalents	(104,568,023)	216,775,253

31st December 2015

	Amāna Takaful (Maldives) PLC
NCI Percentage	45%
Total Assets	881,974,119
Total Liabilities	(426,926,089)
Net assets	455,048,030
– Attributable to Non-Controlling Interest	205,893,654
– Attributable to Parent	249,154,376
Net Earned Contribution (Premium)	365,826,366
Profit for the Period	45,974,558
– Profit Attributable to Non-Controlling Interest	20,688,552
– Profit Attributable to Parent	25,286,006
Other Comprehensive Income, net of tax	42,436,561
Total Comprehensive Income for the year	88,411,120
Cash Flows From Operating Activities	90,671,392
Cash Flows Used in Investment Activities	(62,214,341)
Cash Flows Used in Financing Activities (Dividends Paid to NCI: Rs. 10,016,086/-)	(23,353,973)
Net Increase in Cash and Cash Equivalents	5,103,078

39. COMMITMENTS AND CONTINGENCIES

39.1 Commitments

The Group does not have significant capital commitments as at the reporting date.

39.2 Contingencies

A contingent liability at a fair value of Rs. 273.5 Mn has been determined from five claims where, Amāna Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 25 Mn, if any. The said claims are subject to legal proceedings. At the Reporting date, the lawyers are of the view that these five cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

40. TRANSFER PRICING

Provision on transfer pricing under sections 104 and 104 (A) of the Inland Revenue Act, No. 10 of 2006 covers the transactions with associated undertakings. Compliance reporting will be enforced from the year of assessment 2015/16.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have taken place with the parent entity (Associated undertaking). The Group is of the view that the transactions with its' related entities have taken place on arm's length price.

As the aggregate value of transactions of each company with associated undertaking is more than Rs. 50 Mn, the Group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All Companies are in the process of seeking professional advice from tax consultants to prepare the required documentations to comply with Transfer Pricing Regulations.

41. EVENTS OCCURRING AFTER THE REPORTING PERIOD

There have been no event occurring after the Reporting date that require adjustments to or disclosures in these Financial Statements.

42. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2016 Rs.	2015 Rs.	
Leased Vehicle	Pledged against Finance Lease Liabilities	15,735,490	8,840,000	Property, Plant and Equipment
Repurchase Agreements	Bank Guarantee for a Performance Bond	1,000,000	1,000,000	Financial Assets
Investment in Subsidiary	Short-Term Wakala Facility	587,197,352	-	Investment in Subsidiary

43. COMPARATIVE INFORMATION

Comparative information has been reclassified where necessary to conform with the current year's presentation.

44. RISK MANAGEMENT

44.1 Overview

All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

44.2 Risk Management Framework

The Group's risk management framework forms an integral part of the management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the governance practices and the Standard Operating Procedures (SOPs), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group's risk management framework and thus, their approval is necessary for the Risk Management Strategies. The Group's Risk Management Framework categorised into four lines of defence as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defence.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at senior management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance sector. The Financial instruments of the Group are exposed to the following Risks:

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

44.3 Financial Risk

44.3.1 Capital Management

a. Objectives and Policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory and Shari'ah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity.
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business.

The Group currently has stated capital worth Rs. 1.86 Bn, which is well above the minimum regulatory requirement of the Insurance Board of Sri Lanka (IBSL). Operations of the Group are also subject to statutory requirements of the IBSL (Capital, investments, solvency etc.) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimise the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic finance principles i.e., the strict adherence of Shari'ah guidelines in terms of investments, marketing activities and so on and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Board of Sri Lanka. This primarily helps the Group to maintain the required levels of solvency at all times at different funds. In meeting the objectives mentioned above, the capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyse the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

44.3.2 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise –

1. Premium receivable
2. Reinsurance receivable
3. Investments in debt securities

The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All reinsurers are selected based on the ratings as required by IBSL.
- The Investment Committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The Executive Committee regularly reviews the credit position of the Group i.e., outstandings and overdues. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

2016 – Industry Analysis	Financial Services	Asset Management	Government	Food & Beverages	Telco	Construction, Manufacturing, Power & Chemicals	Others	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets								
Financial Assets at Fair Value Through Profit or Loss								
Investments in Equity Securities	-	-	-	-	3,936,279	20,394,262	2,420,892	26,751,433
Investments in Equity Securities – Unit Linked	-	-	-	-	-	94,207,952	1,900,733	96,108,685
Available-for-Sale Financial Assets								
Investments in Equity Securities	37,593,383	-	-	-	-	-	-	37,593,383
Unit Trust	-	42,178,119	-	-	-	-	-	42,178,119
Unit Trust – Unit Linked	-	21,669,060	-	-	-	-	-	21,669,060
Unquoted	7,143,582	-	-	-	-	525,000	-	7,668,582
Loans and Receivables								
Repurchase Agreements	-	-	503,228,391	-	-	-	-	503,228,391
Repurchase Agreements – Unit Linked	-	-	8,068,014	-	-	-	-	8,068,014
Murabaha Investments	265,126,704	-	-	-	-	-	-	265,126,704
Mudharaba Investments	1,071,917,784	-	-	-	-	-	-	1,071,917,784
Mudharaba Investments – Unit Linked	1,315,430,509	-	-	-	-	-	-	1,315,430,509
Commercial Paper	37,444,000	-	-	-	-	301,055,864	-	338,499,864
Advances to Company Officers	-	-	-	-	-	-	12,130,593	12,130,593
Total Credit Exposure	2,734,655,962	63,847,179	511,296,405	-	3,936,279	416,183,078	16,452,218	3,746,371,121

2015 – Industry Analysis	Financial Services	Asset Management	Government	F&B	Telco	Construction, Manufacturing, Power & Chemicals	Others	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets								
Financial Assets at Fair Value Through Profit or Loss								
Investments in Equity Securities	-	-	-	3,455,927	38,009,791	135,780,237	16,939,695	194,185,650
Available-for-Sale Financial Assets								
Investments in Equity Securities	52,630,726	-	-	-	-	-	-	52,630,726
Unit Trust	-	163,256,299	-	-	-	-	-	163,256,299
Unquoted	6,917,970	-	-	-	-	525,000	-	7,442,970
Loans and Receivables								
Repurchase Agreements	-	-	679,733,724	-	-	-	-	679,733,724
Murabaha Investments	312,507,579	-	-	-	-	-	-	312,507,579
Mudharaba Investments	2,084,669,837	-	-	-	-	-	-	2,084,669,837
Advances to Company Officers	-	-	-	-	-	-	8,140,270	8,140,270
Total Credit Exposure	2,456,726,112	163,256,299	679,733,724	3,455,927	38,009,791	136,305,237	25,079,965	3,502,567,055

44.3.2.1 Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31st December 2016 and 2015, is the carrying amounts of respective financial instruments.

Credit Exposure – 31st December 2016	Neither Past Due Nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2016 Rs.
Financial Assets				
Financial Assets at Fair Value Through Profit or Loss				
Investments in Equity Securities	26,751,433	-	-	26,751,433
Investments in Equity Securities – Unit Linked	96,108,685	-	-	96,108,685
Available-for-Sale Financial Assets				
Investments in Equity Securities – Quoted	-	-	37,593,383	37,593,383
Unit Trust	42,178,119	-	-	42,178,119
Unit Trust – Unit Linked	21,669,060	-	-	21,669,060
Investment in Equity Securities – Unquoted	7,668,582	-	-	7,668,582

Credit Exposure – 31st December 2016	Neither Past Due Nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2016 Rs.
Loans and Receivables				
Repurchase Agreements	503,228,391	–	–	503,228,391
Repurchase Agreements – Unit Linked	8,068,014	–	–	8,068,014
Murabaha Investments	265,126,704	–	–	265,126,704
Mudharaba Investments	1,071,917,784	–	–	1,071,917,784
Commercial Paper	338,499,864	–	–	338,499,864
Mudharaba Investments – Unit Linked	1,315,430,509	–	–	1,315,430,509
Advances to Company Officers	9,755,734	–	2,374,859	12,130,593
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	383,234,370	–	–	383,234,370
Contribution (Premium) Receivable	423,594,316	–	–	423,594,316
Cash and Cash Equivalents	441,066,908	–	–	441,066,908
Total Credit Exposure	4,954,298,473	–	39,968,242	4,994,266,715

Credit Exposure – 31st December 2015	Neither Past Due Nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2015 Rs.
Financial Assets				
Financial Assets at Fair Value Through Profit or Loss				
Investments in Equity Securities	194,185,649	–	–	194,185,649
Investments in Equity Securities – Unit Linked	–	–	–	–
Available-for-Sale Financial Assets				
Investments in Equity Securities	52,630,726	–	–	52,630,726
Unit Trust	163,256,299	–	–	163,256,299
Unquoted Investments	7,442,970	–	–	7,442,970
Loans and Receivables				
Repurchase Agreements	679,733,724	–	–	679,733,724
Murabaha Investments	312,507,579	–	–	312,507,579
Mudharaba Investments	2,084,669,837	–	–	2,084,669,837
Advances to Company Officers	8,140,270	–	2,374,859	10,515,129
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	40,366,534	–	–	40,366,534
Contribution (Premium) Receivable	528,442,104	–	–	528,442,104
Cash and Cash Equivalents	180,555,306	–	–	180,555,306
Total Credit Exposure	4,251,930,998	–	2,374,859	4,254,305,857

The following table provided information regarding the credit risk exposure on investments of the Group as at 31st December 2016 as a percentage of respective credit ratings of the investee AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB – are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

Credit Rating	Exposure %
AAA	56
AA	2
AA-	14
A	28

44.4 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

44.4.1 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory investment requirement of the Insurance Board of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

44.4.2 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company has a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in white list equity securities i.e., Shari'ah Compliant Securities which are of sound fundamental value giving the Group and the Company greater security in its invested equity securities.

Amāna Takaful Equity Exposure (Group) – Quoted

Sector	Equity Exposure			
	2016		2015	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Beverage and Foods	–	0	3,455,927	2
Construction	3,471,997	5	7,438,200	5
Financial Services	37,593,383	58	52,630,726	37
Manufacturing	16,922,265	26	48,654,505	34
Plantation	664,890	1	1,367,889	1
Power	–	–	3,402,070	2
Telecommunication	3,936,279	6	17,369,491	12
Trading	1,756,002	3	7,773,493	5
	64,344,816	100	142,092,301	100

Sector	Equity Exposure – Unit Linked			
	2016		2015	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Construction	19,769,270	21	11,214,449	11
Manufacturing	74,438,682	77	51,483,834	49
Power	–	–	6,789,300	6
Telecommunication	–	–	20,640,300	20
Trading	1,900,733	2	14,596,192	14
	96,108,685	100	104,724,075	100

Amāna Takaful Equity Exposure (Company) – Quoted

Sector	Equity Exposure			
	2016		2015	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Plantation	–	–	590,889	100
Power	–	–	–	–
Telecommunication	–	–	–	–
Trading	–	–	–	–
	–	–	590,889	100

44.4.3 Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

	Average Rate for the Year Ended		Reporting Date Spot Rate As At	
	31.12.2016	31.12.2015	31.12.2016	31.12.2015
USD	144.91	136.25	147.84	141.94
MVR	9.50	8.87	9.71	9.42

Sensitivity Analysis

The following analysis is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on Profit or Loss Before Tax and equity due to changes in the fair value of currency sensitive monetary assets.

31st December 2016

	Equity		Profit or Loss	
	Strengthening	Weakening	Strengthening	Weakening
USD (10% Movement)	5,168,268	(5,168,268)	5,168,268	(5,168,268)
MVR (10% Movement)	46,319,741	(46,319,741)	1,950,571	(1,950,571)

44.5 Insurance Risk

Being in the Insurance Industry, risks related to the insurance business i.e., Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category:

- Underwriting Risks
- Claims Risks
- Reinsurance Risk

In addition to the above life insurance is specifically subject to the following risks:

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected
3. Investment return risk – risk of loss arising from actual returns being different than expected
4. Expense risk – risk of loss arising from expense experience being different than expected
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk, the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policyholders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry-wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behaviour.

44.5.1 Underwriting Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. **Price** – The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multilevel basis.
- ii. **Exposure** – The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are reinsured.
- iii. **Personnel** – The Group ensures that all underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPIs) with regard to revenue and profitability of product segments. The Life segment has its own in-house Actuary, who reviews the Life business closely and guides the management when taking crucial product based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

44.5.2 Claims Risk

The key risk facing insurance companies is the claims risk where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance indicators of all staff levels.

44.5.3 Reinsurance Risk

Insurance companies in events where sum insured is extremely high in comparison to premium earned decide on reinsuring the policy with another insurer in order to mitigate/share its loss in the case of disaster. The risk borne would add up to the premium foregone in the event that disaster does not occur to the said policy.

Management Strategy

The Board Risk Committee annually reviews the list of reinsurers to ensure that the Group's exposure is hedged to maximum effect, whilst periodically monitoring the financial status and condition of the same. The Group employs pre-agreed treaty insurance agreements to hedge against day-to-day insurance exposure, whilst engages in facultative insurance to hedge against extraordinary insurance risks in the line of day-to-day business.

Statement of Reinsurance Arrangements (General Insurance) Outward Treaty Reinsurance**Amāna Takaful PLC**

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa39 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.12.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015
Fire	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa39 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International Insurance and Reinsurance B.S.C. (c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.12.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015
Motor	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa39 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.12.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015
Liability	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa39 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	25.11.2015
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.12.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Miscellaneous	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa3 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.08.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015
Travel PA	Ironshore	Malaysia	A+ (Excellent)	A	A.M. Best	31.07.2015
Engineering	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa39 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.12.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015

Amāna Takaful Life PLC

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Name of the Regulatory Authority which Approval Obtained to Transact Reinsurance Business*	License Validity Period of the Reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
1. Long-Term Takaful Plans (Endowments)	Score Global Life SE Hanover Re	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	12.09.2016
		Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	23.05.2016
Other								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	23.05.2016
2. Unit Link Takaful	Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	12.09.2016
3. Group Family	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	23.05.2016
4. Credit and Mortgage Takaful	Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	12.09.2016

Amāna Takaful (Maldives) PLC

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa3 (Excellent)	Aa3	Moody's	18.12.2105
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.08.2105
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015
Fire	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa3 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International Insurance and Reinsurance B.S.C. (c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.08.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015
Motor	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa3 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.08.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015
Miscellaneous	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11-Dec-15
			Aa3 (Excellent)	Aa3	Moody's	18-Dec-15
			AA- (Very Strong)	AA-	S&P	30-Dec-15
	Labuan Reinsurance (L) Ltd.	Malaysia		A-	A.M. Best	25-Nov-15
	General Insurance Corporation of India	India		A-	A.M. Best	06-May-15
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain		A-	A.M. Best	21-Aug-15
Liability	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa3 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	06.05.2015
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.08.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	09.12.2015

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Travel PA	Ironshore	Malaysia	A (Excellent)	A	A.M. Best	31.07.2015
Engineering	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	11.12.2015
			Aa3 (Excellent)	Aa3	Moody's	18.12.2015
			AA- (Very Strong)	AA-	S&P	30.12.2015
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	25.11.2015
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	6.05.2015
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	21.08.2015
	Emirates Retakaful Ltd.	Dubai, UAE	B++	BBB+	A.M. Best	9.12.2015

44.6 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an Investment policy under the purview of the Investment Committee which is followed in accordance with the IBSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Group investments based on remaining maturity is given below:

Maturity Analysis – 2016	Within 1 Year	1-3 Years	3-5 Years	More Than 5 Years	No. Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity						
Securities	19,607,858	-	-	-	44,736,958	64,344,816
Unit Trust	24,595,617	-	-	-	17,582,502	42,178,119
Unquoted Investments	-	-	-	7,668,582	-	7,668,582
Repurchase Agreements	503,228,391	-	-	-	-	503,228,391
Murabaha Investments	146,846,803	73,013,699	20,979,452	24,286,750	-	265,126,704
Mudharaba Investments	1,071,917,784	-	-	-	-	1,071,917,784
Commercial Paper	338,499,864	-	-	-	-	338,499,864
Other Assets						
– Other Receivables	71,436,291	-	-	-	-	71,436,291
Other Assets – Unit Linked	32,055,415	-	-	-	-	32,055,415
Advances to Company Officers	12,130,593	-	-	-	-	12,130,593
Contribution (Premium) Receivables	423,594,316	-	-	-	-	423,594,316
Total	2,643,912,932	73,013,699	20,979,452	31,955,332	62,319,460	2,832,180,875

Maturity Analysis – 2016	Within 1 Year	1-3 Years	3-5 Years	More Than 5 Years	No. Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Liabilities						
Other Liabilities – Unit Linked	50,315,576	-	-	-	-	50,315,576
Other Liabilities	465,230,356	-	-	-	-	465,230,356
Short-Term Borrowings	87,657,018	-	-	-	-	87,657,018
Subordinated Debt	-	-	200,000,000	-	-	200,000,000
Finance Lease Liability	4,833,734	7,669,327	-	-	-	12,503,061
Total	608,036,684	7,669,327	200,000,000	-	-	815,706,011

Maturity Analysis – 2015	Within 1 Year	1-3 Years	3-5 Years	More Than 5 Years	No. Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	246,816,375	-	-	-	-	246,816,375
Unit Trust	163,256,299	-	-	-	-	163,256,299
Unquoted Investments	-	-	-	7,442,970	-	7,442,970
Repurchase Agreements	679,733,724	-	-	-	-	679,733,724
Murabaha Investments	287,029,836	663,876	1,274,366	23,539,500	-	312,507,578
Mudharaba Investments	2,084,669,837	-	-	-	-	2,084,669,837
Other Assets						
– Other Receivables	62,027,032	-	-	-	-	62,027,032
Other Assets – Unit Linked	37,971,813	-	-	-	-	37,971,813
Advances to Company Officers	10,515,129	-	-	-	-	10,515,129
Contribution (Premium) Receivables	528,442,104	-	-	-	-	528,442,104
Total	4,100,462,149	663,876	1,274,366	30,982,470	-	4,133,382,861

Liabilities						
Other Liabilities – Unit Linked	39,436,759	-	-	-	-	39,436,759
Other Liabilities	446,951,716	-	-	-	-	446,951,716
Subordinated Debt	-	-	200,000,000	-	-	200,000,000
Finance Lease Liability	4,482,850	8,550,188	-	-	-	13,033,038
Total	490,871,325	8,550,188	200,000,000	-	-	699,421,513

45. MATURITY PROFILE OF ASSETS AND LIABILITIES

Group	2016			2015		
	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.
Assets						
Cash and Bank Balances	368,874,066	-	368,874,066	133,915,913	-	133,915,913
Cash and Bank Balances – Unit Linked	72,192,842	-	72,192,842	46,639,393	-	46,639,393
Financial Assets	2,116,826,910	188,267,943	2,305,094,853	2,415,463,829	32,920,712	2,448,384,541
Financial Assets – Unit Linked	1,441,276,268	-	1,441,276,268	1,054,182,514	-	1,054,182,514
Retakaful (Reinsurance) Receivables	383,234,370	-	383,234,370	40,366,531	-	40,366,531
Contribution (Premium) Receivables	423,594,316	-	423,594,316	528,442,104	-	528,442,104
Investment Property	-	78,500,000	78,500,000	-	73,500,000	73,500,000
Property, Plant and Equipment	-	101,870,083	101,870,083	-	123,230,578	123,230,578
Intangible Assets	-	36,658,107	36,658,107	-	24,703,309	24,703,309
Deferred Tax Assets	-	104,330,875	104,330,875	-	99,702,606	99,702,606
Other Assets	170,070,907	-	170,070,907	134,955,421	-	134,955,421
Other Assets – Unit Linked	32,055,415	-	32,055,415	37,971,813	-	37,971,813
Total Assets	5,008,125,094	509,627,008	5,517,752,102	4,391,937,518	354,057,205	4,745,994,723
Liabilities						
Bank Overdrafts	40,892,192	-	40,892,192	-	-	-
Short-Term Borrowings	87,657,018	-	87,657,018	-	-	-
Insurance Contract Liabilities – Non-Life	917,870,374	-	917,870,374	742,618,418	-	742,618,418
Insurance Contract Liabilities – Family Takaful Fund	-	559,913,844	559,913,844	-	574,710,988	574,710,988
Insurance Contract Liabilities – Family Takaful Unit Linked	-	1,504,144,873	1,504,144,873	-	1,191,795,346	1,191,795,346
Employee Benefits	-	38,871,095	38,871,095	-	36,626,660	36,626,660
Subordinated Debt	-	200,000,000	200,000,000	-	200,000,000	200,000,000
Finance Lease Liability	4,833,734	7,669,327	12,503,061	3,164,471	7,577,231	10,741,702
Other Liabilities – Unit Linked	50,315,576	-	50,315,576	39,436,759	-	39,436,759
Other Liabilities	465,230,356	-	465,230,356	440,570,365	-	440,570,365
Total Liabilities	1,566,799,250	2,310,599,139	3,877,398,389	1,225,790,013	2,010,710,225	3,236,500,238
Net Balance	3,441,325,844	(1,800,972,131)	1,640,353,713	3,166,147,505	(1,656,653,020)	1,509,494,485

Company	2016			2015		
	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.	Within 12 Months Rs.	After 12 Months Rs.	Total Rs.
Assets						
Cash and Bank Balances	78,897,531	-	78,897,531	47,709,756	-	47,709,756
Cash and Bank Balances – Unit Linked	-	-	-	-	-	-
Financial Assets	873,841,499	525,000	874,366,499	720,088,338	525,000	720,613,338
Retakaful (Reinsurance) Receivables	213,900,783	-	213,900,783	25,907,745	-	25,907,745
Contribution (Premium) Receivables	328,235,215	-	328,235,215	322,668,907	-	322,668,907
Investments in Subsidiaries	-	1,074,322,352	1,074,322,352	-	1,124,322,352	1,124,322,352
Investment Property	-	78,500,000	78,500,000	-	73,500,000	73,500,000
Property, Plant and Equipment	-	81,974,142	81,974,142	-	102,811,631	102,811,631
Intangible Assets	-	8,215,697	8,215,697	-	3,268,669	3,268,669
Deferred Tax Assets	-	97,594,408	97,594,408	-	97,594,408	97,594,408
Other Assets	103,983,447	-	103,983,447	85,290,304	-	85,290,304
Total Assets	1,598,858,475	1,341,131,599	2,939,990,074	1,201,665,050	1,402,022,060	2,603,687,110
Liabilities						
Bank Overdrafts	38,493,174	-	38,493,174	-	-	-
Short-Term Borrowings	87,657,018	-	87,657,018	-	-	-
Insurance Contract Liabilities – Non-Life	650,675,481	-	650,675,481	588,060,786	-	588,060,786
Employee Benefits	-	23,997,243	23,997,243	-	24,474,647	24,474,647
Subordinated Debt	-	200,000,000	200,000,000	-	200,000,000	200,000,000
Finance Lease Liability	3,767,651	2,534,492	6,302,143	3,164,471	7,577,231	10,741,702
Other Liabilities	174,572,524	-	174,572,524	86,951,035	-	86,951,035
Total Liabilities	955,165,848	226,531,735	1,181,697,583	678,176,292	232,051,878	910,228,170
Net Balance	643,692,627	1,114,599,864	1,758,292,491	523,488,758	1,169,970,182	1,693,458,940

	2016 Rs. Mn	2015 Rs. Mn
Net Earned Contribution (Premium)	2,549	2,511
Investment and Other Income	373	241
	2,922	2,752
Net Claims and Benefits	(1,438)	(1,337)
Cost of External Services	(884)	(807)
Total Value Added	600	608
To Employees as Salaries and Other Benefits	407	365
To the Government as Taxes	6	9
Increase in Family Takaful (Long-Term Insurance) Fund	301	483
Retained with the Business	-	-
– Depreciation	32	31
– In Reserves	(146)	(281)
Total Value Added	600	608

1. ANALYSIS OF THE DISTRIBUTION OF SHAREHOLDERS AS AT 31ST DECEMBER 2016

Shareholding	Resident			Non-Resident			Total		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 - 1,000	2,492	878,731	0.05	4	2,600	0.00	2,496	881,331	0.05
1,001 - 10,000	2,447	11,211,687	0.62	9	41,650	0.00	2,456	11,253,337	0.63
10,001 - 100,000	1,330	44,184,773	2.45	5	308,391	0.02	1,335	44,493,164	2.47
100,001 - 1,000,000	331	97,292,029	5.41	4	1,135,096	0.06	335	98,427,125	5.47
Over 1,000,000	41	1,643,044,491	91.28	1	1,901,848	0.11	42	1,644,946,339	91.39
	6,641	1,796,611,711	99.81	23	3,389,585	0.19	6,664	1,800,001,296	100.00

The percentage of shares held by the public as at 31st December 2016 was 24.67% (31st December 2015 - 24.23%), where the number of shareholders was 6,654 (31st December 2015 - 6,412).

2. TOP 20 SHAREHOLDERS AS AT 31ST DECEMBER 2016

	2016		2015	
	No. of Shares	%	No. of Shares	%
Amāna Holdings Ltd.	1,100,365,633	61.13	901,422,761	60.09
Amāna Bank PLC	274,614,686	15.26	228,794,572	15.25
Dr. Thirugnanasambandar Senthilverl	84,126,679	4.67	60,716,800	4.05
Expolanka Holdings PLC	79,096,234	4.39	79,096,234	5.27
Falcon Trading (Pvt) Ltd.	23,686,801	1.32	19,739,001	1.32
Mr. Hitihami Koralage Pushpakumara	7,470,955	0.42	7,406,053	0.49
Mr. Osman Kassim	6,691,624	0.37	5,425,568	0.36
Mr. Mohamed Haji Omar	5,245,075	0.29	-	-
Mrs. Pattini Deva Ashoka Swarna Kanthie Beruwelage	4,226,846	0.23	3,220,800	0.21
Seylan Bank PLC/Jayantha Dewage	4,143,082	0.23	4,143,182	0.28
Ms. Yoosuf Ali Shameela	3,100,000	0.17	200	-
Mr. Sithambaram Pillai Jayakumar/Mrs. Meena Periyasamy	3,000,000	0.17	-	-
TKS Finance Ltd./R.P. Vijedasa	2,922,327	0.16	-	-
Mrs. Nabeela Haroon	2,700,000	0.15	2,250,000	0.15
Mr. Gajath Chrysantha Goonetilleke	2,560,314	0.14	2,500,000	0.17
Shari Investments (Pvt) Ltd.	2,500,000	0.14	-	-
Mr. Mohamed Hussain Mohamed Nazeer	2,410,174	0.13	2,410,174	0.16
Mr. Borala Liyanage Jayaratne/Dr. Y.S. Liyanage	2,250,540	0.13	-	-
Mrs. Riffat Kassim	2,250,000	0.12	2,250,000	0.15
Mr. Nandadeva Perera	2,214,486	0.12	2,539,486	0.17
	1,615,575,456	89.75	1,321,914,831	88.12

3. INVESTOR RATIOS

	Group		Company	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Earnings/(Loss) per Share	(0.09)	(0.18)	(0.08)	0.17
Dividend per Share	-	-	-	-
Net Assets per Share	0.77	0.87	0.98	1.13

4. Market Value of Shares

Highest Value	1.50	1.80
Lowest Value	0.80	1.20
Year End Value	0.90	1.50

GROUP

Statement of Income for the year ended	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011	31.12.2010	31.12.2009	31.12.2008	31.12.2007
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Gross Written Contribution (Premium)	3,406,904	3,237,609	2,652,008	2,373,301	2,153,770	1,613,979	1,173,348	1,160,895	1,023,864	808,999
Net Earned Contribution (Premium)	2,548,797	2,511,374	2,081,401	1,964,884	1,618,797	1,253,696	945,650	817,128	746,567	512,058
Income from Investments and Other Income	373,319	240,612	302,752	184,024	204,744	80,866	69,896	47,732	64,275	48,202
Net Claims Incurred	(1,438,346)	(1,337,090)	(895,861)	(929,340)	(778,767)	(652,614)	(517,552)	(476,266)	(378,319)	(345,858)
Net Commission Incurred	(238,515)	(226,904)	(187,263)	(130,096)	(84,304)	(65,589)	(20,691)	(34,036)	(23,384)	(5,754)
Expenses	(1,084,447)	(976,552)	(867,768)	(757,034)	(686,400)	(555,622)	(437,392)	(345,744)	(397,479)	(300,845)
Increase in Family Takaful (Long-Term Insurance) Fund	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)	(60,818)	(60,881)
Profit/(Loss) Before Taxation	(140,239)	(271,387)	86,429	111,298	107,022	(70,476)	(35,372)	(52,005)	(49,157)	(153,077)
Income Tax Expenses	(5,919)	(9,113)	16,582	46,560	(16,689)	(918)	-	-	-	-
Net Profit/(Loss) for the year	(146,158)	(280,500)	103,011	157,857	90,333	(71,394)	(35,372)	(52,005)	(49,157)	(153,077)
Basic Earnings/(Loss) Per Share (Rs.)	(0.09)	(0.18)	0.07	0.13	0.06	(0.09)	(0.05)	(0.10)	(0.08)	(3.27)

GENERAL INSURANCE BUSINESS

Statement of Income for the year ended	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011	31.12.2010	31.12.2009	31.12.2008	31.12.2007
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Gross Written Contribution (Premium)	2,586,178	2,309,315	1,972,979	1,830,315	1,789,011	1,296,082	933,192	953,798	835,188	678,013
Net Earned Contribution (Premium)	1,742,740	1,603,309	1,416,151	1,426,921	1,261,846	942,842	713,535	614,051	559,563	394,132
Income from Investments and Other Income	150,530	110,409	165,763	118,458	170,769	71,615	46,610	31,683	51,341	32,559
Net Claims Incurred	(1,118,164)	(1,129,518)	(734,623)	(749,794)	(698,422)	(569,253)	(446,969)	(406,636)	(326,946)	(311,620)
Net Commission Incurred	(130,278)	(129,582)	(113,552)	(82,355)	(67,852)	(45,946)	(637)	(15,962)	(1,295)	4,882
Expenses	(820,759)	(744,069)	(647,310)	(594,987)	(559,319)	(469,734)	(347,911)	(275,141)	(331,822)	(273,029)
Increase in Family Takaful (Long-Term Insurance) Fund	-	-	-	-	-	-	-	-	-	-
Profit/(Loss) Before Taxation	(175,931)	(289,451)	86,429	118,243	107,022	(70,476)	(35,372)	(52,005)	(49,157)	(153,077)

AMĀNA TAKAFUL LIFE PLC/LONG-TERM (FAMILY TAKAFUL) INSURANCE BUSINESS

Statement of Income for the year ended	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011	31.12.2010	31.12.2009	31.12.2008	31.12.2007
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Gross Written Contribution (Premium)	820,726	928,294	679,029	542,986	364,759	317,897	240,156	207,097	188,676	130,986
Net Earned Contribution (Premium)	806,057	908,064	665,250	537,963	356,951	310,854	232,115	203,077	187,005	117,926
Income from Investments and Other Income	222,789	130,203	136,988	65,566	33,975	9,251	23,286	16,049	12,934	15,643
Net Claims Incurred	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)	(70,583)	(69,630)	(51,374)	(34,237)
Net Commission Incurred	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)	(20,054)	(18,074)	(22,089)	(10,636)
Expenses	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)	(89,481)	(70,603)	(65,658)	(27,816)
Increase in Family Takaful (Long-Term Insurance) Fund	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)	(60,818)	(60,881)
Profit/(Loss) Before Taxation	35,691	18,064	-	(6,945)	-	-	-	-	-	-

GROUP

Statement of Financial Position as at	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000	31.12.2007 Rs. '000
Assets										
Financial Assets	2,305,095	2,448,385	1,754,470	1,655,539	1,877,583	993,838	809,489	-	-	-
Investments	78,500	73,500	101,800	173,531	184,105	750,946	88,853	573,210	621,147	503,477
Financial Assets – Unit Linked	1,441,276	1,054,183	603,171	351,189	124,446	90,697	-	-	-	-
Intangible Assets	36,658	24,703	24,159	29,002	29,199	40,365	25,681	28,692	30,307	15,077
Property, Plant and Equipment	101,870	123,231	127,570	96,720	83,385	39,654	49,610	56,534	55,199	57,498
Other Assets	1,450,105	937,383	1,000,999	916,957	532,335	578,647	525,610	568,858	351,377	340,834
Other Assets – Unit Linked	104,248	84,611	130,239	38,810	17,401	7,372	-	-	-	-
Total Assets	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243	1,227,294	1,058,030	916,886
Liabilities										
Insurance Provision – Non-Life (General Takaful Fund)	917,870	742,618	625,154	698,682	597,736	454,936	374,619	346,430	203,274	177,297
Insurance Provision – Long-Term (Family Takaful Fund)	559,914	574,711	551,211	550,220	577,899	494,321	413,141	335,186	274,364	213,225
Insurance Provision – Long-Term (Family Takaful Fund) – Unit Linked	1,504,145	1,191,795	730,799	380,958	138,447	50,364	-	-	-	-
Other Liabilities	845,154	687,939	443,988	329,820	433,522	550,861	543,217	357,060	361,539	259,657
Other Liabilities – Unit Linked	50,316	39,437	20,116	9,042	2,985	2,176	-	-	-	-
Total Liabilities	3,877,398	3,236,500	2,371,268	1,968,722	1,750,589	1,552,658	1,330,977	1,038,676	839,177	650,179
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	1,860,001	1,650,001	1,250,001	1,250,001	1,250,001	1,250,001	500,000	500,000	500,000	500,000
Other Reserves	85,869	80,105	65,949	30,128	30,140	14,711	17,505	20,648	-	-
Revenue Reserves	(567,430)	(426,506)	(121,500)	(142,051)	(324,619)	(417,740)	(367,112)	(334,280)	(282,264)	(233,293)
	1,378,441	1,303,601	1,194,450	1,138,078	955,522	846,971	150,393	186,368	217,736	266,707
Minority Interest	261,913	205,894	176,689	154,951	142,343	101,889	17,873	2,250	1,117	-
Total Equity	1,640,354	1,509,494	1,371,139	1,293,028	1,097,865	948,861	168,266	188,618	218,853	266,707
Total Equity and Liabilities	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243	1,227,294	1,058,030	916,886

AMĀNA TAKAFUL LIFE PLC/LONG-TERM (FAMILY TAKAFUL) INSURANCE BUSINESS

Statement of Financial Position as at	31.12.2016	31.12.2015	31.12.2014	31.12.2013	31.12.2012	31.12.2011	31.12.2010	31.12.2009	31.12.2008	31.12.2007
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets										
Financial Assets	1,018,398	1,089,313	590,099	506,956	539,756	328,486	424,414	-	-	-
Investments	-	-	43,683	71,908	73,463	161,666	50,750	327,066	273,439	182,860
Financial Assets – Unit Linked	1,441,276	1,054,183	603,171	351,189	124,446	90,697	-	-	-	-
Intangible Assets	23,549	18,408	-	-	-	-	-	21,977	23,744	8,490
Property, Plant and Equipment	17,467	14,932	-	-	-	-	-	1,744	4,734	7,723
Other Assets	102,661	84,611	64,612	37,992	43,936	27,420	10,913	18,400	11,951	40,180
Other Assets – Unit Linked	104,248	142,504	130,239	38,810	17,401	7,372	-	-	-	-
Total Assets	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868	239,253
Liabilities										
Family Takaful Fund Balance (Insurance Provision – Long-Term)	559,914	574,711	551,211	550,220	577,899	494,321	413,141	335,186	274,364	213,225
Family Takaful Fund (Insurance Provision – Long-Term) – Unit Linked	1,504,145	1,191,795	730,799	380,958	138,447	50,364	-	-	-	-
Other Liabilities	69,708	82,414	129,678	66,636	79,171	23,251	72,936	34,001	39,504	26,028
Other Liabilities – Unit Linked	50,316	39,437	20,116	9,042	3,485	47,705	-	-	-	-
Total Liabilities	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868	239,253
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	500,000	500,000	-	-	-	-	-	-	-	-
Other Reserves	(2,669)	2,169	-	-	-	-	-	-	-	-
Revenue Reserves	26,186	13,424	-	-	-	-	-	-	-	-
Total Equity	523,517	515,594	-	-	-	-	-	-	-	-
Total Equity and Liabilities	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868	239,253

Head Office

No. 660-1/1, Galle Road,
Colombo 03.
011 750 1000

Akkaraipattu

No. 77, Main Street,
Akkaraipattu.
067 750 1100

Akurana

No. 207/B, Matale Road,
Akurana.
081 750 1150

Anuradhapura

No. 81, Bank Site,
Anuradhapura.
025 750 1101

Batticaloa

No. 23, Bar Street,
Batticaloa.
065 750 1100

Dehiwala

No. 142, Galle Road,
Dehiwala.
011 750 1275

Galle

No. 41,
Sri Devamittha Mawatha,
China Garden, Galle.
091 750 1127

Gampola

No. 134/A, Kandy Road,
Gampola.
081 750 1104

Hambantota

No. 104, Tissa Road,
Hambantota.
047 750 1100

Jaffna

No. 249/1, 1st Floor,
Power House Road, Jaffna.
021 750 1100

Kaduruwela

No. 379A, Main Street,
Kaduruwela.
027 750 1120

Kalmunai

No. 32, Mallika Building,
Main Street, Kalmunai.
067 750 1120

Kalpitiya

No. 210, Main Street,
Kalpitiya.
032 750 1100

Kalutara

No. 161, Main Street,
Kalutara South.
034 750 1132

Kandy

No. 111-1/1, Kotugodella
Street, Kandy.
081 750 1100

Kattankudy

No. 287, Main Street,
Kattankudy.
065 750 1118

Kinniya

No. 124, Main Street,
Kinniya.
026 750 1115

Kurunegala

No. 07, South Circular Road,
Kurunegala.
037 750 1110

Matale

No. 106, King's Street,
Matale.
066 750 1101

Matara

No. 36/1, St. Thomas'
Mawatha, Matara.
041 750 1132

Mawanella

No. 207, New Kandy Road,
Mawanella.
035 750 1107

Muttur

No. 05, Main Street, Muttur.
026 750 7150

Negombo

No. 121 1/1, St. Joseph's
Street, Negombo.
031 750 1121

Pettah

No. 51-53, 1st Floor,
Bankshall Street,
Colombo 11.
011 750 1212

Puttalam

No. 47, Mannar Road,
Puttalam.
032 750 1124

Ratnapura

No. 310/1, Main street,
Kudugahwatta, Ratnapura.
045 750 1101

Thihariya

No. 126-1/1, Madhani Hajjar
Complex, Kandy Road,
Thihariya.

Trincomalee

No. 71,
Thirugnanasambanthar
Street, Trincomalee.
026 750 1100

Vavuniya

No. 6/80, 1st Cross Street,
Vavuniya.
024 750 1100

Samanthurai

No. 52, Fuard building,
Main Street, Ampara.



Acquisition Expenses – General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (IBNR)

A reserve to cover the expected cost of losses that have occurred by the Balance Sheet date but have not yet been reported to the insurer.

Claim Outstanding – General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the Balance Sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (General Takaful)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Ijara – (Leasing)

A contract under which, the Bank buys and leases out equipment required by its client for a rental fee. The duration of the lease and rental fees are agreed in advance. Ownership of the equipment remains with the Bank and only the usufruct is transferred to the client. The client is gifted the item at the end of the lease period based on a separate understanding taken by the Bank to gift the asset subject to certain conditions.

Insurance Provision – Family Takaful (Long-Term)

The fund or funds to be maintained by an insurer in respect of its Long-Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long-Term Insurance, under the Regulation of Insurance Act No. 43 of 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the reinsurer.

Risk-Based Capital

A 'Risk-Based' approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules, 2015.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the *Quran* and the *Sunnah* (The Practice of the Holy Prophet Muhammad – Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprising *Shari'ah* Scholars or/ and well versed personnel in *Shari'ah*, which ensures *Shari'ah* compliance in the operations of the Company. The SAC advises the Company on all *Shari'ah* matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – General Takaful (Insurance)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General Insurance) Rules, 2004.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on long-term insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

Surrender

The act of cancelling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means 'guaranteeing each other'. It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the Balance Sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

NOTICE IS HEREBY GIVEN that the 18th Annual General Meeting of Amāna Takaful PLC will be held on 19th May 2017 at 2.15 p.m. at the Committee Room B, Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 07, for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2016 and the Report of the Auditors thereon.
2. Re-election of Directors by Rotation in terms of Article 83 of the Articles of Association of the Company –
 - a. To re-elect Mr. Radhakrishnan Gopinath as a Director of the Company, who retires as per Article 83 of the Articles of Association of the Company and being eligible, offers himself for re-election as a Director.
3. Re-election of Directors in terms of Section 211 of the Companies Act No. 07 of 2007 –
 - To re-elect Dr. Ifthikarudeen Ahamed Ismail and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To re-elect Dr. Ifthikarudeen Ahamed Ismail who is 79 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dr. Ifthikarudeen Ahamed Ismail.

- To re-elect Mr. M.H.M. Rafiq and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To re-elect Mr. M.H.M. Rafiq who is 72 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mr. M.H.M. Rafiq.

- To re-elect Dato' Mohd. Fadzli Yusof and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd. Fadzli Yusof who is 72 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd. Fadzli Yusof.

4. To reappoint the retiring Auditors, Messrs Ernst & Young, Chartered Accountants for the ensuing year and to authorise the Directors to determine their remuneration.

By Order of the Board,
AMĀNA TAKAFUL PLC



Managers & Secretaries (PVT) Ltd.
Secretaries

12th April 2017

Notes:

1. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
2. A Form of Proxy is enclosed for this purpose.
3. The instrument appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660-1/1, Galle Road, Colombo 03, not less than forty-eight hours prior to the time appointed for holding the meeting.

I/We the undersigned
 bearing NIC No., of

 being a member/members of Amāna Takaful PLC, hereby appoint
 of
 being NIC No. or failing him

Tyeab Akbarally	of Colombo or failing him
Osman Kassim	of Colombo or failing him
Dato' Mohd Fadzli Yusof	of Malaysia or failing him
Dr. A.A.M. Haroon	of Colombo or failing him
M.H.M. Rafiq	of Colombo or failing him
M.E. Zaheed	of Colombo or failing him
A.S.M. Muzzammil	of Colombo or failing him
Dr. I.A. Ismail	of Colombo or failing him
R. Gopinath	of India or failing him
M.R.M. Nayeem	of Colombo or failing him
M.H.S. Kassim	of Colombo

as my/our proxy to represent me/us and to vote for me/us on my/our behalf at the Annual General Meeting to be held on 19th May 2017 at 2.15 p.m. and at any adjournment thereof and at every poll which may be taken in consequence thereof.

As witness my/our hands this day of 2017

.....
 Signature

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the Form of Proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC number and address of the proxy holder and of the shareholder appointing the proxy holder should be entered legibly in the Form of Proxy.
3. The duly completed Form of Proxy must be deposited at the Registered Office of the Company at No. 660-1/1, Galle Road, Colombo 03, not later than 48 hours prior to the time appointed for the holding of the Meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed Form of Proxy and must be deposited at the Registered Office of the Company.

CORPORATE INFORMATION

NAME OF THE COMPANY

Amāna Takaful PLC

LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act No. 07 of 2007 on 27th June 2007.

COMPANY REGISTRATION NUMBER

PQ 23

TAX PAYER IDENTIFICATION NUMBER (TIN)

134007958

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27th November 2006. Stock Exchange Code for Amāna Takaful PLC shares is 'ATL'.

DIRECTORS

Tyeab Akbarally – Chairman
Osman Kassim
Dato' Mohd Fadzli Yusof
Dr. A.A.M. Haroon
M.H.M. Rafiq
M. Ehsan Zaheed
A.S.M. Muzzammil
Dr. I.A. Ismail
R. Gopinath
M.R.M. Nayeem
M.H. Sattar Kassim

SHARI'AH ADVISORY COUNCIL

Mufti M.I.M. Rizwe – Chairman
Ash-Sheikh Fazil Farook
Ash-Sheikh M. Murshid – Secretary

CHIEF EXECUTIVE OFFICER – Amāna Takaful PLC

M. Fazal Ghaffoor

CHIEF EXECUTIVE OFFICER – Amāna Takaful Life PLC

Gehan Shivantha Rajapakse

REGISTERED OFFICE

No. 660-1/1, Galle Road, Colombo 03, Sri Lanka

SUBSIDIARIES

Amāna Takaful Life PLC
No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

Amāna Global Ltd.

No. 6, Glen Aber Place, Colombo 04, Sri Lanka

Amāna Takaful (Maldives) PLC

3rd Floor, H. Mialani, Sosun Magu, Malé, Republic of Maldives

AUDITORS

Messrs Ernst & Young
Chartered Accountants

CONSULTANT ACTUARIES – General Insurance

NMG Financial Services Consulting Pte Ltd.
65, Chulia Street
#37-07/08, OCBC Centre
Singapore 049513

CONSULTANT ACTUARIES – Long-Term Insurance

Actuarial Partners Consulting Sdn Bhd
Suite 17.02, Kenanga International
Jalan Sultan Ismail 50250
Kuala Lumpur, Malaysia

REINSURANCE PANEL

Swiss Re
Emirates Re
GIC Retakaful
Labuan Reinsurance (L) Ltd.
Trust International Bahrain
Ironshore
Scor Re
Hannover Re

SECRETARIES

Managers & Secretaries (Pvt) Ltd.

PRINCIPAL BANKERS

Amāna Bank PLC/Pan Asia Bank/NDB Bank/Bank of Ceylon/
Commercial Bank/Sampath Bank/HNB/Nations Trust Bank/
Deutsche Bank



This Annual Report is Carbon Neutral

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Sri Lanka.
www.takaful.lk